THE VELOCITY OPERATING SYSTEM

THE

OPERATOR'S DAILY JOURNAL

365 DAYS · 52 MODULES · 4 QUARTERLY RESETS

One principle. One question. One action.

FIRST EDITION

Run the inside like Toyota. Position the outside like Sequoia.

THE OPERATOR’S DAILY JOURNAL

Built on The Velocity Operating System v3.0

ABOUT THIS EDITION

This journal is a working instrument, not a reading book. It carries one operating principle for each of 365 days, sequenced as 52 weekly modules rising through four levels — Foundation, Core, Applied, Advanced — with a weekly review after every seventh day and a full Strategic Reset at weeks 13, 26, 39 and 52.

Every principle is sourced. The citation beneath each entry refers to The Velocity Operating System v3.0 or to its field editions: the Operator's Manual, the Rule Book, and the Metrics and Questions volume. Nothing here is unattributed.

Interior set in Caladea and Carlito. Printed on US Letter trim with a mirrored one-inch inside margin for perfect binding.

Belongs to

Day 1 date

HOW TO USE THIS JOURNAL

This is not a reading book. It is an operating instrument. Each day carries one principle from the Velocity Operating System, the mechanism underneath it, one question aimed at your business, and one action small enough to complete today.

The year is built as 52 weekly modules — one concept taught seven ways — rising through four levels: Foundation, Core, Applied, Advanced. You do not need to have read the book. The journal teaches the system in the order it should be installed.

THE DAILY LOOP — TWENTY MINUTES

Morning, before the first reactive commitment: read the principle, answer the question in writing, and commit to the action. Then run the daily operating checklist — it is the Morning Protocol, compressed.

Evening, before you close the day: three lines on what moved, what you bought versus what you earned, and what you got wrong. Two minutes. The evening entry is what converts the year from reading into calibration.

THE WEEKLY REVIEW

Every seventh day is followed by a one-page weekly review: ship-list hit rate, kills, deposits, covenant check, and next week's single play. Do not skip it. The daily pages produce data; the weekly page is where the data becomes a decision.

THE QUARTERLY RESET

Four times a year the journal stops and runs a full Reset: convexity audit, kill list, where the freed cash went, threshold progress, keeper test, and the prediction review against your decision journal. This is the only place in the journal where you are permitted to change your own rules.

HOW TO WRITE IN IT

Write numbers, not adjectives. Every prompt in this journal can be answered with a figure, a name, or a date. If your answer contains none of the three, you have written a feeling rather than an entry — and feelings do not compound.

Missing a day is not a failure; skipping the weekly review is. If you fall behind, do not backfill. Start on today's date and keep the cadence. Cadence is the product.

THE OPERATING CONSTITUTION

Eight principles, in order of precedence. When two rules conflict, the higher-numbered principle yields.

1. Distribution realism

Model every domain by its actual distribution. Lean the Gaussian zones. Barbell the power-law zones.

2. Survivorship precedes returns

No bet, vendor, hire or market entry may create ruin risk. Runway above 12 months, concentration below 25%, fractional Kelly — enforced as covenants, not aspirations.

3. Learning velocity is the master metric

Tests shipped, cycle time and cost per experiment lead every financial result by one to three quarters. Manage the lead, not the lag.

4. Traceability or deletion

Every metric traces through the driver tree to a revenue, margin, opex or cash line in one step — or it is deleted.

5. Evidence over narrative

Cohorts over averages. Base rates over anecdotes. Pre-registered criteria over post-hoc stories.

6. Intelligence at every workstation

Humans repositioned to judgment, taste and relationships. A human gate on anything customer-visible, financial or legal.

7. Cadence is the delivery mechanism

Strategy cascades through a fixed stack of meetings, each with one scorecard, one owner, one decision output.

8. Trust is an operating asset

Built through predictable communication, spent through silence and surprise. It sits on the dashboard next to cash.

THE NINE NON-NEGOTIABLES

01 One scorecard. One war room. One seven-day ship list. Single-threaded owners on everything.

02 No capital, hire or vendor decision without its matrix, its pre-mortem and its journal entry.

03 Cohorts over averages. Base rates over anecdotes. Pre-registration over post-hoc narrative.

04 Runway above 12 months. Concentration below 25%. Fractional Kelly. No ruin, ever.

05 Pilot before scale — channels, products, promotions, vendors and people alike.

06 Kill fast, publicly and cheaply. Credit the kill as completed work.

07 Ship the daily structural-hole contact and the reputation asset before reactive work begins.

08 One play at a time through the Commercial Council.

09 Every AI workflow has a named human owner and a stated gate before it ships.

THE POCKET CARD — TWELVE QUESTIONS

01 What is the number?

02 Show me the cohort.

03 Which node moved — reach, per-unit productivity, or price and mix?

04 Did we buy it or earn it?

05 Are we buying today's volume with tomorrow's baseline erosion?

06 What was the pre-registered criterion?

07 What decision does each outcome trigger?

08 If this fails completely, can we survive it?

09 What have you done to prove your thesis wrong?

10 Who owns this — one name?

11 Would we re-sign this person, vendor or commitment today, at full information?

12 What would this workflow look like at pennies of intelligence — and who still has to sign?

YOUR BASELINE — DAY ZERO

Fill this in before Day 1. In twelve months you will read it against Day 365. Numbers only.

Cash runway, in months, on committed outflows only

Largest single customer or channel, as a share of net revenue

Largest single position, as a share of enterprise value

Active strategic initiatives

Median decision latency on material decisions, in days

Tests shipped in the last four weeks

Kill rate over the last two quarters

Revenue per FTE

Documented, publishable wins toward the credibility threshold

The binding constraint, in one sentence, with the cohort that proves it

Strategy Begins With the Distribution

Day 1. Strategy does not begin with a plan. It begins with an accurate model of how results are distributed.

Get the distribution wrong and every downstream decision inherits the error: capital allocation, spend design, hiring, even your meeting calendar.

WHY IT HOLDS

Most operating systems carry a hidden assumption: outcomes are normal, effort converts linearly into results, and management's job is optimising averages.

All three are empirically false in the domains where enterprise value is actually created.

This year I'm publishing one operating principle a day - foundations first, advanced last. Day 1 is the load-bearing one. If your model of the distribution is wrong, better execution just gets you to the wrong place faster.

Source: VOS v3.0 Ch.1 opening

THE OPERATOR'S QUESTION

Which number did you manage to an average this week - and what would the ranked curve behind it actually show?

TODAY'S APPLICATION — one action, before noon

Pick the single largest line you own. Rank its components highest to lowest. Look at the shape before you look at the total.

DAILY OPERATING CHECKLIST

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- ☐ One structural-hole contact made — a cluster I do not currently reach
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EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Model the Domain by Its Actual Distribution

Day 2. Constitution, Principle 1:

Model every domain by its actual distribution. Lean the Gaussian zones. Barbell the power-law zones.

Any plan built on average SKU, average promotion, average account or average pipeline asset is wrong on arrival.

WHY IT HOLDS

This is the first principle in order of precedence, which means when it conflicts with another rule, it wins.

The test is mechanical. Pull the underlying data for any line you manage and rank it. If the top decile carries the number and the bottom half is a rounding error, you are in a power-law domain and every average you have been reporting describes nothing that exists.

Precedence matters because most executives concede the point intellectually and then build next quarter's plan on a blended number anyway.

Source: Operator's Manual, Operating Constitution #1

THE OPERATOR'S QUESTION

Where in your business are you still planning off a blended number because the decomposed one would force a decision?

TODAY'S APPLICATION — one action, before noon

Name one domain as Gaussian or power-law in writing, and state which discipline it therefore gets.

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EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

The 63/5 Split

Day 3. The number that ends the argument.

In a 39,000-SKU grocery dataset: fewer than 20% of SKUs generate 80% of sales. The bottom 63% of SKUs generate 5% of revenue.

You are not managing a portfolio. You are subsidising one with the economics of another.

WHY IT HOLDS

Run your own version this week. Rank every SKU, account, store, service line, product or loan cohort by contribution and plot the cumulative curve.

Two things become visible immediately: which fifth of the book is actually funding the company, and how much working capital, changeover time and management attention the bottom half is consuming to produce almost nothing.

The tail does not merely underperform. It corrupts every average the organisation manages to.

Source: VOS v3.0 1.1; Operator's Manual B.2

THE OPERATOR'S QUESTION

If your bottom 63% went to zero tomorrow, what would you actually lose - and what would you gain back in attention, cash and changeover time?

TODAY'S APPLICATION — one action, before noon

Rank your SKUs, accounts, units or cohorts by contribution. Write down where the 80% line falls.

DAILY OPERATING CHECKLIST

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EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Show Me the Cohort

Day 4. The four most useful words an executive owns:

"Show me the cohort."

Then: does it change materially when decomposed? If yes, the average is retired from the discussion permanently. Not for this meeting. Permanently.

WHY IT HOLDS

The follow-ups, in order:

1. Show me the same number by cohort.
2. Does it change materially when decomposed?
3. Which segment is carrying the number, and which is being subsidised by it?
4. What is the number excluding the top decile?

Any metric that materially changes when decomposed is managed only in decomposed form from that point forward. That is a standard, not a preference - and the forum chair may reject the item unheard if it arrives blended.

Source: Metrics & Questions, Pt.3; Rule 306

THE OPERATOR'S QUESTION

Which metric on your scorecard have you never once seen decomposed by cohort?

TODAY'S APPLICATION — one action, before noon

Ask for one number by cohort today. If it changes materially, retire the average from every future discussion.

DAILY OPERATING CHECKLIST

- [ ] Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
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- [ ] One structural-hole contact made — a cluster I do not currently reach
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EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

The Average Audit

Day 5. A one-hour audit that pays for itself before lunch.

List every average currently on a scorecard in your business. For each: is it a real thing, or an artefact of blending two populations that behave nothing alike?

Most businesses find four or five.

WHY IT HOLDS

The audit:

1. Every average on every live scorecard, listed on one page.
2. Beside each, the cohort cut that would decompose it.
3. Beside that, the name of the person who owns it.
4. Run the decomposition on the three largest.
5. Delete or decompose - no third option.

Averages are a reporting convenience, not an operating reality. An executive presenting one without its decomposition has not finished the analysis.

Source: Operator's Manual D.1; Rules 305-306

THE OPERATOR'S QUESTION

Which averages in your reporting are artefacts of blending two populations that behave nothing alike?

TODAY'S APPLICATION — one action, before noon

List every average on every live scorecard. Circle the three biggest. Decompose one before end of day.

DAILY OPERATING CHECKLIST

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- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
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EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

What the Base Rates Actually Say

Day 6. Four independent datasets, one shape:

- 21,000+ venture financings: ~65% returned under 1x, ~4% returned 10x+
- 9,704 drug programmes: 7.9% of Phase I compounds reach approval
- P&G: ~65 core brands = ~90% of sales, >95% of profit
- 39,000 SKUs: bottom 63% = 5% of revenue

WHY IT HOLDS

Four unrelated industries reporting the same statistical signature is not a coincidence of sampling. All four are multiplicative systems, and multiplicative systems generate this shape by mathematical necessity.

Which forecloses the objection I hear most: "our industry is different." It may be different in mechanism. It is not different in shape.

The operator's translation: in any portfolio of bets, the median outcome is a rounding error and the tail is the strategy.

Source: VOS v3.0 1.1

THE OPERATOR'S QUESTION

What is the base rate for the thing you are currently most confident about?

TODAY'S APPLICATION — one action, before noon

Before your next approval, write down what happened the last ten times a company like yours tried it.

DAILY OPERATING CHECKLIST

- [ ] Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
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EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Managing to the Average Is a Ceiling

Day 7. Week one closes here.

Running a linear operating system in a power-law economy is not a neutral choice. It is a guaranteed ceiling on returns and a guaranteed floor on effort.

Every quarter spent optimising averages is a quarter of compounding surrendered.

WHY IT HOLDS

The insurgents taking share in your category are not smarter than your team. They are priced into the correct distribution and you are not.

What changes on Monday: pick the single largest line you manage. Rank it. Look at the curve. Then ask which decisions you made last quarter would have gone differently had you been looking at the curve instead of the mean.

Next week: why the curve appears at all, and what it means to cross a threshold.

Source: VOS v3.0 1.1 Consequence Framing

THE OPERATOR'S QUESTION

Which decisions from last quarter would have gone differently if you had been looking at the curve instead of the mean?

TODAY'S APPLICATION — one action, before noon

Choose one decision made on an average last quarter. Re-run it against the ranked data. Note the delta.

DAILY OPERATING CHECKLIST

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EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Outcomes Are Not Normally Distributed

THE SHIP LIST

Committed ________ Shipped ________ Hit rate ________ %

What did not ship — and was it capacity, dependency or scoping?

KILLS AND VERDICTS

What I killed this week, and what it taught me:

DEPOSITS

Convex actions ____ / 7 Structural-hole contacts ____ / 5 Reputation assets ____

COVENANT CHECK

Runway ______ months Largest concentration ______ % Open severity-1 ______ Tripwires fired ______

NEXT WEEK

The one play. One sentence, executable, countable:

A rule I saw breached, and its root cause — process, tooling, authority or conduct:

WHAT I LEARNED THAT CHANGES HOW I OPERATE

Multiplicative Growth Makes the Curve

Day 8. Power laws are not accidents of an industry. They are the deterministic output of two mechanisms.

First: multiplicative growth. When growth is proportional rather than additive, and failure has a floor while upside has no ceiling, a power law emerges mathematically.

WHY IT HOLDS

A delisted SKU goes to zero. It cannot go negative. That asymmetry - bounded below, unbounded above, compounding proportionally - is sufficient on its own to generate the curve.

Which means the shape is not a market condition you can wait out. It is arithmetic.

A business growing 140% a year and one growing 4% a year are not two points on one curve. They are two different physics, and no amount of effort inside the second set converts you into the first.

Source: VOS v3.0 1.2

THE OPERATOR'S QUESTION

Which variable in your business is compounding proportionally, and which is only being added to?

TODAY'S APPLICATION — one action, before noon

Identify the one number that multiplies rather than adds. Put it at the top of your scorecard.

DAILY OPERATING CHECKLIST

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EVENING — WHAT MOVED?

Bought or earned? ____________________   What I got wrong today:

Advantage Attracts Advantage

Day 9. Mechanism two: preferential attachment.

Retailers give shelf to brands that already turn. Talent goes to teams already winning. Capital goes to operators already trusted.

Each loop is a positive feedback circuit. Positive feedback circuits are what convert small early differences into 63/5 splits.

WHY IT HOLDS

The operating consequence is that early position is worth more than late effort, and the rule follows directly: get to a documented, visible win faster than you get to scale.

The loop runs in reverse with equal force. Preferential attachment built Halo Top to the #1 US ice cream pint at roughly $342-373M. Preferential attachment reversing took it to about $211M by 2021, -43% from peak, once incumbents offered retailers the same story with more reliable supply.

The curve gives, and the curve takes.

Source: VOS v3.0 1.2; Law 3

THE OPERATOR'S QUESTION

Where is advantage currently attracting advantage in your favour - and where is it running against you?

TODAY'S APPLICATION — one action, before noon

Name one loop where your position is compounding. Name one where a competitor's is. Write the mechanism for each.

DAILY OPERATING CHECKLIST

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EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Velocity Per Unit of Distribution

Day 10. If I could keep one commercial metric, it would be this one.

Velocity per unit of distribution: units sold per outlet per week, or the per-unit productivity equivalent for your model.

Distribution can be purchased. Velocity must be earned - and only velocity compounds.

WHY IT HOLDS

Never present it as an average. Show the top decile of outlets and the bottom decile, and the baseline in non-promoted weeks, seasonally adjusted.

Then ask the question that separates a real number from a reported one: is it rising per unit, or are we adding units and reporting a larger total?

Olipop reached roughly $200M on about 28,000 doors where the industry norm is 80,000+. The variable being compounded was velocity per store, not door count.

Source: Metrics & Questions 2.13; VOS v3.0 1.2

THE OPERATOR'S QUESTION

Is your per-unit productivity rising, or are you adding units and reporting a larger total?

TODAY'S APPLICATION — one action, before noon

Compute velocity per unit of distribution for your top and bottom decile. Do not present the average.

DAILY OPERATING CHECKLIST

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EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Which Tail Are We Failing to Feed?

Day 11. The diagnostic question underneath every turnaround I have run:

"Which variable's tail are we failing to feed?"

Not which department is underperforming. Which variable. Revenue is customers x behaviour x value per behaviour, and only one of those three is usually binding.

WHY IT HOLDS

This is why the driver tree exists - it decomposes revenue into distribution, velocity and price so each can be read as its own distribution rather than blended into a number describing nothing.

Ask it in this order:

1. Which node moved - reach, per-unit productivity, or price and mix?
2. Which of those did we buy, and which did we earn?
3. What is the same number on a full-price-only basis?

Most "growth problems" resolve into one node once the question is asked precisely.

Source: VOS v3.0 1.2; Metrics & Questions Pocket Card 3-4

THE OPERATOR'S QUESTION

Which node's tail are you failing to feed - reach, per-unit productivity, or price and mix?

TODAY'S APPLICATION — one action, before noon

Decompose last month's revenue change into those three. Name which one moved most.

DAILY OPERATING CHECKLIST

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EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

The Preferential Attachment Audit

Day 12. Five questions that tell you whether you are in the loop or outside it:

1. What have we documented publicly that a buyer could verify?
2. Who calls us without being called?
3. What share of pipeline is inbound?
4. What win are we two proof points away from?
5. Who tells our story when we are not in the room?

WHY IT HOLDS

Below a critical threshold, effort converts linearly - one more call, one more store, one more dollar. Above it, position converts multiplicatively: velocity earns distribution, distribution earns data, data earns better innovation.

So the strategic objective is not to optimise inside linear territory. It is to cross into multiplicative territory as fast as possible without dying on the way - which is precisely why survivorship covenants exist alongside convexity.

Track: documented wins toward the threshold, and reference-network growth.

Source: Metrics & Questions 8.2, 8.5; Law 3

THE OPERATOR’S QUESTION

Who called you this week without being called - and what did you publish that caused it?

TODAY’S APPLICATION — one action, before noon

Answer the five preferential-attachment questions in writing. Note which one you cannot answer at all.

DAILY OPERATING CHECKLIST

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EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

A $1,500 Video as a Fixed Asset

Day 13. Liquid Death compounded from $3M of retail sales in 2019 to $263M in 2023, reaching 133,000+ doors, on the back of content that cost $1,500 to produce at launch.

7.9 million followers - the third most-followed beverage brand on earth, behind Red Bull and Monster.

WHY IT HOLDS

Two companies with decades and billions in media spend sit ahead of it. That is preferential attachment operating in a networked medium, and it is why the Velocity OS treats reputation assets as capitalised marketing assets with measurable inbound yield rather than as expense lines.

The scoreboard entry: reputation assets shipped per month, and threshold conversion rate - the share of documented wins that produced inbound demand within two quarters.

A video that earns 7.9M followers is a fixed asset. Book it like one.

Source: VOS v3.0 1.1; Law 6; Metrics & Questions 8.3, 8.8

THE OPERATOR'S QUESTION

What reputation asset have you shipped in the last thirty days, and what did it return?

TODAY'S APPLICATION — one action, before noon

Ship one piece of documented, evidenced authority content today. Log it as an asset, not an expense.

DAILY OPERATING CHECKLIST

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EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Two Different Physics

Day 14. Week two closes here.

The curve is generated, not observed. Multiplicative growth plus preferential attachment produce it wherever businesses compete.

Which means your job is not to forecast the average. It is to identify the threshold and cross it before the cash runs out.

WHY IT HOLDS

Hold both halves. Crossing the threshold requires convex exposure - many cheap, uncorrelated, capped-downside shots. Surviving the crossing requires covenants - runway, concentration limits, position sizing.

Operators who take only the first half are gambling. Operators who take only the second half are managing a slow decline with excellent hygiene.

Next week: the seven structural laws that convert this physics into a daily operating advantage.

Source: VOS v3.0 1.2-1.3

THE OPERATOR'S QUESTION

Are you optimising inside linear territory, or moving toward the threshold?

TODAY'S APPLICATION — one action, before noon

Write the two or three documented wins that would flip your market from you chasing it to it finding you.

DAILY OPERATING CHECKLIST

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EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

The Generative Mechanisms and the Threshold

THE SHIP LIST

Committed ________ Shipped ________ Hit rate ________ %

What did not ship — and was it capacity, dependency or scoping?

KILLS AND VERDICTS

What I killed this week, and what it taught me:

DEPOSITS

Convex actions ____ / 7 Structural-hole contacts ____ / 5 Reputation assets ____

COVENANT CHECK

Runway ______ months Largest concentration ______ % Open severity-1 ______ Tripwires fired ______

NEXT WEEK

The one play. One sentence, executable, countable:

A rule I saw breached, and its root cause — process, tooling, authority or conduct:

WHAT I LEARNED THAT CHANGES HOW I OPERATE

Law 1 - Manufacture Convexity

Day 15. Law 1: Manufacture convexity.

Bounded, known downside against structurally unbounded upside. Target a convexity score above 3.0 for any position entering the outside zone.

A position with capped upside and open-ended downside is a position to exit, not to fix.

WHY IT HOLDS

This reclassifies innovation from a capitalised gamble into an expensed portfolio - the same logic that lets a venture fund survive a 65% sub-1x base rate and a pharmaceutical portfolio survive a 7.9% Phase I approval rate.

In practice: test markets instead of national launches, limited-time offers instead of permanent SKUs, earnout-structured acquisitions instead of fixed-price deals.

Losses capped at pilot cost. Never at brand equity, and never at the balance sheet.

Source: VOS v3.0 1.3 Law 1; Operator's Manual A.4

THE OPERATOR'S QUESTION

Where are you carrying risk whose downside is not capped by structure?

TODAY'S APPLICATION — one action, before noon

Take one live bet and write its maximum loss, capped by structure rather than by intention.

DAILY OPERATING CHECKLIST

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EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Law 2 - Exploit Structural Holes

Day 16. Law 2: Value concentrates at the bridges between disconnected clusters.

Managers who bridge structural holes earn roughly 42% higher compensation, and deal flow correlates with betweenness centrality at r = 0.67 (Burt).

The standing rule: five new-cluster contacts a week. Minimum.

WHY IT HOLDS

The executive who sits at the junction of buyers, co-manufacturers, creators and category data sees the signal quarters before competitors managing to last quarter's average.

This is why the Morning Protocol ends with one bridge-building contact before any reactive work. One contact a day is 250 network edges a year built deliberately rather than accidentally.

It is on the dashboard as a weekly count because anything not counted gets displaced by the inbox.

Source: VOS v3.0 1.3 Law 2; Metrics & Questions 8.4

THE OPERATOR'S QUESTION

Which cluster do you not currently reach that would change your information advantage if you did?

TODAY'S APPLICATION — one action, before noon

Make one outbound contact today into a cluster where you have a structural hole.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Law 3 - Position for Preferential Attachment

Day 17. Law 3: Cross visible thresholds.

Two to three documented, evidenced wins is the credibility threshold in most markets. Adoption cascades tend to engage around 10-15% penetration.

Measure: documented wins toward threshold. Track it quarterly like a capital account.

WHY IT HOLDS

Below the threshold you buy attention. Above it, attention arrives - inbound retailer and creator demand replaces paid spend, and marketing efficiency improves as authority compounds.

So the sequencing question for any market entry is not "how much reach can we afford?" It is "what are the two wins that make the third one arrive by itself, and how fast can we document them?"

The corresponding scoreboard line: inbound share of qualified pipeline, rising.

Source: VOS v3.0 1.3 Law 3; Metrics & Questions 8.2, 2.18

THE OPERATOR'S QUESTION

How many documented, verifiable wins do you have - and how many do you need to cross?

TODAY'S APPLICATION — one action, before noon

Write your threshold count. Note what the next documented win requires.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
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EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Law 4 - Maximise Optionality

Day 18. Law 4: The number of uncorrelated shots matters more than the quality of any single shot.

So the question in every planning meeting is not "is this the right bet?"

It is: "how many bounded, uncorrelated shots can we take this quarter, and what is stopping that number being three times higher?"

WHY IT HOLDS

With a one-third base rate of success - the figure documented at Microsoft-scale experimentation and one I have never seen an operator beat - the only lever on expected wins is the number of shots.

A portfolio of small, monthly-expensed launch and promo experiments beats one national launch capitalised and prayed over. Every time, on the arithmetic.

The constraint is almost never ideas. It is cost per test, cycle time, and willingness to kill. Attack those three and the shot count takes care of itself.

Source: VOS v3.0 1.3 Law 4; Operator's Manual E.5

THE OPERATOR'S QUESTION

What is stopping your shot count from being three times higher - cost, cycle time, or willingness to kill?

TODAY'S APPLICATION — one action, before noon

Name the constraint. Take one action against it today.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
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EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Law 5 - Engineer Survivorship

Day 19. Law 5: Survive first. Four covenants, no override authority:

1. Cash runway above 12 months
2. No customer or channel above 25% of net revenue
3. No single position above 25% of enterprise value
4. All positions sized within the fractional Kelly cap

WHY IT HOLDS

These are balance-sheet covenants, not targets. Reviewed weekly, attested monthly by name. A covenant with an override is a guideline.

The 25% number is not arbitrary risk doctrine. A single-counterparty limit of 25% of capital is federal banking law for exactly this reason, and large suppliers run a single retailer at 16-20% of net sales as a deliberately managed dependency.

Manage the number, or discover it in a crisis. There is no third path.

Source: VOS v3.0 1.3 Law 5; Operator's Manual A.5

THE OPERATOR'S QUESTION

Which of the four covenants is closest to breach, and who knows?

TODAY'S APPLICATION — one action, before noon

Write your runway, largest concentration, largest position and Kelly compliance. Name an owner for each.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
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EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Law 6 - Compound Reputation

Day 20. Law 6: Reputation appreciates when deployed.

Referred business closes at roughly 4x the rate of cold. Which makes every case study, data release and documented win a capitalised asset with a measurable inbound yield - not a marketing expense.

WHY IT HOLDS

The operating consequence is a production quota, not an aspiration: reputation assets shipped, at least four a month, tracked on the dashboard next to revenue per FTE.

And a discipline that costs nothing and is skipped constantly: publish the failures too. A killed test filed with its learning stated specifically enough to be reused is purchased information no competitor can see.

Trust is built through predictable communication and spent through silence and surprise. That is why it sits next to cash, not in the values statement.

Source: VOS v3.0 1.3 Law 6; Constitution #8

THE OPERATOR'S QUESTION

What did you publish this month that a buyer could verify without speaking to you?

TODAY'S APPLICATION — one action, before noon

Draft one documented result - numbers, mechanism, outcome - and schedule it for publication.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
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EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Law 7 - Exploit Temporal Arbitrage

Day 21. Law 7: Markets misprice duration. Patient operators win.

Recurring revenue, baseline velocity and key-account annuities fund patience. Promotion calendars that borrow next quarter's baseline destroy it.

No calendar may buy this quarter's number with next quarter's baseline.

WHY IT HOLDS

Week three closes on the sequencing that ties all seven together.

Law 5 buys you the time. Laws 1 and 4 buy the shots. Laws 2, 3 and 6 buy the position that makes each shot cheaper than the last. Law 7 is the discipline that stops you spending the compounding to make a quarter.

Olipop and Poppi compounded for five-plus years before exiting. Halo Top's distribution-first spike left nothing to compound. The difference was not marketing budget. It was duration.

Next week: the engine that funds all of it.

Source: VOS v3.0 1.3 Law 7

THE OPERATOR'S QUESTION

What is currently funding your patience - and what is spending it?

TODAY'S APPLICATION — one action, before noon

Identify one decision this quarter that borrows from next quarter's baseline. Price the repayment.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

The Seven Laws of Asymmetric Advantage

THE SHIP LIST

Committed ________ Shipped ________ Hit rate ________ %

What did not ship — and was it capacity, dependency or scoping?

KILLS AND VERDICTS

What I killed this week, and what it taught me:

DEPOSITS

Convex actions ____ / 7 Structural-hole contacts ____ / 5 Reputation assets ____

COVENANT CHECK

Runway ______ months Largest concentration ______ % Open severity-1 ______ Tripwires fired ______

NEXT WEEK

The one play. One sentence, executable, countable:

A rule I saw breached, and its root cause — process, tooling, authority or conduct:

WHAT I LEARNED THAT CHANGES HOW I OPERATE

Lean Exists to Fund the Bets

Day 22. Lean is not cost-cutting theatre and it is not the opposite of growth.

Its purpose in this system is precise: cap the downside, and manufacture the cash and cycle time that fund convex bets.

Lean frees cash from the inside. That cash is the only currency that buys the outside.

WHY IT HOLDS

Read the economics as a circuit. Cost discipline without a named convex destination is extraction with better hygiene - and extraction has a documented ending.

Which is why the reinvestment test is a rule with no exception: every forum that frees cash names where the cash goes in the same meeting. A saving without a destination is not booked as a saving.

If your cost programme has no growth forum receiving its output, you are not running a turnaround. You are running a liquidation slowly.

Source: VOS v3.0 Ch.2 opening; Rule 409

THE OPERATOR'S QUESTION

What did your last cost saving actually buy - and where is that written?

TODAY'S APPLICATION — one action, before noon

Take one saving from the last quarter. Name its convex destination in writing today.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
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- ☐ One structural-hole contact made — a cluster I do not currently reach
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EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Inside the Machine, Variance Is the Enemy

Day 23. The rule that decides which discipline applies:

Inside the machine - fulfilment, compliance, claims, financial control, service delivery - variance is waste. Error-proof it, standardise it, and give someone authority to stop the line.

Zero open severity-1 items. That one is a covenant.

WHY IT HOLDS

I have watched two companies in the same industry run the same revenue, the same customers, the same partners - and produce radically different cash. The difference is never strategy. It is how fast each detects, stops and permanently kills its own waste.

One treats a failed promotion, a slow SKU, an out-of-stock shelf or a preventable defect as a monthly-review discussion item. The other treats each as a defect that halts the line.

The second compounds. The first stalls, and the stall is always legible in the same waste pools.

Source: VOS v3.0 Ch.2; Operator's Manual A.3, A.5

THE OPERATOR'S QUESTION

Which recurring defect in your operation is treated as a discussion item rather than a stop-the-line event?

TODAY'S APPLICATION — one action, before noon

Pick one. Give someone the authority to halt it, today, and tell them so.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
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EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Where Is the Queue?

Day 24. The most under-measured cost in most companies is waiting.

Measure two numbers this week:

- Decision latency by class: median business days from proposal to signature
- Approval touch count: how many distinct approvers touch a decision

Targets: 10 days for material, 3 for delegated, 2-3 touches.

WHY IT HOLDS

In stalled businesses the ten most recent material decisions typically required 6-9 touches and 30-70 elapsed days. After decision rights are published with latency standards, the same classes run at 2-3 touches and 3-10 days.

That delta is not administrative housekeeping. Revenue delayed is revenue destroyed at the discount rate, and every uncleared authority is a permanent queue billed to opex every week it exists.

Reconstruct your last ten material decisions from calendar and email. The number will be worse than you expect.

Source: Operator's Manual A.2; Metrics & Questions 6.6, 6.7

THE OPERATOR'S QUESTION

Where is the longest queue in your business, and what does a week of it cost?

TODAY'S APPLICATION — one action, before noon

Reconstruct your last ten material decisions. Count touches and elapsed days for each.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
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EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

What Are We Stopping to Fund It?

Day 25. Six words that fix capacity problems permanently:

"What are we stopping to fund it?"

New work enters only by displacing something on the stop-doing list. Default WIP limit: five active initiatives. No exceptions, including the founder's favourite.

WHY IT HOLDS

When nothing can be approved, everything gets proposed - and the backlog becomes a shadow portfolio consuming management attention without producing a single shipped outcome.

The displacement rule breaks that loop mechanically. It converts every new idea from a request for enthusiasm into a request for a trade, and trades get priced.

Stopping is the fastest capacity you will ever create. It requires no budget, no hiring and no vendor - and most executives will not do it, because a stop-doing list is a public admission that something was wrong before.

Source: Operator's Manual C.2; Rule 209

THE OPERATOR'S QUESTION

What did you stop last month to fund what you started?

TODAY'S APPLICATION — one action, before noon

Write your stop-doing list. Three items minimum. Publish it.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
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EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

The Eight Wastes as P&L Lines

Day 26. Every classical waste, restated as a tax on a specific financial line:

1. Overproduction - COGS, write-downs
2. Waiting - opex per decision
3. Handoffs - SG&A, cycle time
4. Over-processing - payroll without throughput
5. Inventory - working capital
6. Motion - SG&A per point of reach
7. Defects - revenue, deductions
8. Unused talent and data - forgone learning

WHY IT HOLDS

The reason most commercial organisations believe Lean is someone else's job is that the wastes are usually taught as factory concepts. They are not. They are P&L lines.

Over-processing is a ten-slide answer to a one-number question. Motion is a sales force doing administrative coverage instead of velocity work. Defects include deduction errors and mis-executed promotions, not just broken product.

The eighth is the expensive one: every experiment not run is expected value forfeited, and it never appears on any statement.

Source: VOS v3.0 2.2

THE OPERATOR'S QUESTION

Which of the eight wastes is quietly the largest in your operation right now?

TODAY'S APPLICATION — one action, before noon

Map each waste to the specific financial line it attacks in your business. Name the biggest.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
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EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

What Lean Actually Returns

Day 27. Peer-reviewed, not vendor-published:

A 500ml bottling line running integrated Lean-TPM with SMED. OEE 70.76% to 81%. Mould changeover 96 minutes to 55 (-43%). Roughly 17% of the line's profit recovered from existing assets, with no new capital equipment.

WHY IT HOLDS

Two benchmarks to calibrate against: world-class OEE is 85%, typical unoptimised plants run 45-70%, and reactive repairs cost about 4.8x planned maintenance.

And one invariant worth carrying as a fixed cost of reality rather than an improvable metric: worldwide out-of-stock has sat at roughly 8% - one item in thirteen - since it was first measured in 1996, reconfirmed across 32 countries. It costs retailers about 4% of sales.

Thirty years of technology investment did not move that base rate. Execution systems do.

Source: VOS v3.0 2.3; Operator's Manual D.5

THE OPERATOR'S QUESTION

Which invariant are you spending your change budget trying to move?

TODAY'S APPLICATION — one action, before noon

Identify one metric that has not moved in years despite investment. Decide to manage around it instead.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
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EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Subtraction Grows the Top Line

Day 28. Week four closes on the least intuitive finding in the book.

SKU rationalisation benchmarks: a ~25% cut returns 1-4 points of net revenue and 3-6 points of margin. One European grocery case cut SKUs 40% and saw inventory days fall 60% while revenue rose 25%.

Subtraction, executed with discipline, grows the top line.

WHY IT HOLDS

P&G is the same finding at company scale. It kept ~65 core brands producing ~90% of sales and >95% of profit, exited ~100 brands that had posted -3% sales growth and -16% profit growth, and cut US laundry from 15 brands to 5 while driving share back toward 60%.

Subtraction did not shrink the company. It revealed where the company actually was.

This week's action: build the stop-doing list. Tail products, zombie programmes, meetings with no decision output. Publish it.

Source: VOS v3.0 2.2, 1.1

THE OPERATOR’S QUESTION

What would subtraction reveal about where your business actually is?

TODAY’S APPLICATION — one action, before noon

Choose one tail you have been protecting. Model what cutting it frees in cash, attention and capacity.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday’s demand, tripwires, covenant proximity
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EVENING — WHAT MOVED?

Bought or earned? ______________________ What I got wrong today:

WEEKLY REVIEW · WEEK 04

Lean as the Survivorship Engine

THE SHIP LIST

Committed ________ Shipped ________ Hit rate ________ %

What did not ship — and was it capacity, dependency or scoping?

KILLS AND VERDICTS

What I killed this week, and what it taught me:

DEPOSITS

Convex actions ____ / 7 Structural-hole contacts ____ / 5 Reputation assets ____

COVENANT CHECK

Runway ______ months Largest concentration ______ % Open severity-1 ______ Tripwires fired ______

NEXT WEEK

The one play. One sentence, executable, countable:

A rule I saw breached, and its root cause — process, tooling, authority or conduct:

WHAT I LEARNED THAT CHANGES HOW I OPERATE

Ask the Electricity Question

Day 29. The wrong question is "where can we use AI?"

The right question, asked of every workflow you own:

"What does this business look like if intelligence, like electricity, is available at every workstation for pennies - and who still has to sign?"

Then close the gap, one workflow per sprint.

WHY IT HOLDS

In 1900 no board debated whether to electrify. The laggards simply disappeared from the industrial statistics by 1930, because electrification only paid once factories were redesigned around it - unit drive instead of one central shaft.

The same structure applies now. Tools bolted onto unchanged workflows produce nothing. The redesign is the product.

Lock each sprint's gains in as standard work before the next begins, or you will accumulate capability without ever converting it into P&L.

Source: VOS v3.0 3.1, 3.3

THE OPERATOR'S QUESTION

Which workflow that you own would be unrecognisable at pennies of intelligence - and who would still sign?

TODAY'S APPLICATION — one action, before noon

Pick one workflow. Write what it becomes, and where the human gate sits.

DAILY OPERATING CHECKLIST

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EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

AI Serves the Loop, Not the Org Chart

Day 30. Rule 810: AI that generates artifacts without shortening a learning cycle is overproduction waste, and it is stopped.

Every deployment must shorten a build-measure-learn cycle or widen the experiment funnel. More decks, more summaries, more variants nobody tests - that is the dominant failure mode.

WHY IT HOLDS

The audit question for every live AI initiative: which coefficient of the operating equation does this move, by how much, measured against a pre-registered baseline?

An initiative without a coefficient answer is a science project. Fund it from R&D, cap it, and do not let it occupy an operating scorecard.

McKinsey's finding that workflow redesign - not tool spend - is the top EBIT driver is the empirical version of the same rule. The money is in the redesign, and the redesign is the part most companies skip.

Source: Rule 810; VOS v3.0 3.3

THE OPERATOR'S QUESTION

Which of your live AI initiatives shortens a learning cycle, and which just produces more artifacts?

TODAY'S APPLICATION — one action, before noon

Audit one initiative against the coefficient question. If it has no answer, cap it or kill it.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
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EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Revenue per FTE as a Designed Variable

Day 31. Most firms discover revenue per FTE at year end. Treat it as a design target instead, reviewed quarterly on the same page as gross margin.

Three numbers:

1. Revenue per FTE vs designed target
2. Agent-automation coverage
3. Automation reviews that failed into a hire

WHY IT HOLDS

Contribution margin per FTE belongs beside it, because revenue per FTE can be bought with unprofitable volume and contribution margin per FTE cannot.

Automation coverage means the share of recurring workflows with a live service-level definition and a named human owner. Not how many tools you have licensed. Licences are not coverage.

The third number is the honest one. Each failed automation review carries a one-paragraph postmortem naming the measured limit that forced the hire - which is how the organisation learns where the frontier actually sits.

Source: Operator's Manual G.7; Metrics & Questions 6.1-6.4

THE OPERATOR'S QUESTION

Is revenue per FTE something you discover at year end, or something you design?

TODAY'S APPLICATION — one action, before noon

Write your current number and your designed target twelve months out. Put both beside gross margin.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
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EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Does It Shorten a Learning Cycle?

Day 32. Six questions for any proposed AI or agent deployment:

1. What does this workflow look like at pennies of intelligence, and where must a human still sign?
2. Who is the single named owner?
3. Which outputs ship autonomously, which require a gate?
4. Does this shorten a learning cycle or just make artifacts faster?
5. What is the second path if this vendor deprecates, reprices or regresses?
6. How will we audit a live sample weekly - not just the escalations?

WHY IT HOLDS

Question 6 is the one that gets skipped and the one that costs the most.

Auditing only escalated cases means you are sampling exactly the population where the system already knew it was struggling. The cases that matter are the ones the system was confident enough not to escalate.

Question 3 deserves an explicit line drawn on paper: refresh, flag, draft, brief on one side; publish, release, sign on the other.

Source: Metrics & Questions Pt.3; Operator's Manual G.5-G.6

THE OPERATOR'S QUESTION

Which decision in your business now arrives faster, cheaper or better-evidenced than it did a year ago?

TODAY'S APPLICATION — one action, before noon

Name one. If you cannot, that is the finding - pick the workflow to attack first.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
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EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

The AI Initiative Audit

Day 33. Run this against every live AI initiative in your business this week:

1. Named human owner?
2. Written service-level definition?
3. Pre-registered baseline and target metric?
4. Human gate on anything customer-visible, financial or legal?
5. Source manifest on external artifacts?
6. Credentials scoped to the SLA and nothing more?
7. Every action logged against the owner's name?

WHY IT HOLDS

Any "no" is a finding, and two of them are stop conditions.

An unowned agent is decommissioned, not reassigned later - because unowned monitoring manufactures false confidence in monitoring that is not actually happening. Thresholds go stale, feeds break, flags fire into an empty room, and everyone believes they are covered.

An agent with broad credentials and no logging is not leverage. It is an unauditable insider.

Source: Operator's Manual G.5-G.6; Rules 801-809

THE OPERATOR'S QUESTION

Which live agent or automation has no named human owner?

TODAY'S APPLICATION — one action, before noon

Run the seven-point audit on one initiative. Any 'no' is a finding. Fix the ownership one today.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
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EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

88 / 39 / 4

Day 34. The 2025 sorting, in three numbers:

88% of enterprises have adopted AI.

39% can show any EBIT impact.

4% are capturing value at scale.

And the build-versus-buy gap across 300+ enterprise GenAI deployments: ~67% success for purchased and partnered solutions, ~22% for internal builds.

WHY IT HOLDS

That is a 3:1 ratio in favour of buying capability and concentrating internal effort on workflow integration.

Which gives the allocation rule: buy commodity capability, orchestrate the differentiating workflow, and build only where the asset itself is the moat and the training data is unreplicable.

Buying your moat is renting your future. Building undifferentiated software is overproduction waste - inventory of code nobody outside the building would buy. Engineering ego is not a strategy.

Source: VOS v3.0 3.3; Operator's Manual G.4

THE OPERATOR'S QUESTION

Are you in the 88%, the 39%, or the 4%?

TODAY'S APPLICATION — one action, before noon

Answer honestly in writing, with the evidence for your answer. Note what would move you one tier.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
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EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

The Redesign Is the Product

Day 35. Week five closes on the most instructive reversal in the field.

A consumer-finance assistant handling the work of ~700 agents: 2.3M conversations a month, resolution time from 11 minutes to 2.

Fourteen months later the CEO stated publicly that the all-AI approach was not the right one, and began rehiring.

WHY IT HOLDS

It did not fail because AI leverage is fake. It failed the way most deployments fail: a coefficient shift was treated as a headcount-replacement mandate rather than a judgment-repositioning exercise.

The system optimised for resolution speed and cost per contact - both easily measured - while whether the resolution was correct and whether the customer trusted it degraded quietly enough to take over a year to surface.

The teachable sentence: agents draft, humans sign, on anything that leaves the building, moves money, or touches a real person's live problem.

Source: VOS v3.0 3.3; Operator's Manual G.6

THE OPERATOR'S QUESTION

Where have you bought capability without redesigning the workflow around it?

TODAY'S APPLICATION — one action, before noon

Pick one tool you licensed and never embedded. Either embed it this quarter or cancel it.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

WEEKLY REVIEW · WEEK 05

AI as Enterprise Electricity

THE SHIP LIST

Committed ________ Shipped ________ Hit rate ________ %

What did not ship — and was it capacity, dependency or scoping?

KILLS AND VERDICTS

What I killed this week, and what it taught me:

DEPOSITS

Convex actions ____ / 7 Structural-hole contacts ____ / 5 Reputation assets ____

COVENANT CHECK

Runway ______ months Largest concentration ______ % Open severity-1 ______ Tripwires fired ______

NEXT WEEK

The one play. One sentence, executable, countable:

A rule I saw breached, and its root cause — process, tooling, authority or conduct:

WHAT I LEARNED THAT CHANGES HOW I OPERATE

Is Variance Here the Waste or the Product?

Day 36. One question routes every initiative in the enterprise:

"Is variance here the waste, or the product?"

Inside the machine, variance is waste - apply Lean.

Outside the machine, variance is the product - apply convexity.

Nothing gets averaged across the two.

WHY IT HOLDS

This is the deepest principle in the system, because Lean and power-law positioning answer opposite questions about variance and a firm must hold both answers simultaneously. A barbell, in the Taleb sense.

The routing question is asked once, at intake, and the answer determines everything downstream: the discipline applied, the scorecard, the cadence and the gate criteria.

Get it wrong and operational excellence will simply make you fail more efficiently.

Source: VOS v3.0 4.1; Operator's Manual A.3

THE OPERATOR'S QUESTION

For your three largest live initiatives - is variance the waste, or the product?

TODAY'S APPLICATION — one action, before noon

Write the zone for each, in ink, with the date and who decided.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Route Once, at Intake

Day 37. The zone is decided at intake, by the intake gate, before any resource is committed.

Not debated later. Not renegotiated when the numbers disappoint. Not varied because a senior voice prefers a different discipline this quarter.

A misrouted initiative is not fixed by effort. It is re-routed or killed.

WHY IT HOLDS

Because the two zones use incompatible instruments. A convex bet judged on Lean criteria gets resized until it is safe enough to be meaningless. An operational process judged on venture criteria gets tolerated through variance that should have stopped the line.

Both failures look like poor execution from the outside. Both are actually routing errors, and no amount of execution quality corrects them.

Write the zone on the intake form. In ink. It is the cheapest disqualifier in the whole sequence.

Source: Operator's Manual A.3; Rule 210

THE OPERATOR’S QUESTION

Which initiative is being run with the wrong discipline because nobody decided its zone?

TODAY’S APPLICATION — one action, before noon

Add a zone field to your intake form today. Apply it retroactively to everything active.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday’s demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________   What I got wrong today:

The Convexity Ratio of the Slate

Day 38. One number tells you whether your pipeline is positioning or polishing:

Convexity ratio - the share of the active slate whose upside is structurally unbounded.

Target: above 60%. Below that, you are refining what exists rather than building what compounds.

WHY IT HOLDS

Pricing, offer architecture, channel unlocks and subscription design outrank bounded polish, because a pricing win compounds on every future order while a copy win is a one-time step change.

What is absent from a good slate is as diagnostic as what is present: no packaging refreshes, no awareness campaigns, no brand-health initiatives. Every test traces to a driver-tree node in one step.

Reviewed at the Quarterly Reset, where the convexity audit eliminates anything without genuine multiple-return upside.

Source: Operator's Manual E.2; Metrics & Questions 5.6

THE OPERATOR'S QUESTION

What share of your active slate has structurally unbounded upside?

TODAY'S APPLICATION — one action, before noon

Compute the convexity ratio. If it is below 60%, name what you would swap in.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Two Failure Directions, Not One

Day 39. Ask your team which failure you are currently running. There are only two, and they look nothing alike:

Over-Lean: timid, consensus-driven, every test resized until it is meaningless. Arrives in 3-5 years as a stall with margins at multi-year lows.

Over-convex: undocumented commitments, unmeasured spend, launches on enthusiasm. Arrives fast, as a cash crisis.

WHY IT HOLDS

The countermeasures are opposite, which is why the diagnosis has to come first.

Over-Lean is corrected with a kill-rate floor: if the variance zone has produced no kills in two quarters, you are not running enough shots.

Over-convex is corrected with event-level ROI on every discretionary spend, a spend gate, and weekly covenant review.

And there is a third, worse case: neither engine installed, with buybacks, acquisitions and reserves substituting for a machine. Very slow, then all at once.

Source: Operator's Manual A.3

THE OPERATOR’S QUESTION

Which failure direction are you running - over-Lean timidity, or undisciplined spend?

TODAY’S APPLICATION — one action, before noon

Diagnose in one sentence. Then apply the matching countermeasure: a kill-rate floor, or event-level ROI.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday’s demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

The Zone Routing Table

Day 40. Route these correctly and half your operating problems disappear:

Inside: promotion mechanics, supply chain, fulfilment, compliance, claims, financial control

Outside-to-in: pricing and pack architecture tests

Outside: new brand, category, market or product bets; the content and authority engine

Outside with covenants: M&A, partnerships, capital deployment

WHY IT HOLDS

Each row carries its own gate, and the gate is what makes routing real rather than declarative.

Compliance: zero open severity-1 items, audit sample clean.

Supply chain: forecast error under 10%, sustained two review cycles.

New market bets: velocity proven in test markets before distribution dollars, kill criteria pre-registered.

M&A: no single position above 25% of enterprise value, downside capped at structure - never at hope.

Print the table. Put it on the intake form.

Source: Operator's Manual A.3

THE OPERATOR'S QUESTION

Which of your initiatives is sitting in the wrong column of the routing table?

TODAY'S APPLICATION — one action, before noon

Print the routing table. Place every live initiative in a row. Move the misplaced ones.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

$1.7B Saved, $36B Erased

Day 41. The cleanest evidence that zone discipline is not academic:

One cost machinery delivered roughly $1.7B of savings, then took a $15.4B goodwill impairment and a 53% stock decline - erasing roughly $36B of market value.

The savings were real. No forum in the calendar owned the growth question.

WHY IT HOLDS

Same tooling, applied by a different owner in a different sequence, compounded for decades. The variable was not the cost discipline. It was whether a forum existed to receive the freed cash and route it into convex exposure.

That is the entire content of the reinvestment test, and the reason it is a covenant rather than a nice practice.

If you are running a cost programme right now, answer one question before Friday: which forum receives the output, and what did it buy last quarter?

Source: Operator's Manual, System on One Page

THE OPERATOR'S QUESTION

Which forum in your calendar owns the growth question - and what did it buy last quarter?

TODAY'S APPLICATION — one action, before noon

If no forum owns it, schedule one this week. Cost discipline without a receiving forum is extraction.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Excellence in the Wrong Zone

Day 42. Week six closes here.

Zone confusion is the root cause of operating failure - more than strategy error, more than execution weakness, more than market conditions.

Because it is invisible from the inside. Everyone is working hard, the process is being followed, and the discipline being applied is simply the wrong one.

WHY IT HOLDS

Test yourself this week on three live initiatives. For each: which zone, who decided, and on what date?

If the answer is "nobody decided, it just started," you have found a routing failure in progress - and it will present later as an execution problem, which is why it will be addressed with more effort rather than a re-route.

Next week: the eight constitutional principles that govern when rules conflict.

Source: VOS v3.0 4.2

THE OPERATOR'S QUESTION

Where is a disciplined team currently executing perfectly against the wrong zone?

TODAY'S APPLICATION — one action, before noon

Name it. Re-route or kill it. Do not respond with more effort.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

The Two-Zone Doctrine and Zone Confusion

THE SHIP LIST

Committed ________ Shipped ________ Hit rate ________ %

What did not ship — and was it capacity, dependency or scoping?

KILLS AND VERDICTS

What I killed this week, and what it taught me:

DEPOSITS

Convex actions ____ / 7 Structural-hole contacts ____ / 5 Reputation assets ____

COVENANT CHECK

Runway ______ months Largest concentration ______ % Open severity-1 ______ Tripwires fired ______

NEXT WEEK

The one play. One sentence, executable, countable:

A rule I saw breached, and its root cause — process, tooling, authority or conduct:

WHAT I LEARNED THAT CHANGES HOW I OPERATE

A Constitution Beats a Values Statement

Day 43. Eight principles, published in order of precedence. When two rules appear to conflict, the higher-precedence principle wins.

That ordering is the whole innovation. A values statement lists virtues. A constitution tells you which virtue yields when two of them collide at 4pm on a Thursday.

WHY IT HOLDS

Principle 1: Model every domain by its actual distribution. Lean the Gaussian zones, barbell the power-law zones.

It sits first because everything else inherits from it. Route wrongly and every subsequent discipline is correctly applied to the wrong problem.

This week: one principle a day, in order. Read them as an ordered list, not a menu. The ordering is doing more work than the wording.

Source: Operator's Manual, The Operating Constitution

THE OPERATOR'S QUESTION

When two of your principles conflict at 4pm on a Thursday, which one wins - and does anyone else know?

TODAY'S APPLICATION — one action, before noon

Write your eight principles in order of precedence. Share the ordering with your leadership team.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Principle 2 - No Ruin Risk

Day 44. Constitution, Principle 2:

No bet, vendor, hire or market entry may create ruin risk. Runway above 12 months, single-position concentration below 25%, fractional Kelly sizing - enforced as covenants, not aspirations.

It ranks second because a dead company cannot exploit any of the six below it.

WHY IT HOLDS

The word "aspiration" is the failure mode. Covenants have no override authority, including the founder's, and they are attested monthly by name rather than by function.

When a covenant breaches, the hold takes effect before the discussion, not after it. That ordering is deliberate: a discussion held before the hold is a negotiation about whether the covenant applies, and once that negotiation happens, you no longer have a covenant.

Survivorship precedes returns. Always in that order.

Source: Operator's Manual, Constitution #2; A.5

THE OPERATOR'S QUESTION

Which of your covenants currently has an override path, formal or informal?

TODAY'S APPLICATION — one action, before noon

Close one override path today. Write down who may not waive it, including you.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
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EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Principle 3 - Manage the Lead, Not the Lag

Day 45. Constitution, Principle 3:

Tests shipped per week, cycle time per loop and cost per experiment lead every lagging financial result by one to three quarters.

Manage the lead. The lag is a receipt.

WHY IT HOLDS

The failure sequence without leading indicators is always identical. Quarter one: revenue holds, because forward-buying and discount depth can hold any revenue line for a quarter. Quarter two: repeat rate decays and spend climbs to defend the number. Quarter three: gross margin confirms what the cohorts said in quarter one - except the fix now costs a reset, a write-down and a leadership change.

The design rule that follows: leading indicators outnumber lagging two to one on every scorecard. Enforced at scorecard design, not discovered at review.

Source: Operator's Manual, Constitution #3; Part H

THE OPERATOR'S QUESTION

Which leading indicator would have told you about your last bad quarter, one quarter earlier?

TODAY'S APPLICATION — one action, before noon

Add it to the scorecard this week. Every surprise is evidence of a missing leading indicator.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Principle 4 - Traceability or Deletion

Day 46. Constitution, Principle 4:

Every metric on every scorecard traces through the driver tree to a revenue, margin, opex or cash line - in one step.

The question: "Which P&L line does this number move, and in how many steps?"

More than one step and it is deleted. The meeting that reviews it is cancelled.

WHY IT HOLDS

This sounds harsh until you count. The alternative is present in every stalled business: forty metrics across eleven dashboards, none reconciled, each owned by a function that picked the definition flattering its own quarter.

Sales reports gross. Finance reports net a third lower. Marketing reports lift on a seven-day window while the baseline erodes in week two.

Nobody is lying. Everybody is wrong. And the disagreement is not discovered in a review - it is discovered in a restatement.

Source: Operator's Manual, Constitution #4; Part D opening

THE OPERATOR'S QUESTION

Which metric on your scorecard cannot be traced to a P&L line in one step?

TODAY'S APPLICATION — one action, before noon

Find one. Delete it. Cancel the part of the meeting that reviewed it.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Principle 5 - Evidence Over Narrative

Day 47. Constitution, Principle 5:

Cohorts over averages.

Base rates over anecdotes.

Pre-registered criteria over post-hoc stories.

The narrative fallacy is a named defect with a named cost - not a personality trait.

WHY IT HOLDS

The cheapest of the three, and the one most often skipped, is the base-rate check: before approving anything, ask what happened the last ten times a company like ours tried this.

It costs one meeting and prevents the most expensive class of error. Where an outside view exists, it outranks the inside view by default, and the burden of proof sits with whoever is claiming this time is different.

Pre-registration is the same discipline applied forward: an experiment without a criterion written before the data arrive is not an experiment. It is a narrative waiting to be written.

Source: Operator's Manual, Constitution #5; A.6

THE OPERATOR'S QUESTION

Where did you substitute a story for a base rate this month?

TODAY'S APPLICATION — one action, before noon

Before your next approval, write the outside view first and the inside view second.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Principle 6 - Intelligence at Every Workstation

Day 48. Constitution, Principle 6:

Intelligence at every workstation. Humans repositioned to judgment, taste and relationships. Headcount growth decoupled from revenue growth by design.

And a human gate on anything customer-visible, retailer-visible, financial or legal.

WHY IT HOLDS

The boundary condition is empirical, not philosophical. Inside a tool's capability frontier, users work markedly faster at higher quality. Outside it, they do worse than unassisted peers - one controlled study measured a 19-point loss of correctness.

So the service-level definition is how you operationalise the frontier: specify exactly which outputs the agent ships autonomously and which require the human gate.

Agents take the tasks where context is cheap. Humans concentrate where context is expensive, and where the cost of a confident error is measured in something other than dollars.

Source: Operator's Manual, Constitution #6; G.5

THE OPERATOR'S QUESTION

Where is your team working outside the capability frontier and losing quality without knowing?

TODAY'S APPLICATION — one action, before noon

Pick one automated workflow. Write the line between what ships autonomously and what requires a signature.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
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EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Principles 7 and 8 - Cadence and Trust

Day 49. The last two, and the week's close.

7: Strategy does not cascade through documents. It cascades through a fixed stack of meetings, each with one scorecard, one owner, one decision output.

8: Trust leads retention, velocity and compliance. It is built through predictable communication and spent through silence and surprise - which is why it sits on the dashboard next to cash, not in the values statement.

WHY IT HOLDS

No stalled business has ever recovered on the strength of a strategy deck. Many have recovered on the strength of a calendar.

And trust is measurable: the share of surveyed partners and key accounts answering yes to one question - were the commitments this company made in the last four quarters kept? Target above 80%, rising.

Eight principles, in order. Where two rules of the same class conflict, these govern, in this sequence. Print them.

Next week: the rules that have no exception process at all.

Source: Operator's Manual, Constitution #7-8; Metrics & Questions 1.12

THE OPERATOR'S QUESTION

What did you promise your partners and your people in the last four quarters - and did you keep it?

TODAY'S APPLICATION — one action, before noon

Run the one-question trust scan on one group this week. Read the answer without defending it.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

The Operating Constitution

THE SHIP LIST

Committed ________ Shipped ________ Hit rate ________ %

What did not ship — and was it capacity, dependency or scoping?

KILLS AND VERDICTS

What I killed this week, and what it taught me:

DEPOSITS

Convex actions ____ / 7 Structural-hole contacts ____ / 5 Reputation assets ____

COVENANT CHECK

Runway ______ months Largest concentration ______ % Open severity-1 ______ Tripwires fired ______

NEXT WEEK

The one play. One sentence, executable, countable:

A rule I saw breached, and its root cause — process, tooling, authority or conduct:

WHAT I LEARNED THAT CHANGES HOW I OPERATE

Rules With No Exception Process

Day 50. Some rules have an exception path. A few have none.

The moment a non-negotiable becomes negotiable, the system has a hole and entropy will find it.

The first exception granted under pressure teaches the organisation that your ruleset is a negotiating position.

WHY IT HOLDS

Every subsequent enforcement then costs a conversation that should have cost nothing.

Which is why the amendment path matters more than the rule: standards amend at the Quarterly Reset, covenants amend at the Annual Offsite, both in writing, for everyone. Never in the meeting the rule constrains.

If a rule is genuinely wrong, that is a Reset agenda item, not a room-temperature decision. The opportunity will still be there after the Reset. The enforcement will not survive a single exception.

Source: Rule Book, Operating Doctrine; Rules 107-108

THE OPERATOR'S QUESTION

Which of your rules was last breached for a convenient reason, and what did that teach the room?

TODAY'S APPLICATION — one action, before noon

Identify one non-negotiable that has quietly become negotiable. Restore it in writing, publicly.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

One Scorecard, One War Room, One Ship List

Day 51. Non-negotiable #1:

One scorecard. One war room. One seven-day ship list. Single-threaded owners on everything.

A meeting with two scorecards is two meetings badly merged - and the merged version always defaults to whichever scorecard the senior person prefers.

WHY IT HOLDS

Ship lists are binary. Shipped or not shipped. No percentages, no status colours, no partial credit.

The enforcement mechanism is not managerial. It is social: executives protect their hit rate in front of peers far more reliably than any reporting structure compels them to.

And last week's list is reviewed aloud before this week's is written. Skip that and the list becomes a wish register within a month.

Source: Operator's Manual, Non-Negotiables; Rules 202-205

THE OPERATOR’S QUESTION

How many scorecards does your most important weekly meeting actually review?

TODAY’S APPLICATION — one action, before noon

If more than one, split the meeting or delete one scorecard. Do it before the next session.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday’s demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ______________________ What I got wrong today:

No Decision Without Its File

Day 52. Non-negotiable #2:

No capital, hire or vendor decision without its matrix, its pre-mortem and its decision-journal entry.

Measure it: journal coverage - the share of Type 1 decisions with a complete file. Target 100%. Most businesses cannot compute it at all.

WHY IT HOLDS

The complete file is five things: matrix score where one exists, pre-mortem, red-team memo, base-rate check, and a predicted outcome with a number and a date.

That last field is what makes the journal useful rather than ceremonial. Renewals and retrospectives are judged against recorded predictions, never reconstructed memory - and reconstructed memory is uniformly flattering.

A CEO signature is invalid without the file. Not discouraged. Invalid.

Source: Rule 104; Metrics & Questions 9.5

THE OPERATOR'S QUESTION

What share of your material decisions from last quarter have a complete file?

TODAY'S APPLICATION — one action, before noon

Take today's largest decision. Write the prediction, with a number and a date, before you sign.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Would I Re-Sign This Today?

Day 53. One question, applied to three categories, quarterly:

"Would I re-sign this person, this vendor, this commitment today, at full information?"

If no, you have already made the decision. The only remaining question is whether you pay the exit cost now or the compounding cost for three more years.

WHY IT HOLDS

Sunk cost is not an argument. Continuation is a fresh capital-allocation decision priced on forward evidence only.

The question works because it strips out everything that is not decision-relevant: what you have already spent, how hard the conversation will be, and who advocated for it originally.

Run it on your top twenty people and your top ten vendors this quarter. The maybes become development plans or exit plans within thirty days - and a maybe held for two years is not a personnel problem, it is a cultural one.

Source: Metrics & Questions, Pocket Card 11; Rule 410

THE OPERATOR'S QUESTION

Which person, vendor or commitment would you not re-sign today at full information?

TODAY'S APPLICATION — one action, before noon

Write the name. Then write the date by which it becomes a plan rather than a feeling.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

The Nine Non-Negotiables

Day 54. The full list. No exception process exists for any of them:

1. One scorecard, one war room, one 7-day ship list
2. No capital, hire or vendor decision without matrix, pre-mortem, journal entry
3. Cohorts over averages; base rates over anecdotes
4. Runway >12 months; concentration <25%; fractional Kelly; no ruin
5. Pilot before scale - channels, products, promotions, vendors, people
6. Kill fast, publicly and cheaply
7. Ship the daily structural-hole contact before reactive work
8. One play at a time
9. Every AI workflow has a named owner and a stated gate before it ships

WHY IT HOLDS

Read #9 carefully: before it ships. Not after the first complaint.

And #6 is the one organisations resist most, because kills feel like failures to everyone who has not been taught the base rate. Celebrate the kill as validated learning, credit it as completed work, and let the owner announce it.

An initiative that cannot name its owner, its WIP slot and its kill criterion does not exist. Neither does a meeting that cannot name its decision output.

Source: Operator's Manual, The Non-Negotiables

THE OPERATOR’S QUESTION

Which of the nine non-negotiables is the weakest in your organisation right now?

TODAY’S APPLICATION — one action, before noon

Rank all nine by how reliably they hold. Attack the weakest this week.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday’s demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

What a Missing Rulebook Costs

Day 55. A $120M business: 38 active strategic initiatives, 11-week average approval latency on any spend above $25K, and a CEO calendar holding 34 hours a week of recurring meetings with no defined decision outputs.

Installing the stack took one week.

WHY IT HOLDS

WIP limit of five. A standard intake form requiring every new initiative to displace one on the stop-doing list. A weekly war room with a single scorecard. A Monday ship list with named owners.

Within eight weeks: approval latency fell to 9 days, initiative count fell to seven, and the spend gate killed two auto-renewed negative-ROI programmes - recovering roughly 180 basis points of gross margin before a single new growth initiative shipped.

Nothing about the strategy changed. The physics changed.

Source: Operator's Manual C.4, From the Field

THE OPERATOR'S QUESTION

How many active strategic initiatives do you have, and what is your approval latency?

TODAY'S APPLICATION — one action, before noon

Count both today. Write the numbers down. They are your baseline.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
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EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

The Most Convenient Breach

Day 56. Week eight closes on the sentence I would tattoo on a boardroom wall:

A rulebook is only as strong as its most convenient breach.

Not its hardest. Its most convenient - the one granted to the person you did not want to argue with, on the day you were tired.

WHY IT HOLDS

Which is why the escalation path is designed to remove judgment from the moment: the breach is named out loud at the time by whoever observes it. Naming a breach is never an accusation. Failing to name one you observed is a conduct issue.

Then it is logged with the rule number, the circumstance and the cost - and root-caused as process defect, tooling gap, unclear authority, or conduct. Only the fourth is a personnel matter.

And a rule breached repeatedly across multiple owners is a defective rule, not a defective organisation.

Source: Rule Book, Breach and Escalation; Rule 1011

THE OPERATOR'S QUESTION

What was the last exception you granted under pressure, and what did it license afterwards?

TODAY'S APPLICATION — one action, before noon

Write the amendment path for your rules: which forum, which cadence, which class. Publish it.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

The Non-Negotiables

THE SHIP LIST

Committed ________ Shipped ________ Hit rate ________ %

What did not ship — and was it capacity, dependency or scoping?

KILLS AND VERDICTS

What I killed this week, and what it taught me:

DEPOSITS

Convex actions ____ / 7 Structural-hole contacts ____ / 5 Reputation assets ____

COVENANT CHECK

Runway ______ months Largest concentration ______ % Open severity-1 ______ Tripwires fired ______

NEXT WEEK

The one play. One sentence, executable, countable:

A rule I saw breached, and its root cause — process, tooling, authority or conduct:

WHAT I LEARNED THAT CHANGES HOW I OPERATE

Words Are Infrastructure

Day 57. The loop is fractal, which means a coordinator at any level can walk into any review and ask the same questions.

That only works if the words mean the same thing in every room.

Shared vocabulary is not culture. It is infrastructure - and it is cheaper to install than any system you will buy this year.

WHY IT HOLDS

The most expensive number in any business is the one two functions compute differently and neither knows it.

So metric definitions are single and published, and no function adopts a variant of a shared metric. If your system computes one differently, either change the system or bring the discrepancy to the Quarterly Reset. Do not quietly run a second definition.

This week: seven binding definitions, one a day. They look like glossary entries. They are actually enforcement mechanisms.

Source: Operator's Manual, Shared Vocabulary; Rule 307

THE OPERATOR'S QUESTION

If four people in four functions defined your most-quoted metric in writing, would the definitions match?

TODAY'S APPLICATION — one action, before noon

Run the test today. Ask four people separately. Compare in silence.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Binding Constraint

Day 58. Definition 1 - binding constraint:

The single variable whose relief moves the P&L most. Named on one page with cohort evidence.

Not five priorities confirmed with enthusiasm. One constraint, confirmed with data. Everything else waits.

WHY IT HOLDS

The discipline is in the number one. A business with five priorities has none, because attention is the scarcest input and it does not divide cleanly.

The diagnostic time box is ten days, and the gate convenes on day ten regardless of how interesting the remaining questions are - because the diagnostic expands to fill available curiosity. Week three arrives with a beautiful segmentation and no decision.

Anything not bearing on the constraint goes to a parking lot nobody is allowed to work.

Source: Operator's Manual, Vocabulary; B.2

THE OPERATOR'S QUESTION

Can you name your binding constraint in one sentence, with the cohort cut that proves it?

TODAY'S APPLICATION — one action, before noon

Write it on one page. If it takes ten, you have not found it yet.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ______________________ What I got wrong today:

Gate, Pre-Registration, Tripwire

Day 59. Three definitions that carry most of the system's weight:

Gate - a capital-allocation decision with a pre-registered evidence requirement. Default answer: No-Go.

Pre-registration - hypothesis, target metric, MDE, sample, run time, guardrails, kill criteria, and the decision each outcome triggers. Signed before launch.

Tripwire - a threshold whose breach changes the default action without further debate.

WHY IT HOLDS

Notice what each definition removes: discretion at the moment of maximum pressure.

The gate inverts the burden of proof so continuation must be argued rather than assumed. Pre-registration removes the option of choosing the criterion after seeing the data. The tripwire removes the discussion that precedes the action.

Each is a small, deliberate surrender of in-the-moment authority in exchange for a system that holds when you are tired, outnumbered, or personally invested.

Source: Operator's Manual, Shared Vocabulary

THE OPERATOR'S QUESTION

Which of your gates has a default answer of yes?

TODAY'S APPLICATION — one action, before noon

Invert one gate today. Make continuation carry the burden of proof.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

What Does 'Owner' Mean Here?

Day 60. Definition 4 - single-threaded owner:

Exactly one accountable name per lever, experiment, metric and initiative.

Shared ownership is unowned. When two executives co-own a relationship, it gets attention exactly when both are free - which is never at the moment the decision is being made on the other side.

WHY IT HOLDS

So the question to ask of any initiative, in public: who owns this - one name?

Never a function. Never two people. Never a committee. If the answer takes more than three seconds or contains the word "and", you have found the reason it has not moved.

And the corollary rule most organisations miss: escalating a decision that belongs to a single-threaded owner is logged as a defect against the escalator, not as diligence.

Source: Operator's Manual, Vocabulary; Rules 101, 105

THE OPERATOR'S QUESTION

Which of your levers has two owners, or a department instead of a name?

TODAY'S APPLICATION — one action, before noon

Fix one ownership gap today. One name, written, communicated.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
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EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Standard Work and the Ship List

Day 61. Two definitions that decide whether wins survive:

Standard work - a validated win codified, documented, trained, and running without its originator present. A win that never becomes standard work was a win that never happened.

Ship list - the binary seven-day commitment set. Shipped or not shipped.

WHY IT HOLDS

Test any recent win against the standard-work definition:

1. Is it written down?
2. Has someone who was not in the pilot been trained on it?
3. Is it running now, with the originator absent?
4. Would it survive the originator leaving next month?

Most "wins" fail at question 3 - which is why transformation gains fade the moment the leader steps back, and why Phase 5 is the most-skipped phase in every failed programme I have reviewed.

Source: Operator's Manual, Vocabulary; B.2

THE OPERATOR'S QUESTION

Which of your recent wins would survive its originator leaving next month?

TODAY'S APPLICATION — one action, before noon

Take one win. Have someone who was not in the pilot run it while you watch and say nothing.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Type 1, Type 2 and the Reinvestment Test

Day 62. Three more, and they change calendars:

Type 1 - high-impact, effectively irreversible. Full substrate required.

Type 2 - reversible at bounded cost. Delegate and move; deliberation costs more than being wrong.

Reinvestment test - every forum that frees cash names where it goes, in the same meeting.

WHY IT HOLDS

The classification is not bureaucratic taxonomy. It is a time allocation instrument.

Most executive calendars are consumed by Type 2 decisions escalated upward - which is queue-building, and queues are waiting waste billed to opex every week they exist.

And the reinvestment test has the sharpest teeth of the three: if the destination is not the convex portfolio, the cadence is extraction. A saving without a named destination is not booked as a saving at all.

Source: Operator's Manual, Vocabulary; Rule 409

THE OPERATOR'S QUESTION

How much of your calendar is consumed by Type 2 decisions that were escalated to you?

TODAY'S APPLICATION — one action, before noon

Push one back today, explicitly, naming the owner and the latency standard.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
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EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Convexity, Defined Precisely

Day 63. Week nine closes on the definition the whole system turns on.

Convexity: bounded, known downside against structurally unbounded upside.

A position with capped upside and open-ended downside is a position to exit, not to fix. That sentence has saved me more money than any spreadsheet I have ever built.

WHY IT HOLDS

Run the vocabulary test on your own organisation this week. Ask four people in different functions to define, in writing, without conferring: binding constraint, gate, owner, and your single most-quoted metric.

If the definitions diverge, you do not have a communication problem. You have four different companies sharing a logo, and every cross-functional argument you have had this year traces back to it.

Next week: the five screens every initiative passes before it consumes a dollar.

Source: Operator's Manual, Shared Vocabulary

THE OPERATOR'S QUESTION

Which position in your portfolio has capped upside and open-ended downside?

TODAY'S APPLICATION — one action, before noon

Name it. Schedule the exit conversation rather than the improvement plan.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ______________________ What I got wrong today:

Shared Vocabulary: Words That Bind

THE SHIP LIST

Committed ________ Shipped ________ Hit rate ________ %

What did not ship — and was it capacity, dependency or scoping?

KILLS AND VERDICTS

What I killed this week, and what it taught me:

DEPOSITS

Convex actions ____ / 7 Structural-hole contacts ____ / 5 Reputation assets ____

COVENANT CHECK

Runway ______ months Largest concentration ______ % Open severity-1 ______ Tripwires fired ______

NEXT WEEK

The one play. One sentence, executable, countable:

A rule I saw breached, and its root cause — process, tooling, authority or conduct:

WHAT I LEARNED THAT CHANGES HOW I OPERATE

Five Screens, Cheapest Disqualifier First

Day 64. Before any initiative consumes a dollar, an hour or a seat, it passes five screens in fixed order:

1. Classify - Type 1 or Type 2?
2. Route - is variance the waste or the product?
3. Price the shape - convex, symmetric or concave?
4. Test survival - can we survive total failure?
5. Apply substrate - what evidence does this class require?

WHY IT HOLDS

The screens are ordered so the cheapest disqualifier fires first, and the first failure ends the process.

An initiative that fails screen 4 is not improved by a brilliant answer to screen 5. Most proposals die on screen one or two, which is the intended yield - not a sign the process is too harsh.

The most expensive meetings in any company are the ones spent perfecting proposals that should have died on screen two.

Source: Operator's Manual A.1

THE OPERATOR'S QUESTION

Which proposal currently in flight should have died on screen one or two?

TODAY'S APPLICATION — one action, before noon

Run the five screens on your largest live proposal. Stop at the first failure.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Classify Before You Deliberate

Day 65. Screen 1. Classify first, because the class determines who decides, how fast, and what paperwork attaches.

Type 1: irreversible, or reversible only at severe cost; above 10% of quarterly discretionary spend; touches a covenant; customer-, regulator- or capital-facing.

Everything else is Type 2 until proven otherwise.

WHY IT HOLDS

Type 1 requires a named executive with formal red-team dissent on the record, and the CEO signs. Latency standard: 10 business days from proposal to signature.

Type 2 is decided by the single-threaded owner. Alone. No committee. Latency standard: 3 business days, and silence from consulted parties inside the window is consent.

Speed is impossible without pre-cleared authority, because every uncleared decision right is a queue with a measurable opex cost.

Source: Operator's Manual A.2; Rules 104-106

THE OPERATOR'S QUESTION

Which decisions are you treating as Type 1 that are actually reversible at bounded cost?

TODAY'S APPLICATION — one action, before noon

Reclassify one today and delegate it with a three-day latency standard.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
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EVENING — WHAT MOVED?

Bought or earned? ______________________ What I got wrong today:

Decision Latency by Class

Day 66. Measure two numbers and publish them:

Decision latency by class - median business days from proposal to signature, measured separately for each class.

Approval touch count - median distinct approvers before signature. Target 2-3 for delegated classes.

WHY IT HOLDS

A decision right without a service-level commitment is a suggestion. The latency standard is what converts "finance is slow" from a grievance into a measurable miss with an owner.

And the touch count is where the hidden cost lives. Consultation lists grow one name per organisational embarrassment - each addition rational in isolation, collectively ruinous.

Which is why adding an approver requires naming the one being displaced. Caps force the trade-off into the open where it can be priced.

Source: Metrics & Questions 6.6-6.7; Rule 103

THE OPERATOR'S QUESTION

What is your median decision latency by class - and have you ever measured it?

TODAY'S APPLICATION — one action, before noon

Measure one class this week. Publish the number to the people it affects.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
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EVENING — WHAT MOVED?

Bought or earned? ______________________ What I got wrong today:

Is This Reversible, and at What Cost?

Day 67. The classification question, asked precisely:

"Is this reversible - and at what cost?"

Not "is it important." Importance drives attention. Reversibility drives process. Plenty of important decisions are cheaply reversible and should be made alone, today, by the owner.

WHY IT HOLDS

Two failure modes sit either side of this question.

Treating Type 2 decisions as Type 1 builds queues, trains the organisation to escalate, and puts the CEO's calendar on the critical path of everything.

Treating Type 1 decisions as Type 2 produces irreversible commitments made at speed with no red team, no pre-mortem and no journal entry - and those are the ones that appear in a case study three years later.

The cost of deliberation exceeds the cost of being wrong only in one of the two.

Source: Operator's Manual A.2; Vocabulary

THE OPERATOR'S QUESTION

For today's biggest decision: is it reversible, and at what cost?

TODAY'S APPLICATION — one action, before noon

Answer before you deliberate. Let the answer set the process, not the seniority in the room.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
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EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

The Five Decision Classes

Day 68. Five classes, five different treatments:

1. Type 1 material - matrix, pre-mortem, red team, base-rate check, journal. CEO signs. <=10 days
2. Type 1 structural (changes the system itself) - Quarterly Reset only. Never mid-quarter
3. Type 2 - single-threaded owner, alone. <=3 days
4. Bounded information purchase (pilot, test, paid trial) - pre-registration doc, nothing else. Same week
5. Automatic hold (tripwire fired) - nobody decides. The hold precedes the discussion

WHY IT HOLDS

Class 4 is the one that unlocks speed. A pilot is a bounded purchase of information, so conviction is sufficient budget authority at pilot scale - and only at pilot scale.

Class 2 is the one that protects the system: changes to cadence, decision rights, covenants or routing rules are never made in the meeting they constrain, and never as an emergency.

There is no emergency path to changing the rules. That is deliberate.

Source: Operator's Manual A.2

THE OPERATOR'S QUESTION

Which of the five decision classes is missing from your organisation entirely?

TODAY'S APPLICATION — one action, before noon

Most often it is the bounded information purchase. Fund one pilot this week on conviction alone.

DAILY OPERATING CHECKLIST

- [ ] Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- [ ] One high-convexity action selected and time-blocked before the calendar filled
- [ ] One structural-hole contact made — a cluster I do not currently reach
- [ ] Ship list reviewed — binary status, no percentages
- [ ] One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ______________________ What I got wrong today:

6-9 Touches, 30-70 Days

Day 69. The measurement I run on every stalled business, and the result is remarkably consistent:

Reconstruct the last ten material decisions from calendar and email. Count touches and elapsed days.

Typical stalled result: 6-9 touches, 30-70 elapsed days.

After decision rights are published with latency standards: 2-3 touches, 3-10 days.

WHY IT HOLDS

That delta is not administrative housekeeping. It is a compounding rate.

Revenue delayed is revenue destroyed at the discount rate. Trust in partners and the front line decays measurably during leadership silence. And every week of deliberation is a week of compounding donated to a competitor who decided faster.

The reconstruction takes an analyst two days and it is the highest-yield diagnostic in the entire first fortnight. Run it before you buy anything.

Source: Operator's Manual A.2 Consequence Framing; B.2

THE OPERATOR'S QUESTION

How many touches and how many days did your last material decision actually take?

TODAY'S APPLICATION — one action, before noon

Reconstruct it from calendar and email. The number will be worse than you expect. Write it down.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Speed Is the Strategic Variable

Day 70. Week ten closes here.

Speed is the strategic variable, not the plan.

If roughly one in three tests wins, the team running twelve loops a quarter finds four winners while the annual-planning team is still wordsmithing its first hypothesis.

WHY IT HOLDS

That is the entire argument for the decision sequence. Not tidiness. Arithmetic.

Speed is also what makes honest experimentation survivable: at a one-third base rate, a slow operator experiences failure as evidence the approach is wrong, while a fast operator experiences it as the expected cost of the four wins.

Same base rate. Opposite conclusions. The difference is loop count.

Next week: publishing the authority that makes speed possible.

Source: Operator's Manual B.3

THE OPERATOR'S QUESTION

How many loops did your organisation complete last quarter?

TODAY'S APPLICATION — one action, before noon

Count them. Then compute how many winners that implies at a one-third base rate.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

The Decision Sequence and Classification

THE SHIP LIST

Committed ________ Shipped ________ Hit rate ________ %

What did not ship — and was it capacity, dependency or scoping?

KILLS AND VERDICTS

What I killed this week, and what it taught me:

DEPOSITS

Convex actions ____ / 7 Structural-hole contacts ____ / 5 Reputation assets ____

COVENANT CHECK

Runway ______ months Largest concentration ______ % Open severity-1 ______ Tripwires fired ______

NEXT WEEK

The one play. One sentence, executable, countable:

A rule I saw breached, and its root cause — process, tooling, authority or conduct:

WHAT I LEARNED THAT CHANGES HOW I OPERATE

Publish the Grid in Week One

Day 71. Decision rights that live in the CEO's head still route every decision through the CEO's calendar.

Publish the grid in week one: decision right, one responsible name, a capped consulted list, informed parties, and a latency standard against each.

Unpublished authority is a defect, not a discretion.

WHY IT HOLDS

Two features matter more than the assignments themselves.

The latency standard converts slowness from a grievance into a measurable miss with an owner and a number.

And the cap on the consulted list makes the cost of each added approver explicit - because left unmanaged, consultation lists grow one name per organisational embarrassment.

Adapt the nouns to your business. Do not adapt the two features.

Source: Operator's Manual C.4; Rule 102

THE OPERATOR'S QUESTION

Which decisions still route through your calendar because the grid has never been published?

TODAY'S APPLICATION — one action, before noon

Publish three decision rights today: one name, capped consulted list, latency standard.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Silence Is Consent

Day 72. Rule 106: Silence from a consulted party inside the latency window is consent.

This single rule removes more elapsed days than any tool you will buy. It shifts the burden from "chase everyone until they respond" to "object inside the window or the decision proceeds."

WHY IT HOLDS

It only works if two conditions hold.

First, the window has to be published and short - three days for delegated classes. A window nobody knows about is not a window.

Second, dissent has to be genuinely safe to voice, because silence-as-consent is only fair when speaking is costless. Rule 1003 is the pair to this one: dissent is voiced in the room, and consent carries accountability.

Install one without the other and you have built a mechanism for manufacturing fake alignment at speed.

Source: Rules 106, 1003

THE OPERATOR'S QUESTION

Where is a pocket veto currently slowing you down?

TODAY'S APPLICATION — one action, before noon

Announce the silence-is-consent rule for one decision class this week, with a stated window.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Forum Decision Yield

Day 73. A metric almost nobody instruments, and it deletes meetings by itself:

Forum decision yield - decisions produced per forum-hour consumed.

Compute it for every recurring meeting on your calendar this month. A forum below threshold is deleted, not improved.

WHY IT HOLDS

The companion rule: every forum produces exactly one decision artifact. A forum producing only shared awareness is deleted from the calendar.

And any agenda item that cannot name its decision output in advance is removed and routed to a dashboard.

When a team complains about too many meetings, the diagnosis is almost never the count. It is that decisions are being made at the wrong layer, so every forum re-litigates the layer below it. Fix the layer and the count fixes itself.

Source: Metrics & Questions 9.4; Rules 201, 203

THE OPERATOR'S QUESTION

Which of your recurring meetings produced no decision last month?

TODAY'S APPLICATION — one action, before noon

Compute decisions per forum-hour for your three largest meetings. Delete the bottom one at the next reset.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Which Forum Owns This Decision?

Day 74. The question that ends most circular meetings in one sentence:

"Which forum owns this decision?"

A ship list is never debated at the monthly review. Capital allocation is never debated at the daily huddle. Authority is exercised at the layer that owns it, and no forum re-litigates the layer below it.

WHY IT HOLDS

Read the cadence stack as a control system, not a reporting hierarchy.

The daily layer is the sensor array. The weekly layer is the actuator. Monthly and quarterly are the feedback controllers that retune the system. The annual offsite is the only forum permitted to change the system's objectives.

Once you see it that way, the misrouted agenda item becomes obvious - and so does the reason the meeting keeps running long.

Source: Operator's Manual C.1; Rules 113, 208

THE OPERATOR’S QUESTION

Which forum owns the decision your team keeps re-litigating?

TODAY’S APPLICATION — one action, before noon

Name it out loud in the next meeting it comes up. Route it there and move on.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday’s demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

The Seven Decision Rights to Publish First

Day 75. If you publish nothing else, publish these seven with one name and a latency standard against each:

1. Offer and portfolio authority
2. Promotion authority - depth, frequency, mechanics
3. Incentive and overlay authority
4. Claims and compliance language
5. Customer and partner communications
6. Headcount requisition
7. Vendor commitment above the materiality threshold

WHY IT HOLDS

Two of these carry a hard precondition rather than just a latency standard.

Headcount requisition: no path exists without a documented, failed automation review on file.

Vendor commitment: no signature without the matrix, the pilot result and the pre-mortem.

Everything else is a service-level commitment. These two are gates - which is the difference between a decision that must be fast and a decision that must be earned.

Source: Operator's Manual C.4

THE OPERATOR'S QUESTION

Which of the seven decision rights is least clear in your business?

TODAY'S APPLICATION — one action, before noon

Publish that one today with a name and a latency standard against it.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
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EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

11 Weeks to 9 Days

Day 76. The intervention that produced the largest measured improvement per hour invested, in my experience:

Approval latency on spend above $25K fell from 11 weeks to 9 days.

Cost: one week of work publishing a grid. No system purchased. No headcount added. No strategy changed.

WHY IT HOLDS

The same intervention cut active initiatives from 38 to seven, and the newly-installed spend gate killed two auto-renewed negative-ROI programmes - recovering roughly 180 basis points of gross margin before a single growth initiative shipped.

I include this case whenever someone tells me their organisation is too complex for published decision rights. Complexity is the argument for publishing them, not against.

The grid is a week of work. The queue it removes has been billing you every week for years.

Source: Operator's Manual C.4, From the Field

THE OPERATOR'S QUESTION

What would one week of publishing your decision rights be worth against your current approval latency?

TODAY'S APPLICATION — one action, before noon

Block the week. The queue you have not removed is billing you already.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Authority Is Infrastructure

Day 77. Week eleven closes here.

Every uncleared decision right is a permanent queue billed to opex every week it exists.

You are already paying for the grid you have not published. The only question is whether you are getting anything for the money.

WHY IT HOLDS

Three actions from this week, in order of yield:

1. Reconstruct your last ten material decisions. Count touches and days.
2. Publish the seven decision rights with one name and a latency standard each.
3. Log every executive override of a system decision and review them at the next Reset.

That third one is the discipline that keeps the grid real. Any override is legitimate. An unlogged override is how the grid quietly becomes decorative.

Next week: the single hardest rule to enforce - one name.

Source: Operator's Manual C.4; Rule 109

THE OPERATOR'S QUESTION

Which override did you make last quarter that nobody logged?

TODAY'S APPLICATION — one action, before noon

Start the override log today. Not to forbid them - to count them.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Decision Rights and Latency Standards

THE SHIP LIST

Committed ________ Shipped ________ Hit rate ________ %

What did not ship — and was it capacity, dependency or scoping?

KILLS AND VERDICTS

What I killed this week, and what it taught me:

DEPOSITS

Convex actions ____ / 7 Structural-hole contacts ____ / 5 Reputation assets ____

COVENANT CHECK

Runway ______ months Largest concentration ______ % Open severity-1 ______ Tripwires fired ______

NEXT WEEK

The one play. One sentence, executable, countable:

A rule I saw breached, and its root cause — process, tooling, authority or conduct:

WHAT I LEARNED THAT CHANGES HOW I OPERATE

Shared Ownership Is Unowned

Day 78. Rule 101, and the hardest rule in the book to hold:

Every initiative, metric, gate, workflow and relationship has exactly one accountable name.

Not a function. Not two people. Not a committee. Shared ownership is unowned - and it fails silently, which is why it survives so long.

WHY IT HOLDS

The failure is specific and predictable. When two executives co-own a relationship, it gets attention exactly when both are free - which is never at the moment the decision is being made on the other side of the table.

The test is simple and public: name the owner, out loud, in three seconds. If the answer contains "and", or a department, you have found the reason it has not moved.

This rule is a covenant. There is no override authority, including the founder's.

Source: Rule 101; Operator's Manual C.2

THE OPERATOR'S QUESTION

Which of your important things has no single name against it?

TODAY'S APPLICATION — one action, before noon

Pick the most important one. Assign one name today. Tell them.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
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EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

New Work Enters Only by Displacement

Day 79. Rule 209: Work in progress is capped at the stated limit. New initiatives enter only by displacing an item on the stop-doing list.

Default cap: five. And the rule is a covenant, enforced at the intake gate - not a guideline enforced by whoever is least tired.

WHY IT HOLDS

Approval gridlock and initiative sprawl look like opposite diseases. They are the same disease at different stages.

When nothing can be approved, everything gets proposed - and the backlog becomes a shadow portfolio consuming management attention without producing a single shipped outcome.

The displacement rule prices every new idea in the only currency that is actually scarce: the attention of the people who would have to do it. Ideas are free. Slots are not.

Source: Rule 209; Operator's Manual C.2

THE OPERATOR'S QUESTION

How many active initiatives are you running, and what is your cap?

TODAY'S APPLICATION — one action, before noon

Set the cap. Then require the next new idea to displace something on the stop-doing list.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
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EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

WIP Compliance

Day 80. Two counts, weekly, published:

1. Active initiatives against the cap
2. Intakes that entered without displacing anything

Target: at or below cap, zero undisplaced intakes. The second number is the one that tells you whether the gate is real.

WHY IT HOLDS

Undisplaced intakes are how a WIP limit dies. Nobody announces that the cap has been abandoned. It erodes one urgent exception at a time, each defensible, until the count is fourteen and the war room is a status meeting again.

Pair it with the initiative count trend over eight weeks. A rising count with flat output is the signature of a shadow portfolio forming.

And track any temporary structure that has quietly become permanent without being formalised. That is the same failure wearing a different label.

Source: Metrics & Questions 9.9; Rule 209

THE OPERATOR'S QUESTION

How many initiatives entered your portfolio this quarter without displacing anything?

TODAY'S APPLICATION — one action, before noon

Count the undisplaced intakes. That number tells you whether your gate is real.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Who Owns This - One Name?

Day 81. Five questions, asked of any initiative, in any review:

1. Who owns this - one name?
2. What is the WIP slot it occupies?
3. What is the kill criterion, and has anyone read it since it was written?
4. Which phase is it actually in?
5. What did we stop to fund it?

WHY IT HOLDS

An initiative that cannot name its owner, its WIP slot and its kill criterion does not exist. Say that out loud once in a review and watch how quickly the register cleans itself.

Question 3 is the sharp one. Kill criteria are written enthusiastically at launch and never read again, which is how a project acquires the immortality of an unexamined assumption.

Question 4 catches the most common misalignment in any portfolio: the team believes it is scaling, the evidence says it is still piloting.

Source: Operator's Manual, Non-Negotiables; Metrics & Questions Pt.4

THE OPERATOR'S QUESTION

Can everyone on your team name the owner of your top five initiatives in three seconds?

TODAY'S APPLICATION — one action, before noon

Test it today. Ask three people. Compare the answers.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

The Ownership Audit

Day 82. A ninety-minute audit with a very high hit rate:

1. List every initiative, metric, gate, workflow and key relationship.
2. Write one name beside each - no function names permitted.
3. Circle every blank, every "and", every department.
4. For each circle, assign one name this week.
5. Publish the list where everyone can see it.

WHY IT HOLDS

Expect three findings, and they recur in every business I have run this in.
Something important has no owner at all and has been drifting for quarters.
Something has two owners who each believe the other is handling the hard part.
And one person owns eleven things, which means they own nothing - they are a queue with a job title.
The publication step is not administrative. Ownership that is not visible is ownership that can be quietly declined.

Source: Operator's Manual I.2; Rule 101

THE OPERATOR'S QUESTION

Who in your organisation owns eleven things - and therefore owns nothing?

TODAY'S APPLICATION — one action, before noon

Run the ownership audit. Circle every blank, every 'and', every department name.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
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EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Unowned Monitoring Is Worse Than None

Day 83. The clearest illustration of why ownership is a covenant rather than a preference:

An unowned agent is decommissioned, not reassigned later.

Because an unowned monitoring workflow does not fail loudly. Thresholds go stale, feeds break, flags fire into an empty room - and everyone believes they are covered.

WHY IT HOLDS

That is strictly worse than having no monitoring, because no monitoring at least produces appropriate anxiety.

The same structure applies to metrics, dashboards and escalation paths. Unowned instrumentation manufactures false confidence, and false confidence is what allows a drift to run for four quarters before anyone says the sentence out loud.

The characteristic failure of survivorship metrics is not absence. It is inattention: everyone saw the number drift, and nobody was accountable for naming it.

Source: Rule 809; Operator's Manual H.1, G.5

THE OPERATOR'S QUESTION

Which monitoring in your business is unowned and therefore manufacturing false confidence?

TODAY'S APPLICATION — one action, before noon

Find one stale threshold or broken feed. Assign an owner or decommission it today.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
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EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

One Name Is the Whole System

Day 84. Week twelve closes here.

Almost every failure mode in this system reduces to a missing name.

An unowned metric drifts. An unowned agent manufactures false confidence. An unowned relationship gets attention when everyone is free. An unowned rule becomes folklore within four quarters.

WHY IT HOLDS

So if you install one thing from the first quarter of this series, install the owner list. It costs a morning.

And hold the line on the number: one. The instinct to add a second name is almost always an attempt to avoid a hard conversation about who is actually accountable - and that conversation does not get easier by being deferred into an org chart.

Next week: how to price the shape of a bet before you take it.

Source: Rule 101; Operator's Manual, System on One Page

THE OPERATOR'S QUESTION

If every failure in your business traced back to a missing name, which name would it be?

TODAY'S APPLICATION — one action, before noon

Publish the owner list. One name per lever. It costs a morning.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

WEEKLY REVIEW · WEEK 12

Single-Threaded Ownership and WIP Limits

THE SHIP LIST

Committed ________ Shipped ________ Hit rate ________ %

What did not ship — and was it capacity, dependency or scoping?

KILLS AND VERDICTS

What I killed this week, and what it taught me:

DEPOSITS

Convex actions ____ / 7 Structural-hole contacts ____ / 5 Reputation assets ____

COVENANT CHECK

Runway ______ months Largest concentration ______ % Open severity-1 ______ Tripwires fired ______

NEXT WEEK

The one play. One sentence, executable, countable:

A rule I saw breached, and its root cause — process, tooling, authority or conduct:

WHAT I LEARNED THAT CHANGES HOW I OPERATE

Score the Shape Before You Score the Case

Day 85. Every proposed position gets scored on five dimensions before it enters the backlog:

1. Downside bound
2. Upside structure
3. Reversibility
4. Information yield
5. Correlation

The screen is deliberately crude. Its job is to sort, not to price.

WHY IT HOLDS

Composite above 3.0 is required for anything entering the outside zone. Below 3.0 the position is symmetric or concave and belongs inside the machine, if it belongs anywhere.

Score the shape before you evaluate the case, because a compelling case for a concave position is the most dangerous document in a business - it recruits conviction toward a structure that cannot pay you back for being right.

Shape first. Merit second. Never the reverse.

Source: Operator's Manual A.4

THE OPERATOR'S QUESTION

Which of your live positions has never been scored on shape, only on merit?

TODAY'S APPLICATION — one action, before noon

Score one position on the five dimensions before you next fund it.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
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EVENING — WHAT MOVED?

Bought or earned? ______________________ What I got wrong today:

Capped Upside, Open Downside - Exit, Don't Fix

Day 86. The single most valuable sentence in the framework:

A position with capped upside and open-ended downside is a position to exit, not to fix.

Most turnaround effort is spent optimising positions whose structure makes the effort unrecoverable no matter how well it is executed.

WHY IT HOLDS

Look for the shape in places it hides: a contract where your best case is delivering on time and your worst case is unbounded liability; a channel where volume is capped by the partner and reputational exposure is not; a product line where upside is a fixed step change and downside touches the balance sheet.

Ask it at the quarterly convexity audit, out loud, of every position: which of these have capped upside and open-ended downside?

Those are exits. Not improvement projects.

Source: Operator's Manual A.4; Metrics & Questions Pt.3

THE OPERATOR'S QUESTION

Which position are you trying to improve that you should be exiting?

TODAY'S APPLICATION — one action, before noon

Write the shape - upside and downside - for your three most troubled positions. Act on what you see.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Convexity-Weighted Pipeline Value

Day 87. Most pipelines are weighted by probability. Weight yours by convexity instead.

Convexity-weighted pipeline value: the sum of positions weighted by their convexity score rather than probability alone.

Probability weighting systematically favours the safe and the small. That is exactly backwards in a power-law domain.

WHY IT HOLDS

Pair it with the portfolio standard: more than 60% of the active slate must be structurally unbounded.

And watch for the most common trap in the whole screen - a 5 on downside bound with a 1 on information yield. A cheap test that cannot teach you anything is not cheap. It is free waste, and it consumes a WIP slot that a real question needed.

Reviewed at the Quarterly Reset, alongside the convexity audit.

Source: Metrics & Questions 8.1; Operator's Manual A.4

THE OPERATOR'S QUESTION

Is your pipeline weighted by probability, which favours the safe and small?

TODAY'S APPLICATION — one action, before noon

Re-weight one review by convexity instead. Note what moves to the top.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
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EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

What Is the Bounded Downside, and Who Capped It?

Day 88. Five questions for any proposal to enter a new market, channel or product:

1. What is the bounded downside, known before we start - and who capped it?
2. What is the pre-registered per-unit productivity floor for the first ring?
3. What is the smallest version that still answers the question?
4. What is the base rate?
5. What have you done to prove your own thesis wrong?

WHY IT HOLDS

Question 1 has two halves and the second is the one that gets skipped. "Bounded" is a claim. "Who capped it, and by what structure" is evidence.

Downside capped at structure - earnouts, staged tranches, partner participation, pilot budgets - is real. Downside capped at hope, discipline or an intention to stop early is not capped at all.

Question 3 is the cheapest value creation in the sequence. Most proposals shrink by 70% under it without losing any of their information yield.

Source: Metrics & Questions Pt.3; Operator's Manual A.4

THE OPERATOR'S QUESTION

For your largest bet: who capped the downside, and by what structure?

TODAY'S APPLICATION — one action, before noon

If the answer is 'we intend to stop early', it is not capped. Add structure today.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
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EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

The Five-Dimension Screen

Day 89. Score each 1, 3 or 5. Composite above 3.0 to enter the outside zone:

Downside bound: 1 = open-ended. 5 = capped at a pre-agreed pilot cost known before launch

Upside: 1 = fixed step change. 5 = compounds on every future cohort

Reversibility: 1 = multi-year lock-in. 5 = reversible inside one cycle at near-zero cost

Information yield: 1 = unreadable regardless of result. 5 = answers a named driver-tree question

Correlation: 1 = fails when everything else fails. 5 = uncorrelated with the book

WHY IT HOLDS

The correlation dimension is the one operators under-weight, and it is the one that decides whether your portfolio survives a bad year.

Five bets that all depend on the same channel holding, the same partner renewing, or the same consumer condition persisting are not five bets. They are one bet with five invoices.

Uncorrelated shots are what make the base rate survivable. Correlated shots are what make a single bad quarter existential.

Source: Operator's Manual A.4

THE OPERATOR'S QUESTION

Which of the five dimensions do you consistently under-weight - and what has it cost?

TODAY'S APPLICATION — one action, before noon

Score one live position on all five. Look for the 5-on-downside, 1-on-information-yield trap.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Convexity Is Available Below Fair Value

Day 90. Why this screen is worth running at all:

Models built on normal distributions systematically undervalue fat-tail events by an estimated 30-50%.

Which means convex structures - capped downside, unbounded upside - are persistently available below fair value to operators who know how to build them.

WHY IT HOLDS

That is a standing arbitrage, not a market anomaly that closes.

It shows up as test-market sequences instead of national launches, limited-time offers instead of permanent SKUs, earnout-structured acquisitions instead of fixed-price deals, and single-counterparty exposure limits instead of concentration discovered in a crisis.

Each is the same trade: pay a little more for structure, and be paid a lot more for being right. Most organisations do the opposite because structure looks like a cost on the day you buy it.

Source: VOS v3.0 1.1

THE OPERATOR'S QUESTION

Where are you paying for optionality you are giving away for free?

TODAY'S APPLICATION — one action, before noon

Find one contract or commitment where reversibility was surrendered without being priced.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
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EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Conviction Funds Pilots. Only Data Funds Scale.

Day 91. Week thirteen closes on the exchange rate between two currencies.

Conviction may fund a pilot. Only measured lift against a control may fund a scale-up.

The pilot is cheap, fast and reversible - conviction is sufficient budget authority. The scale-up is expensive, slow to reverse and organisationally self-sealing.

WHY IT HOLDS

Operators who let conviction fund scale-ups are gambling. Operators who demand full statistical significance before funding pilots are frozen, and will be out-shipped by anyone who is not.

The gate is the exchange rate between the two, and holding it is what separates a portfolio from a series of enthusiasms.

Next week: the four covenants that decide whether you are still in the game to collect.

Source: Operator's Manual A.4 Operating Doctrine; Rule 510

THE OPERATOR'S QUESTION

Where has conviction recently funded a scale-up rather than a pilot?

TODAY'S APPLICATION — one action, before noon

Draw the line explicitly on one initiative: what conviction may fund, and what requires measured lift.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

The Convexity Screen

THE SHIP LIST

Committed ________ Shipped ________ Hit rate ________ %

What did not ship — and was it capacity, dependency or scoping?

KILLS AND VERDICTS

What I killed this week, and what it taught me:

DEPOSITS

Convex actions ____ / 7 Structural-hole contacts ____ / 5 Reputation assets ____

COVENANT CHECK

Runway ______ months Largest concentration ______ % Open severity-1 ______ Tripwires fired ______

NEXT WEEK

The one play. One sentence, executable, countable:

A rule I saw breached, and its root cause — process, tooling, authority or conduct:

WHAT I LEARNED THAT CHANGES HOW I OPERATE

Quarter 1 — The Only Place You May Change Your Own Rules

THE CONVEXITY AUDIT

Which positions have capped upside and open-ended downside? Those are exits, not fixes.

THE SLATE AND THE THRESHOLD

Structurally unbounded share of the active slate: ______ % (floor 60) Documented wins toward threshold: ______ Inbound share of pipeline: ______ %

WHAT I KILLED

If nothing, I am under-shooting. What died this quarter, and what did it buy in learning?

WHERE THE FREED CASH WENT

Every saving names its convex destination. No destination, no credit for the saving.

THE KEEPER TEST

Top people and top vendors. A second consecutive “no” becomes an execution date within two weeks.

PREDICTION REVIEW

What did I predict last quarter, with a number and a date — and what actually happened?

NEXT QUARTER

One binding constraint. One play. Three pre-registered tests. Named owners, dated gates.

RULES TO AMEND

Standards may be amended here. Covenants wait for the annual offsite.

Survivorship Precedes Returns

Day 92. Four covenants. No override authority exists for any of them, including the founder's.

Runway above 12 months. Single customer or channel below 25% of net revenue. Single position at or below 25% of enterprise value. All positions within the fractional Kelly cap.

A covenant with an override is a guideline.

WHY IT HOLDS

These are balance-sheet covenants, not targets. Reviewed weekly, attested monthly by name - not by function, by name.

The distinction between a target and a covenant is what happens on breach. A missed target starts a conversation. A breached covenant triggers an automatic hold, and the hold precedes the discussion.

That ordering is the entire mechanism. Discussion first means a negotiation about whether the covenant applies, and after that negotiation you no longer have one.

Source: Operator's Manual A.5

THE OPERATOR'S QUESTION

Which covenant would break first if your revenue fell 40% next quarter?

TODAY'S APPLICATION — one action, before noon

Model it. Name the month it breaks and the action that prevents it.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
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- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Runway Below 12 Months Stops the Outside Zone

Day 93. Covenant 1: cash runway above 12 months on the 13-week rolling forecast.

On breach: automatic hold on all outside-zone deployment. The bet portfolio is reset before anything else is discussed.

The 13-week forecast is weekly, rolling and non-delegable. That last word is the one CFOs argue with.

WHY IT HOLDS

Runway is not a comfort metric. It is the clock that funds patience - and patience is the input Law 7 monetises.

When runway compresses, the damage is rarely the shortfall itself. It is the forced exits from positions that only needed time, sold at the worst possible moment to the best-capitalised buyer in the category.

Which is why the hold is on the outside zone specifically. You do not stop operating. You stop deploying into convexity you can no longer afford to hold.

Source: Operator's Manual A.5, D.4; Rule 311

THE OPERATOR'S QUESTION

What is your runway on committed outflows only - base case and bear case?

TODAY'S APPLICATION — one action, before noon

Write both numbers. Then name the single event that moves them by more than two months.

DAILY OPERATING CHECKLIST

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- ☐ One structural-hole contact made — a cluster I do not currently reach
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EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Concentration: Flag at 20, Breach at 25

Day 94. Covenant 2, with two thresholds because one is not enough:

Flag at 20% of net revenue. Breach at 25%.

The flag requires a named diversification plan with dates. The breach stops new concentration-increasing commitments entirely.

WHY IT HOLDS

Compute it two ways and expect them to disagree: trailing twelve months, and on the forward order book. The forward view is the one that tells you where you are going.

Then ask the question most concentration reviews skip: what is the second-largest exposure, and would losing both simultaneously be survivable?

Concentration converts slowly everywhere else and instantly at the end. A single-counterparty limit of 25% of capital is federal banking law for exactly this reason.

Source: Metrics & Questions 1.4; Operator's Manual A.5

THE OPERATOR'S QUESTION

What is your largest concentration on a trailing basis, and on the forward order book?

TODAY'S APPLICATION — one action, before noon

Compute both today. The forward book is the one that decides next year.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
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EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

How Much Notice Would We Actually Get?

Day 95. The four questions that make a concentration review real:

1. What is the number trailing twelve months, and on the forward order book?
2. How much notice would we get before this exposure changed - contractually, and realistically?
3. What is the second-largest exposure, and would losing both be survivable?
4. What have we done since last quarter to reduce it, in numbers rather than intentions?

WHY IT HOLDS

Question 2 is the one that separates managed dependency from discovered dependency.

Large suppliers operate with a single retailer at roughly 16-20% of net sales as a deliberately managed exposure - survivable at their scale, fatal at yours, because one planogram reset becomes a company-level event.

Question 4 is where most reviews collapse, because the honest answer is usually "nothing, we discussed it." A diversification intention with no dated actions is a concentration you have chosen to keep.

Source: Metrics & Questions Pt.2, Cash and Survivorship

THE OPERATOR'S QUESTION

How much notice would you actually get before your largest exposure changed?

TODAY'S APPLICATION — one action, before noon

Ask the question contractually and realistically. Write both answers. Compare them.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
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EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

The Six Covenants and Their Actions

Day 96. Every covenant, with the action that fires on breach:

1. Runway <12 months - auto-hold on outside-zone deployment
2. Customer/channel >25% - named diversification plan, no new concentration
3. Single position >25% of EV - structure down: earnouts, tranches, partners
4. Position above Kelly cap - resize before the next tranche deploys
5. Vendor/model >25% single point of failure - stand up a second path before renewal
6. Any open severity-1 - stop-the-line in the affected workflow

WHY IT HOLDS

Notice that each row names the action, not the discussion. That is what makes them covenants.

And note #5, which most businesses have never priced: an API deprecation, pricing shock or capability regression at a sole vendor is structurally identical to losing your largest account - a revenue-side event arriving on the cost side.

Stand up the second path before renewal, not after the outage. The cost is the same. The timing is everything.

Source: Operator's Manual A.5

THE OPERATOR'S QUESTION

Which of your six covenants has a threshold but no defined action?

TODAY'S APPLICATION — one action, before noon

Write the action next to the threshold today. A threshold without an action is a gauge.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
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EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

$150 Million, Ten Million Consumers

Day 97. The 2024 collapse of a banking-as-a-service intermediary froze more than $150 million belonging to roughly ten million consumers across dozens of downstream apps.

It was reported as a technology failure. It was not. It was a driver-tree failure - no single decomposition existed that every party could trust.

WHY IT HOLDS

Two lessons sit inside one event.

When a financial intermediary cannot reconcile its own liabilities to a single source of truth, the reconciliation gap is not discovered in a review. It is discovered in a crisis, by the people whose money it is.

And the regulated version of the same risk is governed by rule - the 25% single-counterparty ceiling - precisely because the unregulated version keeps producing this outcome. The difference between a managed concentration and a headline is often just whether someone imposed the covenant.

Source: Operator's Manual D.3 Consequence Framing

THE OPERATOR'S QUESTION

Where in your business would a reconciliation gap be discovered in a crisis rather than a review?

TODAY'S APPLICATION — one action, before noon

Ask two functions to produce your headline number independently this week. Compare.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
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EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Attested by Name, Not by Function

Day 98. Week fourteen closes on the smallest design detail with the largest behavioural effect.

Covenants are attested monthly by name, not by function.

"Finance confirms runway" is a sentence nobody wrote. A person's name against a number is a person who read it.

WHY IT HOLDS

The characteristic failure of survivorship metrics is not absence. It is inattention. Everyone saw the number drift, and nobody was accountable for saying the sentence out loud.

So Panel One is reviewed weekly in one minute of silence, and attested monthly by name. One minute, because if it needs discussion something has already gone wrong.

This week: name your covenant owners, in writing, and put the first attestation on the calendar.

Next week: the four artifacts that keep both zones honest.

Source: Operator's Manual H.1; Rule 909

THE OPERATOR'S QUESTION

Whose name is against your covenant numbers - or is it a function?

TODAY'S APPLICATION — one action, before noon

Assign covenant owners by name today. Schedule the first monthly attestation.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
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EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Survivorship Covenants

THE SHIP LIST

Committed ________ Shipped ________ Hit rate ________ %

What did not ship — and was it capacity, dependency or scoping?

KILLS AND VERDICTS

What I killed this week, and what it taught me:

DEPOSITS

Convex actions ____ / 7 Structural-hole contacts ____ / 5 Reputation assets ____

COVENANT CHECK

Runway ______ months Largest concentration ______ % Open severity-1 ______ Tripwires fired ______

NEXT WEEK

The one play. One sentence, executable, countable:

A rule I saw breached, and its root cause — process, tooling, authority or conduct:

WHAT I LEARNED THAT CHANGES HOW I OPERATE

Both Zones Fail Cognitively First

Day 99. Lean zones and convex zones fail in opposite ways, and both fail in the head before they fail in the ledger.

Lean fails by normalising drift - the forecast miss that becomes "seasonality."

Convexity fails by narrative capture - the sunk pilot that becomes "strategic."

WHY IT HOLDS

Four artifacts are the only durable countermeasure: the pre-mortem, the red-team memo, the decision checklist, and the decision journal.

Treat them as gating infrastructure, not culture-building suggestions. Culture does not survive a quarter in which the number is missed; infrastructure does.

This week, one artifact at a time. Each takes under an hour to produce and each has prevented losses I can name.

Source: Operator's Manual A.6

THE OPERATOR'S QUESTION

Which drift in your business has been normalised into seasonality?

TODAY'S APPLICATION — one action, before noon

Name one. Then ask what the cohort data says rather than what the explanation says.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
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EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

The Pre-Mortem Is Filed Before Signature

Day 100. Day one hundred, and the highest-yield hour in the framework.

The pre-mortem: "It is twelve months from now and this failed completely. Why?"

Written before signature, on every material commitment. Not after approval. Not as a formality. Before.

WHY IT HOLDS

The standard of completion has teeth: the three most-cited failure modes each get a named owner and a leading metric designed to surface them early.

Without that step it is an anxiety exercise. With it, it becomes an early-warning system built by the people who know the initiative best, at the only moment they are permitted to be pessimistic without it costing them anything.

And it produces a testable artifact: pre-mortem predictiveness - the share of realised failures that had been named in advance.

Source: Rule 907; Operator's Manual A.6, X.3

THE OPERATOR'S QUESTION

Twelve months from now, this decision failed completely. Why?

TODAY'S APPLICATION — one action, before noon

Write the pre-mortem for your largest live commitment. Give the top three failure modes owners and leading metrics.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
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- ☐ One structural-hole contact made — a cluster I do not currently reach
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EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Prediction Accuracy Is a Measurable Skill

Day 101. The decision journal turns judgment from a reputation into a measurement.

Every Type 1 decision records a predicted outcome with a number and a date.

Then: prediction accuracy - the share of recorded predictions that proved directionally correct at their review date. Calibration matters more than the level.

WHY IT HOLDS

That single field is what makes the journal useful rather than ceremonial. Renewals and retrospectives are then judged against recorded predictions, never reconstructed memory.

Reconstructed memory is uniformly flattering. Everyone remembers having had reservations.

The honest follow-up when a prediction misses: was the error in the evidence, in the reasoning, or in the base rate we chose to ignore? Three different failures, three different fixes.

Source: Metrics & Questions 9.6; Operator's Manual X.3

THE OPERATOR'S QUESTION

What did you predict last quarter, in writing, with a number and a date?

TODAY'S APPLICATION — one action, before noon

Log one prediction today for a decision you are about to make. Set the review date now.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
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- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

What Have You Done to Prove Yourself Wrong?

Day 102. The falsification question. End every analysis with it:

"What have you done to prove your thesis wrong?"

If the answer is nothing, you have not received an analysis. You have received a story with numbers attached.

WHY IT HOLDS

Confirmation is the default cognitive setting. Disconfirmation is the work - and it is work nobody does unless it is asked for by name, on schedule, in public.

Which is why the rule exists in two forms. Rule 1006: no one presents a conclusion they have not attempted to falsify, and the chair may reject the item unheard. And Rule 908: every Type 1 decision carries a formally resourced red-team memo, written by someone whose job that week is to defeat it.

Not a devil's advocate at the table. A memo, in advance, on the record.

Source: Rules 908, 1006; Operator's Manual A.6

THE OPERATOR'S QUESTION

What have you done to prove your current strongest thesis wrong?

TODAY'S APPLICATION — one action, before noon

If the answer is nothing, spend an hour today doing exactly that.

DAILY OPERATING CHECKLIST

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- ☐ One structural-hole contact made — a cluster I do not currently reach
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- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

The Base-Rate Check

Day 103. The cheapest discipline available and the one most often skipped:

"What happened the last ten times a company like ours tried this?"

It costs one meeting. It prevents the most expensive class of error in business - the plan built entirely from the inside view.

WHY IT HOLDS

Four rules govern its use:

1. Every forecast is compared to the outside view before approval.
2. Where an outside view exists, it outranks the inside view by default.
3. The burden of proof sits with whoever claims this time is different.
4. The base rate goes in the journal entry, so the next decision inherits it.

Most executives can produce a detailed inside view in an afternoon and have never spent an hour on the outside view. Reverse the ratio once and see what it catches.

Source: Operator's Manual A.6; Rule 508

THE OPERATOR'S QUESTION

What happened the last ten times a company like yours tried what you are about to try?

TODAY'S APPLICATION — one action, before noon

Write the outside view before the inside view on today's largest decision.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
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EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Artifacts Do Not Have Charisma Bias

Day 104. Why decision quality is scored on artifacts rather than impressions:

Decision quality carries 25% of the performance rubric, and it is scored on gate memos, pre-mortems and journal entries - not on the manager's memory of how smart someone sounded in meetings.

Artifacts do not have charisma bias. Memories do.

WHY IT HOLDS

The same logic runs through the whole system. Interviewers score independently and in writing before any group discussion. Vendor scorers submit before the evaluation meeting. The most junior person is asked first, because the moment the most senior person states a view, everyone who has not already committed a number is anchored to it.

Debrief-first processes reliably convert a panel of five interviewers into one interviewer with four witnesses.

Independence is what makes five measurements five measurements.

Source: Operator's Manual F.4, F.3; Metrics & Questions Pt.5

THE OPERATOR'S QUESTION

Where are you scoring people and vendors on impressions rather than artifacts?

TODAY'S APPLICATION — one action, before noon

Pick one evaluation this week. Score it from documents, not from memory of meetings.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
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EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Four Artifacts, One Purpose

Day 105. Week fifteen closes here.

Pre-mortem: what kills this, named in advance, with owners.

Red team: the strongest case against, resourced and written.

Checklist: bias check, base rate, consequence framing, reversibility.

Journal: the prediction, with a number and a date, and the name that signed.

WHY IT HOLDS

Together they cost perhaps three hours per material decision, and they are the difference between an organisation that learns and one that accumulates anecdotes.

The test of whether you actually have them: pick any large decision from twelve months ago and try to find the four documents. If you cannot, then whatever your organisation currently believes about that decision is a story assembled after the fact - by people with an interest in the ending.

Next week: the seven questions the system asks of everything, forever.

Source: Operator's Manual A.6

THE OPERATOR'S QUESTION

Pick a large decision from twelve months ago. Can you find the four artifacts?

TODAY'S APPLICATION — one action, before noon

If not, everything your organisation believes about it is a story assembled afterwards.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
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EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

The Decision-Quality Substrate

THE SHIP LIST

Committed ________ Shipped ________ Hit rate ________ %

What did not ship — and was it capacity, dependency or scoping?

KILLS AND VERDICTS

What I killed this week, and what it taught me:

DEPOSITS

Convex actions ____ / 7 Structural-hole contacts ____ / 5 Reputation assets ____

COVENANT CHECK

Runway ______ months Largest concentration ______ % Open severity-1 ______ Tripwires fired ______

NEXT WEEK

The one play. One sentence, executable, countable:

A rule I saw breached, and its root cause — process, tooling, authority or conduct:

WHAT I LEARNED THAT CHANGES HOW I OPERATE

A Permanent Test Pattern

Day 106. Seven questions asked at every gate, every business review, and every decision that moves capital, people or positions.

Not a checklist to complete once. The permanent test pattern the operating system runs against reality - the same seven, in the same order, forever.

WHY IT HOLDS

Their value is precisely that they do not change. A team that hears them weekly begins pre-answering them, which is the point: the questions migrate from the review into the design of the proposal itself.

That migration is what a functioning operating system feels like from the inside. Nobody is being interrogated. Everybody arrived with the answers because they knew which seven were coming.

One a day this week.

Source: Operator's Manual A.7

THE OPERATOR'S QUESTION

Which of the seven standing questions does your team never hear from you?

TODAY'S APPLICATION — one action, before noon

Ask that one today, in a meeting, out loud.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
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- ☐ One structural-hole contact made — a cluster I do not currently reach
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EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Q1 - Are We Buying Today's Volume With Tomorrow's Baseline?

Day 107. Standing Question 1:

"Are we buying today's volume with tomorrow's baseline erosion?"

If the spike decays into a lower baseline - deal-dependent customers, trained partners, diluted price integrity - the volume was borrowed, not earned.

WHY IT HOLDS

This question is mandatory in the War Room whenever two tripwires fire in the same quarter, and the burden of proof shifts to whoever wants to continue the current posture.

The evidence standard is specific: the 60-90 day true-ROI window - spike minus discounts, returns, deductions and pull-forward decay. Not the lift chart.

Any event judged on lift-week sales is measuring a loan, not a gain. And loans have repayment schedules that arrive in a quarter nobody has forecast.

Source: Operator's Manual A.7, D.4; Rule 313

THE OPERATOR'S QUESTION

Where are you buying today's volume with tomorrow's baseline?

TODAY'S APPLICATION — one action, before noon

Compute non-promoted baseline velocity, seasonally adjusted, for your largest line.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
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EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Q2 and Q3 - Shape and Pre-Registration

Day 108. Standing Question 2: is the payoff convex, symmetric or concave?

Standing Question 3: what was the pre-registered criterion, and what does the signed document say?

Measure Q3 directly: pre-registration compliance - the share of live tests with a complete signed document dated before launch. Target 100%.

WHY IT HOLDS

Q2 catches the position to exit rather than optimise. Q3 catches the narrative before it forms.

An experiment without a pre-registered criterion is not an experiment. It is a narrative waiting to be written - and un-pre-registered tests produce the same failure rate as pre-registered ones while converting failures into anecdotes that get scaled anyway.

That is the expensive part. Not the failure. The failure being promoted to a case study.

Source: Operator's Manual A.7, E.3; Metrics & Questions 5.9

THE OPERATOR'S QUESTION

What share of your live tests have a signed criterion dated before launch?

TODAY'S APPLICATION — one action, before noon

Compute pre-registration compliance today. Anything below 100% is a narrative factory.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Q4 and Q5 - Survival and Falsification

Day 109. Standing Question 4: if this fails completely, can we survive it?

Standing Question 5: what have you done to prove your thesis wrong?

Four is the ruin check - no bet, hire, vendor or market entry may create it. Five is the confirmation check, and it is the one that changes how people prepare.

WHY IT HOLDS

Q4 has a mandatory artifact attached: the pre-mortem, filed before signature. It is insurance, priced at one hour.

Q5 has a permanent standing: confirmation is the default cognitive setting, disconfirmation is the work. If nothing has been done to falsify the thesis, the thesis is still a story.

Asked together, these two questions eliminate the two failure modes that account for most catastrophic decisions: unbounded exposure, and unexamined conviction.

Source: Operator's Manual A.7

THE OPERATOR'S QUESTION

If your largest current bet failed completely, could you survive it?

TODAY'S APPLICATION — one action, before noon

Answer in writing, with the number. If you cannot, the bet is mis-sized, not mis-managed.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Q6 and Q7 - People and Leverage

Day 110. Standing Question 6: would I fight to keep this person - and have I told them?

Standing Question 7: what would this workflow look like at pennies of intelligence, and who still has to sign?

Six is the keeper test, run in both directions. A "maybe" is a "no" with a delay attached.

WHY IT HOLDS

Q6 in both directions is the part that gets skipped. You ask whether you would fight to keep them. You also ask whether they would fight to stay - and whether anyone has ever told them explicitly that you would fight.

Q7 identifies re-architecture candidates, and carries its own guardrail: the human gate on anything that leaves the building, moves money, or touches a real person's live problem.

Leverage without a gate is not leverage. It is unpriced risk with a productivity story attached.

Source: Operator's Manual A.7, F.5, G.6

THE OPERATOR'S QUESTION

Would you fight to keep your top five people - and have you told them?

TODAY'S APPLICATION — one action, before noon

Tell one of them today, explicitly. Most people have never been told.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
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- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
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EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Twelve Questions That Work on Anything

Day 111. If you carry nothing else from this year, carry these:

1. What is the number?
2. Show me the cohort.
3. Which node moved - reach, velocity, or price and mix?
4. Did we buy it or earn it?
5. Are we buying today's volume with tomorrow's baseline erosion?
6. What was the pre-registered criterion?

WHY IT HOLDS

7. What decision does each outcome trigger?
8. If this fails completely, can we survive it?
9. What have you done to prove your thesis wrong?
10. Who owns this - one name?
11. Would I re-sign this person, vendor, commitment today at full information?
12. What would this workflow look like at pennies of intelligence - and who still has to sign?

Twelve questions, no industry assumptions, no software required. They work in a plant, a clinic, a loan book and a media business without modification.

Source: Metrics & Questions, The Pocket Card

THE OPERATOR'S QUESTION

Which of the twelve pocket-card questions do you ask least often?

TODAY'S APPLICATION — one action, before noon

Carry the twelve today. Use the one you skip in your next review.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

The Purpose of a Question

Day 112. Week sixteen closes on the rule that governs all the others.

The purpose of a question is not to establish that you are the smartest person in the room.

It is to make it cheap for someone to tell you the truth.

WHY IT HOLDS

Questions that punish the answer teach the organisation to manage you rather than inform you - and an organisation that manages its leadership is blind at exactly the altitude where blindness is fatal.

So: never ask a question you have already decided the answer to, unless you are explicitly testing whether the answer arrives honestly - and if so, say afterwards that you were testing.

A pattern of loaded questions teaches the room to guess your view rather than report theirs. You will get agreement, on schedule, forever.

Source: Metrics & Questions Pt.5

THE OPERATOR'S QUESTION

Are your questions making it cheap for people to tell you the truth?

TODAY'S APPLICATION — one action, before noon

Ask one question today whose honest answer would be inconvenient for you. Then say thank you.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

The Seven Standing Questions

THE SHIP LIST

Committed ________ Shipped ________ Hit rate ________ %

What did not ship — and was it capacity, dependency or scoping?

KILLS AND VERDICTS

What I killed this week, and what it taught me:

DEPOSITS

Convex actions ____ / 7 Structural-hole contacts ____ / 5 Reputation assets ____

COVENANT CHECK

Runway ______ months Largest concentration ______ % Open severity-1 ______ Tripwires fired ______

NEXT WEEK

The one play. One sentence, executable, countable:

A rule I saw breached, and its root cause — process, tooling, authority or conduct:

WHAT I LEARNED THAT CHANGES HOW I OPERATE

The Default Answer Is No-Go

Day 113. Every gate in the system runs on one inversion:

The default answer is No-Go. The burden of proof sits with continuation.

That inverts the sociology of most organisations, where launches are celebrated and kills are career events.

WHY IT HOLDS

A gate is a capital-allocation decision with a pre-registered evidence requirement - not a status update with a decision attached at the end.

And a gate review that produces "we need two more weeks" is a No-Go, not a deferral. Deferral is how 90-day plans become 90-week plans, and it is always available because there is always one more question worth asking.

The clock is the constraint. Gates convene on their scheduled date regardless of how interesting the remaining questions are.

Source: Operator's Manual A.8, Part I; Rules 110-111

THE OPERATOR'S QUESTION

Which of your gates has a default answer of yes and a burden of proof on the sceptic?

TODAY'S APPLICATION — one action, before noon

Invert one today. State it in the meeting so everyone hears the change.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Six Moves, Same Order, Every Time

Day 114. The gate script exists so gate discipline does not depend on the seniority or mood of whoever is chairing.

1. Read the criterion aloud, from the signed document, with its date
2. State the measured result against the required result
3. Call the verdict
4. Ask the override question
5. Name the next commitment
6. File it

WHY IT HOLDS

Move 1 is not ceremony. Pre-registration only works if the criterion is read from the document rather than from memory - because memory quietly edits criteria toward whatever the result happened to be.

Move 2 is numbers before interpretation. Result first, always. A story delivered alongside a figure is an attempt to set your interpretation before you have formed one.

Same six moves whether the gate is a $50K vendor pilot or a market entry. Only the nouns change.

Source: Operator's Manual A.8

THE OPERATOR'S QUESTION

When was the last time you read a pre-registered criterion aloud, from the document?

TODAY'S APPLICATION — one action, before noon

Do it at your next gate. Verbatim, with the date, before any result is discussed.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Gate Hit Rate and Override Count

Day 115. Two numbers tell you whether your gates are real:

Gate hit rate - the share of scheduled gates decided on their scheduled date with a recorded verdict. Target 95%+.

Gate override count - continuations granted despite a missed pre-registered criterion. Target near zero, each with a logged written case.

WHY IT HOLDS

Then decompose the overrides. Is the count concentrated in one chair, one owner, or one initiative type?

Concentration in a chair is a training problem. Concentration in an owner is a performance conversation. Concentration in an initiative type usually means the criterion was mis-set at pre-registration, which is a process defect rather than a discipline failure.

Three different findings, three different fixes - and none of them visible from the headline number.

Source: Metrics & Questions 9.1-9.2

THE OPERATOR'S QUESTION

What is your gate hit rate, and how many overrides did you grant last quarter?

TODAY'S APPLICATION — one action, before noon

Count both. Then check whether the overrides concentrate in one chair, one owner, or one type.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

What Would Have to Be True to Override Our Own Criterion?

Day 116. Move 4, and the only legitimate route to continuation:

"What would have to be true for us to override our own criterion?"

If nobody can answer it in one sentence, the verdict stands.

WHY IT HOLDS

The question is precisely constructed. It does not ask whether we should continue - that invites advocacy from whoever is most invested. It asks what fact would have to exist, which is answerable or it is not.

And it is honest about the possibility of override. Criteria are set in advance with imperfect information, and occasionally the world provides a genuine reason. But the reason has to be nameable, in one sentence, in public, and logged.

When no case is offered, the gate memo records the sentence: "no override case was offered."

Source: Operator's Manual A.8, X.3

THE OPERATOR'S QUESTION

What would have to be true for you to override your own criterion?

TODAY'S APPLICATION — one action, before noon

Ask it in one sentence at your next gate. If nobody can answer, the verdict stands.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

The Gate Memo

Day 117. One page, every gate, no exceptions:

1. The criterion, quoted verbatim from the signed pre-registration, with its date
2. The measured result against the required result
3. The verdict: kill, iterate or scale
4. The answer to the override question - or the sentence "no override case was offered"
5. The next commitment: owner, resource, date

WHY IT HOLDS

Item 5 is what converts a gate from an event into a decision. A gate that ends without a named next commitment has produced awareness, not a decision - and awareness does not consume a WIP slot, so it lingers.

And the whole memo goes into the journal with its prediction, which converts the gate from an event into longitudinal data.

Twelve months later, renewal decisions are made against recorded predictions rather than reconstructed memory. That is the compounding asset.

Source: Operator's Manual X.3, A.8

THE OPERATOR'S QUESTION

Do your gate decisions produce a memo, or a feeling?

TODAY'S APPLICATION — one action, before noon

Write a one-page gate memo for your next decision. Five fields. File it.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

The Meeting That Changes the Reflexes

Day 118. The meeting that changes an organisation's reflexes is almost never the one where something is approved. It is the first one where a pre-registered floor is enforced against a senior voice asking for one more quarter.

WHY IT HOLDS

Once the room watches a gate hold under pressure, the gates become real everywhere else at zero additional cost. Nobody needs to be told twice.

And the pattern I have seen repeatedly: the loudest advocate for one more quarter frequently becomes the most aggressive killer of weak initiatives in the building within two quarters. Not because they were converted by argument, but because they watched the standard apply to them and concluded it was real.

Standards are learned by observation, never by memo.

Source: Operator's Manual A.8, From the Field

THE OPERATOR'S QUESTION

Has your organisation ever watched a gate hold against a senior voice?

TODAY'S APPLICATION — one action, before noon

If not, that meeting is the highest-leverage thing on your calendar this quarter.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Three Verdicts, Never Four

Day 119. Week seventeen closes on the sentence that saves the most money per word:

Three verdicts exist. Kill, iterate, scale.

"Keep watching" is not a verdict. It is how zombies consume budget indefinitely, and it is always the most comfortable thing anyone can say.

WHY IT HOLDS

A test that reached its required sample and missed its gate is killed in the meeting it is reviewed. Not after a follow-up analysis. Not pending a conversation with the sponsor.

And success criteria are never redefined after data arrive. A miss is a kill or a re-pilot, never a rename.

Count your zombies this week: initiatives live more than two quarters without a recorded verdict. Target is zero. The number you find is a direct measure of how much comfort your organisation buys with its capital.

Next week: the loop those gates sit inside.

Source: Rules 504-506; Metrics & Questions 5.8

THE OPERATOR'S QUESTION

How many of your initiatives are currently on 'keep watching'?

TODAY'S APPLICATION — one action, before noon

Count your zombies: live more than two quarters without a recorded verdict. Kill one today.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

WEEKLY REVIEW · WEEK 17

The Gate Review Script

THE SHIP LIST

Committed ________ Shipped ________ Hit rate ________ %

What did not ship — and was it capacity, dependency or scoping?

KILLS AND VERDICTS

What I killed this week, and what it taught me:

DEPOSITS

Convex actions ____ / 7 Structural-hole contacts ____ / 5 Reputation assets ____

COVENANT CHECK

Runway ______ months Largest concentration ______ % Open severity-1 ______ Tripwires fired ______

NEXT WEEK

The one play. One sentence, executable, countable:

A rule I saw breached, and its root cause — process, tooling, authority or conduct:

WHAT I LEARNED THAT CHANGES HOW I OPERATE

Ten Days to the Binding Constraint

Day 120. Phase 1. Ten days. Non-negotiable.

Find the single variable whose relief moves the P&L most, name it on one page, and prove it with cohort data.

The gate convenes on day ten regardless of how interesting the remaining questions are.

WHY IT HOLDS

The failure mode is universal and seductive: the diagnostic expands to fill available curiosity. Week three arrives with a beautiful segmentation and no decision.

The countermeasure is the clock. Anything not bearing on the constraint goes to a parking lot that nobody is allowed to work.

One constraint, confirmed with data - not five priorities confirmed with enthusiasm. The number five is where diagnostics go to become strategy documents.

Source: Operator's Manual B.2, R card

THE OPERATOR'S QUESTION

Can you name your binding constraint with cohort evidence, or only with confidence?

TODAY'S APPLICATION — one action, before noon

Set a ten-day clock. The gate convenes on day ten regardless of how interesting the questions are.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Pull Cohorts, Never Averages

Day 121. The method for Phase 1, stated as a rule:

Pull cohort data, never averages. Repeat behaviour by acquisition cohort. Performance by account and by unit. Contribution by product and by channel.

The average is where dying economics hide. Always.

WHY IT HOLDS

Two additional pulls that take one analyst two days each and reliably surface something nobody in the building has seen:

Reconstruct the last ten material decisions from calendar and email, measuring touches and elapsed days.

And run the hidden-economics check: decompose apparent lift into subsidisation, cannibalisation, forward-buying and genuine incrementality.

Staffing: transformation lead at ~80%, one FP&A analyst at ~50%, commercial lead for the trust scan.

Source: Operator's Manual B.2

THE OPERATOR'S QUESTION

Which cohort cut would most embarrass your current explanation of the business?

TODAY'S APPLICATION — one action, before noon

Pull one cohort you have avoided: repeat by acquisition month, or contribution by account decile.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Scorecard v1: Seven Metrics, Each With an Owner

Day 122. The Phase 1 output is not a report. It is three artifacts:

1. The binding constraint, named on one page, with the cohort cut that proves it
2. Scorecard v1 live - seven metrics maximum, each with an owner and a baseline
3. Decision rights published

WHY IT HOLDS

Seven is a ceiling, not a target. A scorecard with twenty metrics is a dashboard, and a dashboard allocates no attention because it competes with itself.

Each metric needs three things before it goes live: a single owner, a baseline number, and a one-step trace to a revenue, margin, opex or cash line.

If a candidate metric fails the trace, it does not go on version one and get fixed later. It is deleted. Version one is where standards are set for everything that follows.

Source: Operator's Manual B.1, I.1

THE OPERATOR'S QUESTION

How many metrics are on your primary scorecard, and does each have an owner and a baseline?

TODAY'S APPLICATION — one action, before noon

Cut it to seven. Every survivor needs a name and a starting number by end of week.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Were Our Commitments Kept?

Day 123. The trust scan. One question does most of the work:

"Were the commitments this company made in the last four quarters kept?"

Run it anonymously across the front line and the top accounts. Target: above 80%, rising.

WHY IT HOLDS

Trust is not a soft metric here. It leads retention, velocity and compliance, and it is built through predictable communication and spent through silence and surprise.

Which is why it sits on the dashboard next to cash rather than in the values statement.

The scan is also the cheapest early-warning system you can install in week one. When a key account is later at risk, the first question is what the trust scan said about that account beforehand - and whether anyone acted on it.

Source: Metrics & Questions 1.12; Operator's Manual B.2

THE OPERATOR'S QUESTION

What did you commit to your partners and your people last quarter, and did you deliver every item?

TODAY'S APPLICATION — one action, before noon

Ask one key account and one front-line group the single trust question. Do not defend the answer.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

The First Fortnight

Day 124. Days 1-14, in order, and the gate is on day 14:

1. Stand up the war room
2. Publish the single-threaded owner list
3. Build the driver tree from the actual P&L
4. Stand up the 13-week rolling cash forecast
5. Publish the stop-doing list
6. Name the binding constraint with cohort evidence
7. Install the spend gate with pre-agreed rejection criteria

WHY IT HOLDS

Gate 1 criteria are measurable, not impressionistic: binding constraint named on one page with cohort evidence; scorecard v1 live with seven metrics or fewer, each with owner and baseline; cash bleed quantified with at least one bleed-stopping action already executed; RACI published.

Note the phrasing on the third one - already executed. Not planned. Gate 1 does not pass on analysis quality.

Source: Operator's Manual I.1, I.2

THE OPERATOR'S QUESTION

Of the seven first-fortnight actions, how many are actually live in your business today?

TODAY'S APPLICATION — one action, before noon

Pick the one that is missing and stand it up this week. Most take under a day.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

The Record Quarter That Had Been Purchased

Day 125. A business celebrating 92% weighted distribution and record quarterly shipments. One afternoon of tree-building found:

Velocity down from 6.1 to 4.2 units per store per week over eight quarters.

Trade spend up from 18% to 27% of gross.

61% of promotional volume from two deep-discount events whose post-event weeks ran below baseline.

WHY IT HOLDS

The record quarter had been purchased.

What happened next: distribution expansion frozen, the two loss-making events cut, and the freed spend moved behind velocity programmes in the 40% of doors still performing.

Net revenue fell 4% for two quarters. Then grew 11% the following year on 2,000 fewer doors.

That sequence - worse before better, on purpose, with the mechanism named in advance - is what a real diagnosis buys you. And it is why Gate 2 exists before any growth dollar is spent.

Source: Operator's Manual D.6, From the Field

THE OPERATOR'S QUESTION

Which of your recent record numbers was purchased rather than earned?

TODAY'S APPLICATION — one action, before noon

Recompute your best recent quarter on a full-price-only basis. Note the difference.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

One Page, One Constraint

Day 126. Week eighteen closes here.

The deliverable of a ten-day diagnostic is one page.

The binding constraint, named, with the cohort cut that proves it. Everything else is appendix - and most of the appendix should never have been produced.

WHY IT HOLDS

If you have inherited a business, these are the seven questions to run first:

1. Which cohort cut has nobody looked at in the last year?
2. What is the 13-week cash position, and who owns it?
3. What is the largest customer, channel and vendor exposure?
4. Which ten decisions took longest last quarter - touches and days?
5. Which programmes auto-renewed without anyone measuring them?
6. Who does everyone quietly route around, and who do they quietly depend on?
7. What has this company promised its partners, and did it keep the promises?

Source: Metrics & Questions Pt.3; Operator's Manual B.2

THE OPERATOR'S QUESTION

If your diagnosis takes ten pages, what have you actually decided?

TODAY'S APPLICATION — one action, before noon

Write your constraint on one page today. Constraint, cohort evidence, owner. Nothing else.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Phase 1 - Diagnose

THE SHIP LIST

Committed ________ Shipped ________ Hit rate ________ %

What did not ship — and was it capacity, dependency or scoping?

KILLS AND VERDICTS

What I killed this week, and what it taught me:

DEPOSITS

Convex actions ____ / 7 Structural-hole contacts ____ / 5 Reputation assets ____

COVENANT CHECK

Runway ______ months Largest concentration ______ % Open severity-1 ______ Tripwires fired ______

NEXT WEEK

The one play. One sentence, executable, countable:

A rule I saw breached, and its root cause — process, tooling, authority or conduct:

WHAT I LEARNED THAT CHANGES HOW I OPERATE

You Do Not Grow Your Way Out of a Leak

Day 127. Phase 2. Four to six weeks. One rule above all others:

No growth dollar is spent until the bleed has demonstrably slowed.

You do not grow your way out of a leak. You plug it.

WHY IT HOLDS

This is not caution. It is sequencing, and the reason is measurement rather than temperament.

Pilot results measured against a still-bleeding baseline are unreadable - you cannot separate the intervention from the deterioration it is swimming against.

And a front line asked to execute growth plays while firefighting does neither. Gate 2 does not pass on effort; it passes on a quantified, slowed bleed.

Source: Operator's Manual B.2, A card; Rule 401

THE OPERATOR'S QUESTION

Where are you spending growth dollars into a system that is still leaking?

TODAY'S APPLICATION — one action, before noon

Name the leak. Quantify it. Decide whether the growth spend can be read against it.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Every Discretionary Commitment Gets a True-ROI Projection

Day 128. Move 1 of Phase 2 - the spend gate:

Every discretionary commitment above the materiality threshold requires a 60-90 day true-ROI projection - lift minus subsidisation, cannibalisation and post-event decay - signed jointly by finance and the business owner.

WHY IT HOLDS

Joint signature is the design detail that makes it work. Finance alone produces a control function the business routes around. The business owner alone produces optimism with a template.

And every rejection states the condition under which the proposal returns. A rejection without a return condition is a relationship problem waiting to happen - it converts a process into a personal refusal.

The requesting owner presents. They do not vote.

Source: Rule 402; Operator's Manual C.3

THE OPERATOR'S QUESTION

Which discretionary commitment above your threshold went out last month without a true-ROI projection?

TODAY'S APPLICATION — one action, before noon

Require the projection on the next one. Two signatures: finance and the business owner.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Quantify the Bleed Before You Slow It

Day 129. Gate 2 is measurable. Three numbers:

1. Cash bleed quantified and demonstrably slowed
2. WIP limit enforced - active initiatives at or below cap
3. Single-threaded owners named on every surviving initiative

WHY IT HOLDS

"Demonstrably" is doing the work in item 1. A bleed that has been discussed is not a bleed that has been slowed, and the gate does not accept intention.

Instrument it through the gross-to-net waterfall and the 13-week rolling forecast, both of which are stood up in the first fortnight precisely so this gate has something to read.

Item 3 is the cheapest of the three and the most frequently deferred, because assigning one name to a shared initiative requires a conversation people would rather have later.

Source: Operator's Manual B.1, I.1

THE OPERATOR'S QUESTION

Have you quantified the bleed, or only discussed it?

TODAY'S APPLICATION — one action, before noon

Put a number on it this week. Then execute one bleed-stopping action before you present anything.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

What Goes on the Stop-Doing List?

Day 130. Move 2 - publish the stop-doing list. Three categories:

1. Tail products
2. Zombie programmes
3. Meetings with no decision output

Stopping is the fastest capacity you will ever create. It needs no budget, no hiring and no vendor.

WHY IT HOLDS

The tail does not merely underperform. It corrupts every average the organisation manages to - which means the stop-doing list improves your measurement quality as well as your capacity.

And the list has a second function: it becomes the displacement register. New initiatives enter the portfolio only by displacing something on it, which converts every future "we should also do X" into a priced trade.

Publish it. An unpublished stop-doing list is a private intention, and private intentions do not displace anything.

Source: Operator's Manual B.2, C.2

THE OPERATOR'S QUESTION

What is on your stop-doing list - and is it published, or private?

TODAY'S APPLICATION — one action, before noon

Publish it today. A private stop-doing list displaces nothing.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

The Four Stabilisation Moves

Day 131. Phase 2, in four moves:

1. Spend gate - 60-90 day true-ROI on every discretionary commitment
2. Stop-doing list - published, with tail products, zombie programmes and decision-free meetings
3. Commercial compact - one play per week, WIP limit of five, intake by displacement
4. Predictable communication - publish the cadence to partners and the front line, then never miss it

WHY IT HOLDS

Move 3 replaces the previous pattern of concurrent "priorities." A business running five plays is running none, and the front line experiences five simultaneous priorities as permission to choose.

Move 4 is the cheapest trust repair available. Trust is rebuilt by predictable communication and spent by silence - so the commitment is not to communicate well, it is to communicate on schedule and then never miss.

Missing a published cadence costs more than never publishing one.

Source: Operator's Manual B.2, A card

THE OPERATOR'S QUESTION

Which of the four stabilisation moves is missing in your business?

TODAY'S APPLICATION — one action, before noon

Spend gate, stop-doing list, one play, predictable communication. Install the missing one this week.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

180 Basis Points Before a Single Growth Initiative

Day 132. What Phase 2 returns before any growth work begins:

In the $120M case: the spend gate killed two auto-renewed negative-ROI programmes, recovering roughly 180 basis points of gross margin - before a single new growth initiative shipped.

Auto-renewal is where negative ROI goes to become permanent.

WHY IT HOLDS

Run this audit this week. List every programme, contract and promotional event that renewed in the last twelve months without an explicit re-underwriting decision.

For each, ask the Rule 410 question: if this were proposed today, with these actuals, would it clear the gate?

Sunk cost is not an argument. Continuation is a fresh capital-allocation decision priced on forward evidence only - and most auto-renewals have never once been priced that way.

Source: Operator's Manual C.4; Rule 410

THE OPERATOR'S QUESTION

Which of your programmes auto-renewed last year without anyone re-underwriting it?

TODAY'S APPLICATION — one action, before noon

List every auto-renewal. Ask of each: would it clear the gate if proposed today, with these actuals?

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Stabilise Is Sequencing, Not Caution

Day 133. Week nineteen closes on the objection I hear every time:

"We do not have four weeks to stabilise. We need growth now."

The answer is arithmetic, not philosophy. Growth spent into a leaking system funds the leak and buys you an unreadable result.

WHY IT HOLDS

You will have spent the money, lost the quarter, and still not know whether the intervention worked - because the baseline was moving underneath it.

Stabilise is not the cautious option. It is the only sequence in which the next phase produces information you can act on.

And the phase is time-boxed at four to six weeks precisely so it cannot become a permanent posture. Stopping the bleed is a phase, not a strategy.

Next week: the bounded test that earns the right to spend.

Source: Operator's Manual B.2

THE OPERATOR'S QUESTION

Are you sequencing, or are you stalling?

TODAY'S APPLICATION — one action, before noon

Time-box your stabilisation phase. Four to six weeks, with a dated gate. Write the date now.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Phase 2 - Stabilize and Align

THE SHIP LIST

Committed ________ Shipped ________ Hit rate ________ %

What did not ship — and was it capacity, dependency or scoping?

KILLS AND VERDICTS

What I killed this week, and what it taught me:

DEPOSITS

Convex actions ____ / 7 Structural-hole contacts ____ / 5 Reputation assets ____

COVENANT CHECK

Runway ______ months Largest concentration ______ % Open severity-1 ______ Tripwires fired ______

NEXT WEEK

The one play. One sentence, executable, countable:

A rule I saw breached, and its root cause — process, tooling, authority or conduct:

WHAT I LEARNED THAT CHANGES HOW I OPERATE

Thirty Days, Bounded Cohort, Pre-Registered

Day 134. Phase 3. Thirty days. No extensions, no "one more month," no reframed metrics.

A bounded cohort with matched controls. Two experiments against the constraint - not twelve.

And every criterion written and signed before launch.

WHY IT HOLDS

Two, not twelve, is the discipline most teams resist. Twelve experiments against a constraint is not ambition; it is an inability to prioritise, and it guarantees that none of them is properly instrumented.

The funding rule for this phase: conviction is sufficient budget authority at pilot scale. It is never sufficient at scale-up.

That asymmetry is what lets a disciplined organisation move fast without gambling. Cheap, fast, reversible decisions are made on judgment. Expensive, slow, self-sealing ones are made on evidence.

Source: Operator's Manual B.2, P card

THE OPERATOR'S QUESTION

Is your current pilot two experiments, or twelve?

TODAY'S APPLICATION — one action, before noon

Cut it to two against the binding constraint. Sign the criteria before anything launches.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Criteria Drift Is the Named Failure Mode

Day 135. The characteristic failure of the pilot phase has a name: criteria drift.

The pilot misses its bar and the room renegotiates the definition of success after the fact.

The countermeasure is procedural: the experiment doc signed on day one is read aloud at the gate, verbatim, before any result is discussed.

WHY IT HOLDS

Reading it aloud is not theatre. It removes the option of a quiet redefinition, which is what happens when the criterion is recalled from memory by people who have seen the result.

And the rule that follows is absolute: success criteria are never redefined after data arrive. A miss is a kill or a re-pilot, never a rename.

Rename it once and every future pre-registration in the business is understood to be provisional.

Source: Rule 506; Operator's Manual B.2

THE OPERATOR'S QUESTION

Where have you renegotiated the definition of success after seeing the result?

TODAY'S APPLICATION — one action, before noon

At your next gate, read the signed criterion aloud before any number is discussed.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Movement at or Beyond the Registered MDE

Day 136. The Phase 3 gate criterion, stated precisely:

Statistically meaningful movement in the target leading metric, at or beyond the registered minimum detectable effect, against control, inside the window.

Every clause in that sentence is load-bearing.

WHY IT HOLDS

"At or beyond the registered MDE" - not any movement in the right direction.

"Against control" - not against last year, not against the pre-period.

"Inside the window" - not with a two-week extension to let it mature.

And the MDE itself has a test at design time: if the minimum detectable effect is smaller than the effect you would actually act on, the test is not worth running. That single check kills a surprising share of proposed experiments before they consume anything.

Source: Operator's Manual B.1, E.3

THE OPERATOR'S QUESTION

Did your last pilot move the target metric beyond its registered MDE, against a control?

TODAY'S APPLICATION — one action, before noon

If you cannot answer, that is the answer. Set the MDE on the next one before launch.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

What Decision Does Each Outcome Trigger?

Day 137. The question that has to be answered before launch, not after:

"What do we do if it wins, if it loses, and if it is inconclusive?"

All three, in advance, in writing. This is the decision map, and a pre-registration without one is incomplete.

WHY IT HOLDS

The inconclusive branch is the one nobody writes and the one that occurs most often. Left undefined, inconclusive results default to "keep watching" - and keep watching is how a failing test consumes budget indefinitely.

Writing the map in advance also exposes a common defect: two of the three branches lead to the same action. If you would scale regardless of the result, you are not running a test. You are running a rollout with a measurement attached, and you should say so and save the instrumentation cost.

Source: Operator's Manual E.3

THE OPERATOR'S QUESTION

Have you written the decision map for all three outcomes - win, lose, inconclusive?

TODAY'S APPLICATION — one action, before noon

Write the inconclusive branch today. It is the one that occurs most and gets defined least.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

The Pre-Registration Form

Day 138. One page. Signed before launch. Read aloud at the gate. If a field is blank, the test does not launch:

1. Falsifiable hypothesis with a mechanism
2. Exactly one target metric, named on the driver tree
3. Minimum detectable effect, as a number
4. Sample size and run time, computed from the MDE
5. Randomisation unit, with a sample-ratio-mismatch check scheduled
6. Guardrails - trust, margin, returns at minimum
7. Holdout, for any always-on programme
8. Kill criteria
9. Decision map for all three outcomes
10. Two signatures - owner and forum chair

WHY IT HOLDS

Field 6 is the one that prevents a pyrrhic win. A result that moves the target metric while breaching a guardrail is a loss, and without pre-registered guardrails it will be reported as a win.

Field 2 says exactly one. Metric shopping is a named defect, not an analytical style.

Source: Operator's Manual E.3

THE OPERATOR'S QUESTION

Which field on the pre-registration form does your team most often leave blank?

TODAY'S APPLICATION — one action, before noon

Fill in every field for one live test this week. If a field cannot be filled, the test should not run.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
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EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

A Third Wins. A Third Does Nothing. A Third Harms.

Day 139. The base rate that justifies the entire apparatus:

At Microsoft-scale experimentation, roughly one third of ideas improved the metric they were designed to improve. About a third did nothing, and a third actively harmed it.

At Google, roughly 10% of some 12,000 experiments in a year led to actual business changes. Netflix operates on a standing assumption that 90% of what it tries is wrong.

WHY IT HOLDS

Read those together. Expert intuition - yours, mine, your CMO's, your board's - is a coin flip weighted against you.

Which means a business shipping four major initiatives a year on conviction alone will, at the observed base rate, spend roughly two-thirds of its growth budget on things that do nothing or do harm. And it will never know which third worked, because nothing was measured against a control.

Testing velocity is not a growth tactic. It is the only honest epistemology available to an operator.

Source: Operator's Manual, Part E opening

THE OPERATOR'S QUESTION

If a third of your ideas are actively harmful, how would you currently know which third?

TODAY'S APPLICATION — one action, before noon

Add a control or a holdout to one always-on programme this week.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

A Miss Is a Kill or a Re-Pilot

Day 140. Week twenty closes here.

An initiative that cannot show pre-registered metric movement at the pilot gate is killed or restructured.

Continuing it is reclassified - from "perseverance" to a new, and stupid, capital-allocation decision.

WHY IT HOLDS

Sunk costs are recovered exactly never. And every week a failing programme consumes is a week of compounding donated to the competitor who killed their version of it faster.

The cultural work is making the kill cheap to announce. Kills are announced by the owner and credited as completed work. The killed test is filed in the failure archive with its learning stated specifically enough to be reused.

That archive is an asset. Each entry is purchased information about your driver tree that no competitor can see.

Next week: what to do with the third that works.

Source: Operator's Manual B.2; Rules 511, 1009

THE OPERATOR'S QUESTION

Which failed initiative in your business has been renamed rather than killed?

TODAY'S APPLICATION — one action, before noon

Say the verdict out loud in the next review. Three words, and the capital comes back.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Phase 3 - Pilot

THE SHIP LIST

Committed ________ Shipped ________ Hit rate ________ %

What did not ship — and was it capacity, dependency or scoping?

KILLS AND VERDICTS

What I killed this week, and what it taught me:

DEPOSITS

Convex actions ____ / 7 Structural-hole contacts ____ / 5 Reputation assets ____

COVENANT CHECK

Runway ______ months Largest concentration ______ % Open severity-1 ______ Tripwires fired ______

NEXT WEEK

The one play. One sentence, executable, countable:

A rule I saw breached, and its root cause — process, tooling, authority or conduct:

WHAT I LEARNED THAT CHANGES HOW I OPERATE

Expand in Rings

Day 141. Phase 4. Expand in rings - by banner, region, channel or segment - because economics degrade as you leave your best-fit customers.

Each ring must re-earn its expansion. No ring opens until the prior ring's economics are on the scorecard.

WHY IT HOLDS

The reason is structural rather than operational. Your pilot ran where the fit was best, which means the pilot result is an upper bound, not a representative sample.

Ring two is a different population with different acquisition costs, different service expectations and different competitive intensity. Treating the pilot number as the plan number for ring two is the most common way a validated win becomes a write-off.

Three questions per ring: does the leading metric hold, do unit economics hold, does the overlay ROI stay above 1.5x?

Source: Operator's Manual B.2, I card

THE OPERATOR'S QUESTION

Are you scaling ring by ring, or all at once because ring one felt good?

TODAY'S APPLICATION — one action, before noon

Define your next expansion ring and its per-unit floor before you buy any more reach.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Velocity Before Distribution

Day 142. The sequencing law, and the most expensive one to violate:

Prove per-unit productivity in the current ring before buying the next tranche of reach.

Distribution can be purchased. Velocity must be earned - and only velocity compounds.

WHY IT HOLDS

There is also a negotiating consequence most operators miss. A buyer watching outlier per-door productivity hands you the next tranche on favourable terms. A buyer watching you buy reach ahead of proof prices you accordingly.

So the sequence is not just risk management. It is margin.

One challenger reached roughly $200M in revenue on about 28,000 doors where a typical brand needs 80,000 - by sequencing natural, then grocery, then mass, proving velocity per door at each stage.

Source: Rule 405; Operator's Manual E.6

THE OPERATOR'S QUESTION

Have you proven velocity in the current ring, or are you buying the next tranche on hope?

TODAY'S APPLICATION — one action, before noon

Compute per-unit productivity in your newest ring. Compare it to the pilot ring honestly.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________   What I got wrong today:

Overlay ROI at 1.5x on Attributable Margin

Day 143. The Phase 4 gate, in three measurements:

1. Unit economics hold at each ring
2. Overlay or incentive ROI at or above 1.5x on attributable margin at the day-60 gate
3. Governance adopted - the weekly scorecard meeting has run four consecutive weeks with decisions logged

WHY IT HOLDS

Item 2 is where behavioural constraints get corrected. Where the constraint is behavioural, a time-boxed incentive overlay is deployed - and it pays on scorecard metrics, never on gross volume alone.

That detail fixes the structural mismatch present in most commercial organisations: the front line is paid on volume while finance manages margin, and both are then surprised that the two diverge.

Miss the 1.5x floor and the overlay is redesigned or terminated. Not extended.

Source: Operator's Manual B.1; Rules 407-408

THE OPERATOR'S QUESTION

Is your incentive overlay clearing 1.5x on attributable margin, or on gross volume?

TODAY'S APPLICATION — one action, before noon

Check what your overlay actually pays on. If it pays on volume alone, redesign it this quarter.

DAILY OPERATING CHECKLIST

- [ ] Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- [ ] One high-convexity action selected and time-blocked before the calendar filled
- [ ] One structural-hole contact made — a cluster I do not currently reach
- [ ] Ship list reviewed — binary status, no percentages
- [ ] One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Does the Ring's Economics Hold?

Day 144. Three questions at every ring, in this order:

1. Does the leading metric hold at the same level as the prior ring?
2. Do unit economics hold - fully loaded, not marginal?
3. Does the incentive or overlay ROI stay above 1.5x on attributable margin?

Any "no" closes the ring within three weeks.

WHY IT HOLDS

Killing a ring inside three weeks frees working capital rather than stranding it, which is the whole financial argument for tight ring gating.

And the harder discipline sits with the CEO: when an account or region asks for expansion before the prior ring's economics are on the scorecard, the CEO personally delivers the "not yet."

Delegating that message is how ring gating dies - because the person delivering it will be negotiated with, and they will not have the authority to hold.

Source: Operator's Manual B.2, I card

THE OPERATOR'S QUESTION

For your most recent expansion: do the leading metric, the unit economics and the overlay ROI all hold?

TODAY'S APPLICATION — one action, before noon

Answer all three. Any 'no' closes the ring within three weeks - so start the clock.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

The Premature-Scale Checklist

Day 145. Before opening the next ring, five checks:

1. Is the prior ring's economics on the scorecard - not in a deck, on the scorecard?
2. Is the win measured against a control or a holdout?
3. Has the play been codified so someone outside the pilot can run it?
4. What breaks first at three times this volume?
5. Who personally delivers "not yet" if the answer is no?

WHY IT HOLDS

Item 4 comes from the vendor world but applies everywhere: could this survive its single highest-load day? A platform, a service model and a supply chain each have a peak day, and premature scale usually finds it during the most visible week of the year.

Premature scale is expensive in a way that is easy to under-price: ring one launched on enthusiasm produces a bad result in a major account, and that costs trust that took eight weeks to rebuild.

Source: Operator's Manual B.2, G.2

THE OPERATOR'S QUESTION

What breaks first at three times your current volume?

TODAY'S APPLICATION — one action, before noon

Answer for your busiest process, not your average one. Then fix it before the peak day finds it.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
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EVENING — WHAT MOVED?

Bought or earned? ____________________

What I got wrong today:

Distribution Bought Before Velocity Is a Write-Off

Day 146. The diagnostic pattern, stated as a symptom:

Distribution or account count is up and revenue is flat.

Diagnosis: distribution was bought before velocity was earned. This is the classic write-off purchase, and it is the second-most-common finding in any commercial diagnostic I run.

WHY IT HOLDS

On the dashboard, weighted distribution carries a conditional target rather than a growth number: expand only after velocity proves out. That is the only conditional target on the entire panel, and it is deliberate.

The questions that resolve it: did door count change, or shelf position within existing doors? What happened to total distribution points, not just weighted distribution - those can move in opposite directions. And what per-unit productivity does the incremental reach need to break even?

Source: Operator's Manual X.2, H.2

THE OPERATOR'S QUESTION

Where is your account count up and revenue flat?

TODAY'S APPLICATION — one action, before noon

Decompose it: door count, shelf position, or per-unit productivity. Name which one moved.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Kill Publicly and Cheaply

Day 147. Week twenty-one closes on the cultural half of scaling.

A ring that misses its floor is killed inside three weeks. Publicly and cheaply.

The kill announcement is culture-building, not embarrassment - and the owner makes it, credited as completed work.

WHY IT HOLDS

Because the alternative teaches something worse. An organisation that hides kills teaches its operators that missing a floor is a personal failure, and operators who believe that will manage the measurement rather than the business.

The rule: kills are announced by the owner and credited as completed work. Killed tests are filed in the failure archive with their learning stated specifically enough to be reused.

Next week: making the wins permanent, which is the phase nearly everyone skips.

Source: Rules 1009, 511; Operator's Manual B.2

THE OPERATOR'S QUESTION

When did you last announce a kill and credit it as completed work?

TODAY'S APPLICATION — one action, before noon

Credit one this week, publicly, by name. Watch what it teaches the room.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Phase 4 - Iterate and Scale

THE SHIP LIST

Committed ________ Shipped ________ Hit rate ________ %

What did not ship — and was it capacity, dependency or scoping?

KILLS AND VERDICTS

What I killed this week, and what it taught me:

DEPOSITS

Convex actions ____ / 7 Structural-hole contacts ____ / 5 Reputation assets ____

COVENANT CHECK

Runway ______ months Largest concentration ______ % Open severity-1 ______ Tripwires fired ______

NEXT WEEK

The one play. One sentence, executable, countable:

A rule I saw breached, and its root cause — process, tooling, authority or conduct:

WHAT I LEARNED THAT CHANGES HOW I OPERATE

Standard Work or It Did Not Happen

Day 148. Phase 5. The phase almost everyone skips, and the only one that determines whether any of the preceding work survives.

A win that never becomes standard work was a win that never happened.

Written, trained, and in use by people who were not in the pilot.

WHY IT HOLDS

The objective is conversion: turn a result into institutional property. The transformation lead returns to point here, now deliberately working themselves out of a job.

And every temporary structure is formalised or closed. The war room either becomes the standing operating meeting or it ends. Temporary structures that quietly become permanent without being formalised are a specific defect - they carry authority nobody granted and accountability nobody accepted.

Sunset or formalise. There is no third state.

Source: Operator's Manual B.2, D card

THE OPERATOR'S QUESTION

Which of your wins lives only in one person's head?

TODAY'S APPLICATION — one action, before noon

Write it down today. Then have someone else run it while you stay quiet.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ______________________ What I got wrong today:

Two Clean Cycles Without Founder Intervention

Day 149. The Phase 5 gate, and it is the strictest in the system:

The operating model runs two consecutive full cycles - scorecard meeting, ship list, gate review - without founder intervention, with gains sustained inside tolerance.

Not one cycle. Two. And not "with light founder involvement."

WHY IT HOLDS

The failure mode has a name: founder gravity. The CEO keeps re-entering decisions the system was designed to make, and the organisation correctly concludes the cadence is theatre.

So the taper is contractual. The CEO's gate role shifts from deciding to auditing decision quality, and any override is logged and reviewed at the next Reset.

The taper is itself the test. If the CEO's time cannot come down, the system is not installing - it is being held up by hand.

Source: Operator's Manual B.2, Part I

THE OPERATOR’S QUESTION

Could your operating model run two full cycles without you in the room?

TODAY’S APPLICATION — one action, before noon

Test it. Skip one cycle deliberately and see what fails. The list is your dependency inventory.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday’s demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Gains Sustained Two Review Cycles

Day 150. The measurable definition of "installed":

Playbooks documented and trained. Gains sustained at or above tolerance for two consecutive review cycles. Zero founder interventions in either cycle.

Everything before this is a project. This is the moment it becomes an operating system.

WHY IT HOLDS

Instrument it with three system-health numbers rather than opinions:

Ship-list hit rate by owner, rising toward 85%+ over an eight-week window.

Gate hit rate at or above 95%.

Forum decision yield - decisions per forum-hour - rising.

If all three hold for two cycles with the founder absent, the system is real. If any collapses the moment attention moves, you have a dependency, not an installation.

Source: Metrics & Questions 9.1, 9.3, 9.4

THE OPERATOR'S QUESTION

Which gains from your last initiative have already quietly faded?

TODAY'S APPLICATION — one action, before noon

Check one. If they faded, Phase 5 never happened - codify it now rather than rebuilding it later.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

What Would Break If the Founder Stopped Attending?

Day 151. The single most revealing question you can ask about your own operating system:

"What would break if I stopped attending for two full cycles?"

Write the list. It is an exact inventory of everything that is currently a person rather than a system.

WHY IT HOLDS

Then work the list in order of consequence, converting each item into one of three things: a published rule, a named owner with a service-level standard, or a scheduled forum with a decision output.

The items that resist conversion are the interesting ones. Usually they are decisions where the real criterion has never been written down because it lives in the founder's judgment - which is fine, until the business needs to make forty of them a week.

Write the criterion. Then delegate the decision.

Source: Metrics & Questions Pt.4, Transformation lead

THE OPERATOR'S QUESTION

What would break if you stopped attending for two full cycles?

TODAY'S APPLICATION — one action, before noon

Write the list. Convert the top three into a rule, a named owner, or a scheduled forum.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

The Lock-In Checklist

Day 152. Days 61-90, the fourth gate:

1. Codify every validated play into standard work
2. Sunset or formalise all temporary structures
3. Run the first Quarterly Reset - convexity audit, threshold review, capital reallocation
4. Schedule the annual offsite
5. Commit next quarter's experiment slate and spend calendar
6. Publish the continuous-improvement cadence

WHY IT HOLDS

Item 3 is what makes lock-in different from freezing. Locking in is not preserving the machine as it currently runs; it is wiring the reset loop so the machine keeps re-aiming itself.

The Quarterly Reset is also the only mid-year forum permitted to change a rule in the system - which means Phase 5 is where the organisation gains the ability to improve its own operating rules through a legitimate path rather than through erosion.

Source: Operator's Manual I.1, B.2

THE OPERATOR'S QUESTION

Which temporary structure in your business has quietly become permanent without being formalised?

TODAY'S APPLICATION — one action, before noon

Sunset it or formalise it this week. There is no third state.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
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EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

40-60% Fail. 40-50% of the Value Erodes.

Day 153. Longitudinal work on cost-transformation programmes:

40-60% of implementations fail. 40-50% of the value erodes within two years without governance.

The absence of a lock-in gate - not the absence of analysis - is what kills them.

WHY IT HOLDS

Which makes Gate 4 the one most often skipped and the only one that determines whether any of the preceding ninety days survives contact with next year.

Every failed transformation I have reviewed shares one structural defect: the work was sequenced as a project - a strategy phase, a design phase, a rollout phase - rather than as an operating loop with evidence gates.

Projects produce deliverables. Loops produce installed behaviour. The distinction shows up eighteen months later, when the binder is on a shelf and the loop is still running Monday.

Source: Operator's Manual, Part I

THE OPERATOR'S QUESTION

Which lock-in gate did your last transformation skip?

TODAY'S APPLICATION — one action, before noon

Name it. Then schedule the codification work you skipped, with an owner and a date.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

The Symptom of a Missing Phase 5

Day 154. Week twenty-two closes on a diagnostic you can run today.

Symptom: the transformation gains faded after the leader stepped back.

Diagnosis: Phase 5 never happened. Nothing was codified into standard work.

That is the entire explanation, and it is almost always the correct one.

WHY IT HOLDS

Look for the tell: a validated play that only one person can run, a report only one analyst can produce, a customer relationship only one executive can hold.

Each of those is an un-codified win, and every one of them is a future regression waiting for a resignation, a promotion or a holiday.

This week: pick your most valuable un-codified play. Write it down. Have someone who was not in the pilot run it while you watch and say nothing.

Next week: why the same five phases work at every scale.

Source: Operator's Manual X.2

THE OPERATOR'S QUESTION

Which valuable play in your business can only be run by one person?

TODAY'S APPLICATION — one action, before noon

Pick the most valuable. Codify it. That is the whole of Phase 5 in one action.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Phase 5 - Deploy and Lock In

THE SHIP LIST

Committed ________ Shipped ________ Hit rate ________ %

What did not ship — and was it capacity, dependency or scoping?

KILLS AND VERDICTS

What I killed this week, and what it taught me:

DEPOSITS

Convex actions ____ / 7 Structural-hole contacts ____ / 5 Reputation assets ____

COVENANT CHECK

Runway ______ months Largest concentration ______ % Open severity-1 ______ Tripwires fired ______

NEXT WEEK

The one play. One sentence, executable, countable:

A rule I saw breached, and its root cause — process, tooling, authority or conduct:

WHAT I LEARNED THAT CHANGES HOW I OPERATE

Same Loop, Only the Nouns Change

Day 155. One five-phase loop, one set of gates, for everything.

A multi-market turnaround. A product launch. A vendor implementation. A hiring process. A single week's checkout experiment.

Same loop, same gate questions. Only the nouns change.

WHY IT HOLDS

Fractality is what allows a lean executive team to run dozens of concurrent loops on one shared mental model.

It is also what makes delegation possible. A coordinator at any level can walk into any review and ask the same questions, because the questions do not depend on the domain - only on the phase.

Which answers the most common objection to any operating system: "our thing is different." It may be different in mechanism. It is not different in structure.

Source: Operator's Manual, Part B opening; B.3

THE OPERATOR'S QUESTION

Are you running one loop with different nouns, or five different processes?

TODAY'S APPLICATION — one action, before noon

Take three unrelated initiatives. Write which phase each is in. Use the same five words.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

The Loop at Three Scales

Day 156. Same phases, three orders of magnitude apart:

Diagnose - cohort decomposition / which workflows bleed margin / which driver-tree node underperforms

Stabilize - spend gate and WIP / stop the shadow spreadsheet / freeze concurrent changes

Pilot - two banners, 140 matched controls, 30 days / two divisions, paid, 30-60 days / bounded audience with MDE set in advance

WHY IT HOLDS

Iterate - ring by ring with economics re-validated / expand by region, re-validating adoption / iterate the variant or kill it, no third option

Deploy - playbooks and war-room sunset / codified into the monthly review / winner becomes standard, result filed either way

A $50K vendor implementation and a multi-market turnaround get the same structural treatment. What differs is time box and sample size, not rigour.

Source: Operator's Manual B.3

THE OPERATOR'S QUESTION

Does your $50K decision get the same structural treatment as your $5M one?

TODAY'S APPLICATION — one action, before noon

Apply the five phases to one small decision today. Same rigour, smaller time box.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Cycle Time Per Loop

Day 157. Speed is not a virtue in this system. It is an instrumented variable:

Cycle time per test: median days from backlog entry to recorded verdict. Target under 14 days.

Then decompose it: where does the time actually sit - design, approval, build, run, or readout?

WHY IT HOLDS

The answer is almost always approval and readout, not build. Which means cycle time is usually a decision-rights problem wearing an engineering costume.

Ask the second question: how much of the cycle is queue time rather than work time? In stalled organisations the ratio runs heavily toward queue, and queue time is the cheapest thing in any business to remove because removing it costs nothing but authority.

Cycle time is the cadence stack showing up in the pipeline. When cadence tightens, this number falls without anyone working faster.

Source: Metrics & Questions 5.2; Operator's Manual E.5

THE OPERATOR'S QUESTION

Where does your cycle time actually sit - design, approval, build, run, or readout?

TODAY'S APPLICATION — one action, before noon

Decompose one test's cycle time. Attack the largest stage, not the most visible one.

DAILY OPERATING CHECKLIST

- [ ] Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- [ ] One high-convexity action selected and time-blocked before the calendar filled
- [ ] One structural-hole contact made — a cluster I do not currently reach
- [ ] Ship list reviewed — binary status, no percentages
- [ ] One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

More Time for What, Specifically?

Day 158. When a team says they need more time, four questions:

1. More time for what specifically - to gather evidence, or to reach a different answer?
2. What decision does the additional time make possible that we cannot make now?
3. What is the cost of the delay, priced at the discount rate and at competitor motion?
4. Is the honest version of this that the gate has been missed?

WHY IT HOLDS

Question 1 does most of the work, because the two answers require opposite responses.

More evidence, with a named decision at the end of it, is often correct and should be granted with a date.

A different answer is a request to keep playing until the result improves, and granting it teaches the organisation that gates are negotiable under pleasant pressure.

Question 4 is the kind one. Asked directly, it lets someone tell the truth without having to volunteer it.

Source: Metrics & Questions Pt.3

THE OPERATOR'S QUESTION

When your team asks for more time, is it for evidence or for a different answer?

TODAY'S APPLICATION — one action, before noon

Ask the question directly at your next extension request. Grant evidence; decline outcomes.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
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EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

The Fractal Test

Day 159. Take any live initiative and answer these five. If you cannot, the loop is not running - regardless of how much activity is:

1. Which of the five phases is this actually in?
2. What is the gate criterion for that phase, in writing?
3. What is the time box, and what is the gate date?
4. Who is the single-threaded owner?
5. What is the kill criterion?

WHY IT HOLDS

Question 1 catches the most common misalignment in any portfolio: the team believes it is scaling, the evidence says it is still piloting - and it is being resourced as though it were deploying.

That mismatch is expensive in both directions. Under-resourcing a validated win wastes the validation. Over-resourcing an unvalidated pilot converts a cheap experiment into an expensive commitment nobody decided to make.

Run the test across your whole portfolio once a quarter.

Source: Operator's Manual B.1, B.3

THE OPERATOR'S QUESTION

For your largest initiative: which phase, which gate criterion, which time box, which owner, which kill criterion?

TODAY'S APPLICATION — one action, before noon

Answer all five. If you cannot, the loop is not running regardless of the activity.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
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EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Twelve Loops a Quarter Versus One Hypothesis

Day 160. The arithmetic of speed, using the observed base rate:

If roughly one in three well-run tests wins, a team running twelve loops a quarter finds four winners - while the annual-planning team is still wordsmithing its first hypothesis.

Same base rate. Same intelligence. Twelve times the shots.

WHY IT HOLDS

This is why the master metric is tests shipped, not tests won. Win rate is bounded by nature at about a third. Shot count is bounded only by cost per test and cycle time - both of which are yours to attack.

And when cost per test falls five-fold, the rational number of concurrent tests rises five-fold at flat opex. Base-rate math then converts that directly into wins per quarter.

That is the entire mechanism by which AI leverage becomes P&L movement rather than artifact production.

Source: Operator's Manual B.3, E.5

THE OPERATOR'S QUESTION

How many loops did you complete last quarter, and how many winners does that predict?

TODAY'S APPLICATION — one action, before noon

Do the arithmetic. Then decide whether the constraint is ideas or shots.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
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EVENING — WHAT MOVED?

Bought or earned? ______________________ What I got wrong today:

Revenue Delayed Is Revenue Destroyed

Day 161. Week twenty-three closes on the three costs of slowness that never appear on a statement:

1. Revenue delayed is revenue destroyed at the discount rate.
2. Trust in partners and the front line decays measurably during leadership silence.
3. Every week of deliberation is a week of compounding donated to competitors.

WHY IT HOLDS

None of the three shows up in a variance report, which is why slowness is the most tolerated expensive habit in business.

Speed is the strategic variable, not the plan. And speed is produced by structure - published decision rights, latency standards, time-boxed phases, gates that convene on schedule - not by urgency.

Urgency without structure produces the same decisions, later, with more stress attached.

Next week: the calendar that delivers all of it.

Source: Operator's Manual B.3 Consequence Framing

THE OPERATOR'S QUESTION

What did last quarter's slowness cost - in revenue, trust and compounding?

TODAY'S APPLICATION — one action, before noon

Price one delayed decision at the discount rate. Share the number with the people who slowed it.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
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- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Fractality, Three Scales and Speed

THE SHIP LIST

Committed ________ Shipped ________ Hit rate ________ %

What did not ship — and was it capacity, dependency or scoping?

KILLS AND VERDICTS

What I killed this week, and what it taught me:

DEPOSITS

Convex actions ____ / 7 Structural-hole contacts ____ / 5 Reputation assets ____

COVENANT CHECK

Runway ______ months Largest concentration ______ % Open severity-1 ______ Tripwires fired ______

NEXT WEEK

The one play. One sentence, executable, countable:

A rule I saw breached, and its root cause — process, tooling, authority or conduct:

WHAT I LEARNED THAT CHANGES HOW I OPERATE

Strategy Cascades Through a Calendar

Day 162. Strategy does not cascade through documents. It cascades through a fixed architecture of meetings - each with one scorecard, one owner, one decision output and a hard time box.

No stalled business has ever recovered on the strength of a strategy deck. Many have recovered on the strength of a calendar.

WHY IT HOLDS

The stack is deliberately boring: same rooms, same scorecards, same decision outputs, every week, until the organisation runs it without thinking.

Boring is the design goal, not a compromise. A cadence that requires enthusiasm to sustain will not survive the first difficult quarter - which is precisely the quarter it exists for.

This week: the architecture. Next four weeks: one forum at a time, with its complete run-sheet.

Source: Operator's Manual, Part C opening

THE OPERATOR'S QUESTION

Does your strategy live in a deck, or in a calendar?

TODAY'S APPLICATION — one action, before noon

Open your calendar. Point to where the strategy is actually delivered each week.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
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EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

One Forum, One Decision Artifact

Day 163. Rule 201, and it is a covenant:

Every forum produces exactly one decision artifact. A forum producing only shared awareness is deleted from the calendar.

A ship list. A play. A kill call. An allocation. One per forum, every time it meets.

WHY IT HOLDS

The companion rule prevents the workaround: any agenda item that cannot name its decision output in advance is removed and routed to a dashboard.

Status lives in dashboards that systems and agents maintain. Humans convene only to decide.

The enforcement test is mechanical and unforgiving: if the meeting ends without a change to a ship list, an allocation or a kill list, it was an update meeting - and it does not recur.

Source: Rules 201, 203, 214; Operator's Manual C.2

THE OPERATOR'S QUESTION

Which of your recurring forums produces only shared awareness?

TODAY'S APPLICATION — one action, before noon

Delete it, or give it a decision output before its next occurrence.

DAILY OPERATING CHECKLIST

- [ ] Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- [ ] One high-convexity action selected and time-blocked before the calendar filled
- [ ] One structural-hole contact made — a cluster I do not currently reach
- [ ] Ship list reviewed — binary status, no percentages
- [ ] One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

The Stack at a Glance

Day 164. Nine forums, each with a duration, an owner and a decision output:

Daily - Morning Protocol (45m, individual); huddle (15m)

Weekly - War Room (30-45m); Commercial Council (30m); Growth Review (45m)

As needed - Spend and Promotion Gate, SLA-bound

Monthly - Business Review (3h)

Quarterly - Strategic Reset (half day)

Annual - Offsite (2 days)

WHY IT HOLDS

Two non-obvious properties.

Each forum exists to produce exactly one decision artifact - and one only.

And the stack is bidirectional. Information flows up as scorecard movement, escalations and tripwire flags. Decisions flow down as ship lists, the weekly play, reallocations and capital allocation.

A cadence that only moves information up is surveillance. A cadence that only pushes decisions down is proclamation. Both are common. Neither compounds.

Source: Operator's Manual C.1

THE OPERATOR'S QUESTION

Which layer of the stack is missing in your business - daily, weekly, monthly, quarterly or annual?

TODAY'S APPLICATION — one action, before noon

Stand up the missing layer this month, with one scorecard and one decision output.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Which Layer Owns This Decision?

Day 165. Read the stack as a control system, not a reporting hierarchy:

Daily is the sensor array.

Weekly is the actuator.

Monthly and quarterly are the feedback controllers that retune the system.

The annual offsite is the only forum permitted to change the system's objectives.

WHY IT HOLDS

Once you hold that model, the question answers itself: which layer owns this decision?

When an organisation complains it has too many meetings, the diagnosis is almost never the count. It is that decisions are being made at the wrong layer, so every forum re-litigates the layer below it.

A ship list is never debated at the monthly review. Capital allocation is never debated at the huddle. Enforce those two sentences and half your meeting problem disappears without deleting a single meeting.

Source: Operator's Manual C.1; Rules 113, 208

THE OPERATOR'S QUESTION

Which decision does your team re-litigate because no layer clearly owns it?

TODAY'S APPLICATION — one action, before noon

Assign it to a layer today and say so publicly the next time it surfaces.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
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EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

The Calendar Audit

Day 166. Run this against every recurring meeting you own:

1. What is its single decision output?
2. Which scorecard does it review - one, not two?
3. Who chairs it, and does the meeting change if they are absent?
4. What is its time box, and is it held?
5. Did it produce a decision last week? The week before?
6. If it were deleted tomorrow, what specifically would fail?

WHY IT HOLDS

Question 6 is the honest one, and most recurring meetings cannot answer it.

A forum that regularly overruns is re-scoped at the next Reset, never extended in the moment - because extending in the moment teaches that the time box is advisory.

And question 3 matters more than it looks: chair changes should not change the meeting. If they do, the run-sheet is in someone's head rather than on paper.

Source: Operator's Manual C.2, C.3; Rule 213

THE OPERATOR'S QUESTION

For each recurring meeting: if it were deleted tomorrow, what specifically would fail?

TODAY'S APPLICATION — one action, before noon

Run the six-question audit on your three largest meetings. Act on the one that cannot answer.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

34 Hours With No Decision Outputs

Day 167. The calendar I found in a $120M business:

34 hours a week of recurring meetings on the CEO's calendar with no defined decision outputs. 38 active strategic initiatives. 11-week approval latency.

The stack was installed in one week.

WHY IT HOLDS

Within eight weeks: latency to 9 days, initiatives to seven, two auto-renewed negative-ROI programmes killed by the new spend gate.

What is instructive is what did not change. Not the strategy, not the market, not the team, not the product.

The physics changed - who decides, how fast, in which room, against which scorecard, producing which artifact. That is all a cadence stack is, and it is available to any operator willing to spend a week publishing it.

Source: Operator's Manual C.4, From the Field

THE OPERATOR'S QUESTION

How many hours a week of your calendar have no defined decision output?

TODAY'S APPLICATION — one action, before noon

Count them today. That number is your available capacity for the war room.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
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EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

The Stack Is the Delivery Mechanism

Day 168. Week twenty-four closes here.

The driver tree guarantees nothing on any scorecard is decorative.

The loop routes every initiative into its correct zone.

The cadence stack is the delivery mechanism for both.

Without it, you have a well-designed system that nobody runs.

WHY IT HOLDS

Install order matters, and it is counter-intuitive: cadence before analysis.

A weekly war room with an imperfect scorecard beats a perfect scorecard with no forum to act on it, because the forum improves the scorecard every week and the scorecard cannot improve the forum.

So if you are starting Monday: stand up the room, run the ship list, and let version one of the scorecard be visibly incomplete.

Next week: the forum that runs before all the others.

Source: Operator's Manual, System on One Page

THE OPERATOR'S QUESTION

Do you have a well-designed system that nobody runs?

TODAY'S APPLICATION — one action, before noon

Install cadence before analysis. Stand up the room this week with an imperfect scorecard.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

WEEKLY REVIEW · WEEK 24

The Stack as a Control System

THE SHIP LIST

Committed ________ Shipped ________ Hit rate ________ %

What did not ship — and was it capacity, dependency or scoping?

KILLS AND VERDICTS

What I killed this week, and what it taught me:

DEPOSITS

Convex actions ____ / 7 Structural-hole contacts ____ / 5 Reputation assets ____

COVENANT CHECK

Runway ______ months Largest concentration ______ % Open severity-1 ______ Tripwires fired ______

NEXT WEEK

The one play. One sentence, executable, countable:

A rule I saw breached, and its root cause — process, tooling, authority or conduct:

WHAT I LEARNED THAT CHANGES HOW I OPERATE

Before the First Reactive Commitment

Day 169. Forty-five minutes, individual, before the first reactive commitment of the day.

Three blocks: survivorship check, convexity prioritisation, bridge-building contact.

The ordering is the whole design. Everything after the first reactive commitment belongs to someone else's agenda.

WHY IT HOLDS

This is the only forum in the stack with no attendees, and it is the one most executives abandon first - because nothing breaks visibly when it is skipped.

What breaks invisibly is the compounding. The daily structural-hole contact and the daily convex action are the two inputs that produce position rather than output, and both are precisely the kind of work an inbox displaces without resistance.

Self-enforced, but visible in the daily deposit metrics.

Source: Operator's Manual C.3; Rule 212

THE OPERATOR'S QUESTION

What did you do this morning before your first reactive commitment?

TODAY'S APPLICATION — one action, before noon

Tomorrow, defend the first forty-five minutes. Survivorship, one convex action, one bridge.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Survivorship Check First, Ten Minutes

Day 170. Block 1, ten minutes:

Cash position. Yesterday's demand or order data. Any tripped tripwires. Any covenant proximity.

The question is never "how are we doing." It is: did anything move yesterday that changes what we must do today?

WHY IT HOLDS

That reframing is the difference between a status habit and an operating habit.

"How are we doing" invites narrative and produces a mood. "What changed, and what does it change" invites arithmetic and produces an action - or, most mornings, correctly produces nothing at all.

Ten minutes is enough because the instrumentation does the work. If this block regularly takes longer, the tripwires are not automated and you are doing detection by hand.

Source: Operator's Manual C.3

THE OPERATOR'S QUESTION

Did anything move yesterday that changes what you must do today?

TODAY'S APPLICATION — one action, before noon

Run the ten-minute survivorship check tomorrow morning. Cash, demand, tripwires, covenant proximity.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

One High-Convexity Action, Time-Blocked

Day 171. Block 2, twenty minutes:

From everything competing for the day, select the single action with the most asymmetric payoff - and time-block it before the calendar fills with symmetric, low-upside obligations.

One action. Not three.

WHY IT HOLDS

The arithmetic is the argument. An executive completing one high-convexity action per working day compounds roughly 250 per year. The executive dispersed across fifteen reactive threads completes near zero.

Both executives will report being extremely busy. Only one will have a portfolio at the end of the year.

The verb that matters is "time-block." Selection without a calendar entry is an intention, and intentions lose every contest they enter against a scheduled meeting.

Source: Operator's Manual C.3

THE OPERATOR'S QUESTION

Which single action available today has the most asymmetric payoff?

TODAY'S APPLICATION — one action, before noon

Choose it, and put it in the calendar before the calendar fills with symmetric obligations.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Where Are We Structurally Thin?

Day 172. Block 3, fifteen minutes. One outbound contact into a cluster where the business has a structural hole:

A capital source. A buyer at an account where you are thin. A regulatory or trade body. A technical community adjacent to your claims.

One contact a day is 250 network edges a year, built deliberately rather than accidentally.

WHY IT HOLDS

The question to ask yourself before choosing: where are we structurally thin - not where is it comfortable to call?

Comfort routes you toward the cluster you already inhabit, which adds density where you already have it and no bridge where you do not. Value concentrates at the bridges between disconnected clusters, and bridges are built by definition outside your existing network.

Tracked as structural-hole contacts, five per week minimum, on Panel Three.

Source: Operator's Manual C.3; Metrics & Questions 8.4

THE OPERATOR'S QUESTION

Where are you structurally thin - not where is it comfortable to call?

TODAY'S APPLICATION — one action, before noon

Make the uncomfortable contact today. Bridges are built outside your existing network by definition.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

The Morning Protocol Run-Sheet

Day 173. Forty-five minutes. Same three blocks, every working day:

1. Survivorship check (10m): cash, yesterday's demand, tripwires, covenant proximity
2. Convexity prioritisation (20m): one asymmetric action selected and time-blocked
3. Bridge-building contact (15m): one outbound into a cluster you do not currently reach

Then open the inbox. Not before.

WHY IT HOLDS

Two deposit metrics make it visible rather than aspirational: high-convexity actions completed, and new-cluster contacts made.

Both are counted weekly, and both belong on the dashboard - because anything not counted is displaced by whatever is loudest.

And note what is absent from the run-sheet: no email triage, no reviewing overnight reports, no preparing for the day's meetings. Those are real work. They are also work that will still be there at 9:15, and they will consume the whole block if permitted.

Source: Operator's Manual C.3, I.2

THE OPERATOR'S QUESTION

Have you run the morning protocol three days in a row this month?

TODAY'S APPLICATION — one action, before noon

Block forty-five minutes for tomorrow now. Then again for the day after.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

250 Actions and 250 Edges

Day 174. The two compounding numbers in the protocol:

250 high-convexity actions a year.

250 deliberate network edges a year.

Against a manager bridging structural holes earning roughly 42% more, and deal flow correlating with betweenness centrality at r = 0.67.

WHY IT HOLDS

Neither number requires a budget, a headcount or a system. Both require the first forty-five minutes of the day to be defended against the only opponent that reliably wins: everyone else's urgency.

And both are pure position rather than output. They do not appear in this quarter's P&L. They determine what the P&L can print two years from now, which is exactly why they sit on Panel Three next to threshold progress and reputation assets.

Run it for a quarter and count. The output surprises people.

Source: Operator's Manual C.3; VOS v3.0 1.1

THE OPERATOR'S QUESTION

At one convex action and one bridge a day, what would 250 of each be worth to you?

TODAY'S APPLICATION — one action, before noon

Start the count today. Put both numbers on your own scorecard where others can see them.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

The Forum With No Attendees

Day 175. Week twenty-five closes here.

Every other forum in the stack has social enforcement. Peers watch. Commitments are public. Hit rates are visible.

The Morning Protocol has none of that, which is why it is the first thing abandoned and the most expensive thing to abandon.

WHY IT HOLDS

Install a proxy for the missing enforcement. Two counts on a scorecard, reviewed weekly with your team: convex actions completed, structural-hole contacts made.

Once those numbers are visible to people whose opinion you value, the protocol survives contact with a difficult quarter. Before that, it survives roughly eleven days.

This week: put both counts on your own scorecard, and report them in the war room like any other commitment.

Next week: the room where the week is decided.

Source: Operator's Manual C.3, Part H

THE OPERATOR'S QUESTION

Which discipline do you abandon first when a quarter gets hard?

TODAY'S APPLICATION — one action, before noon

Add social enforcement to it: report the count weekly to people whose opinion you value.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

The Morning Protocol

THE SHIP LIST

Committed ________ Shipped ________ Hit rate ________ %

What did not ship — and was it capacity, dependency or scoping?

KILLS AND VERDICTS

What I killed this week, and what it taught me:

DEPOSITS

Convex actions ____ / 7 Structural-hole contacts ____ / 5 Reputation assets ____

COVENANT CHECK

Runway ______ months Largest concentration ______ % Open severity-1 ______ Tripwires fired ______

NEXT WEEK

The one play. One sentence, executable, countable:

A rule I saw breached, and its root cause — process, tooling, authority or conduct:

WHAT I LEARNED THAT CHANGES HOW I OPERATE

One Scorecard In, One Ship List Out

Day 176. The Executive War Room. Thirty to forty-five minutes, weekly.

In: one scorecard, last week's ship list with binary status, the tripwire register.

Out: one seven-day ship list with public owner commitments.

That is the entire meeting. Anything else belongs to a different forum.

WHY IT HOLDS

Never discussed here: capital allocation, strategy, or anything the monthly review or the Reset owns.

The discipline sounds rigid until you have watched a war room absorb a strategy debate. The scorecard goes unread, the ship list gets written in the last four minutes, and the week proceeds on last week's momentum.

One scorecard in, one ship list out. Protect the shape of the meeting and the content takes care of itself.

Source: Operator's Manual C.3; Rule 208

THE OPERATOR'S QUESTION

Does your weekly meeting produce a binary ship list, or a discussion?

TODAY'S APPLICATION — one action, before noon

Write next week's seven-day ship list at the end of your next meeting. Public commitments, named owners.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Review Deltas, Not Levels

Day 177. The rule of the room:

Review deltas, not levels. A metric that did not move receives no airtime.

And a metric that moved without an owner who can explain the mechanism triggers a named investigation, due before the next session.

WHY IT HOLDS

This single rule compresses a ninety-minute review into thirty minutes without losing anything, because most of a typical review is spent narrating numbers that did not change.

"Explain the mechanism" is deliberately stricter than "explain why." Why invites a category headwind and a competitive dynamic. Mechanism invites arithmetic - which node moved, by how much, and through what channel.

Mechanism questions cannot be answered with a story.

Source: Rules 206-207; Metrics & Questions Pt.5

THE OPERATOR'S QUESTION

How much of your last review was spent narrating numbers that did not change?

TODAY'S APPLICATION — one action, before noon

Review only deltas at the next one. Watch ninety minutes become thirty.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ______________________ What I got wrong today:

Ship-List Hit Rate by Owner

Day 178. The number that tells you whether the cadence is real:

Ship-list hit rate - commitments shipped divided by commitments made, binary, by owner. Rising toward 85%+.

Read it by owner over eight weeks. Patterns matter more than any single week.

WHY IT HOLDS

Three diagnostics from one number.

Are the misses capacity, dependency or scoping? Three different fixes, and only one of them is a performance conversation.

Is anyone consistently at 100%? That usually means their commitments are too small - a perfect hit rate is a sign of sandbagging more often than excellence.

And is the same owner missing the same class of commitment repeatedly? That is a systems problem masquerading as a personal one.

Source: Metrics & Questions 9.3

THE OPERATOR'S QUESTION

What is your ship-list hit rate by owner over the last eight weeks?

TODAY'S APPLICATION — one action, before noon

Compute it. Then ask whether the misses are capacity, dependency or scoping.

DAILY OPERATING CHECKLIST

- [ ] Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- [ ] One high-convexity action selected and time-blocked before the calendar filled
- [ ] One structural-hole contact made — a cluster I do not currently reach
- [ ] Ship list reviewed — binary status, no percentages
- [ ] One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Did Anything Move, and Who Can Explain It?

Day 179. The war room runs on two questions and no others:

1. What moved this week?

2. Who owns it, and can they explain the mechanism?

Everything else - context, background, colour, competitive news - is a dashboard item and does not consume the room.

WHY IT HOLDS

When two tripwires have fired in the same quarter, one more question becomes mandatory: are we buying today's volume with tomorrow's baseline erosion?

And the burden of proof shifts. Whoever wants to continue the current posture has to make the case, against the 60-90 day true-ROI standard rather than the lift chart.

That shift is automatic. It does not require anyone to be brave in the moment, which is the point of writing it down in advance.

Source: Operator's Manual C.3; Rule 313

THE OPERATOR'S QUESTION

Which metric moved last week without anyone able to explain the mechanism?

TODAY'S APPLICATION — one action, before noon

Name an investigation with an owner, due before the next session.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

The War Room Run-Sheet

Day 180. Thirty to forty-five minutes, in this order:

1. Read last week's ship list aloud. Binary. Shipped or not
2. Scorecard deltas only - no airtime for metrics that did not move
3. Tripwire register - any firings, any covenant proximity
4. Named investigations from unexplained movement
5. Write this week's seven-day ship list, with public owner commitments
6. Close on time

WHY IT HOLDS

Step 1 before step 5 is not optional and not cosmetic. Reviewing last week's list first, out loud, before writing this week's is what makes the list a commitment rather than a wish register.

Skip it twice and the ship list becomes aspirational within a month - because there is no cost to missing something nobody reads back.

Source: Operator's Manual C.3; Rule 205

THE OPERATOR'S QUESTION

Do you read last week's ship list aloud before writing this week's?

TODAY'S APPLICATION — one action, before noon

Add step one to your next war room. It is what makes the list a commitment.

DAILY OPERATING CHECKLIST

- [ ] Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- [ ] One high-convexity action selected and time-blocked before the calendar filled
- [ ] One structural-hole contact made — a cluster I do not currently reach
- [ ] Ship list reviewed — binary status, no percentages
- [ ] One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Peers Beat Reporting Lines

Day 181. Why public commitment is the enforcement mechanism rather than managerial follow-up:

Executives protect their hit rate in front of peers more reliably than any reporting structure compels them to.

That is not a motivational claim. It is a design choice with a measurable output: the hit rate itself.

WHY IT HOLDS

The same principle appears throughout the system. Interviewers score independently before debrief because anchoring is stronger than analysis. Vendor scorers submit before the meeting for the same reason. The most junior person is asked first because seniority anchors a room instantly.

Each is a small structural intervention that outperforms exhortation permanently, because it does not depend on anyone remembering to be disciplined at the moment it matters.

Build the structure. Then you do not have to rely on character.

Source: Operator's Manual C.3, F.3; Metrics & Questions Pt.5

THE OPERATOR'S QUESTION

Where would public commitment work better than managerial follow-up in your organisation?

TODAY'S APPLICATION — one action, before noon

Convert one private commitment into a public one this week.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Binary or It Is Not a Ship List

Day 182. Week twenty-six closes on the smallest rule with the biggest behavioural effect.

Ship lists are binary. Shipped or not shipped.

No percentages. No status colours. No partial credit.

WHY IT HOLDS

Percentages are where accountability goes to become a conversation. A commitment at 80% is indistinguishable from a commitment at 30% by the time it is narrated, and both feel like progress in the room.

Binary status removes the negotiation entirely - which is uncomfortable for exactly two weeks and then becomes the most valued feature of the meeting, because everyone finally knows where things actually stand.

If you change one thing about your weekly meeting this month, change the status format.

Next week: one play at a time.

Source: Rule 204; Operator's Manual C.3

THE OPERATOR'S QUESTION

Where are you still accepting percentages where binary status belongs?

TODAY'S APPLICATION — one action, before noon

Change the status format at your next meeting. Shipped or not shipped. Nothing else.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

The War Room and the Ship List

THE SHIP LIST

Committed ________ Shipped ________ Hit rate ________ %

What did not ship — and was it capacity, dependency or scoping?

KILLS AND VERDICTS

What I killed this week, and what it taught me:

DEPOSITS

Convex actions ____ / 7 Structural-hole contacts ____ / 5 Reputation assets ____

COVENANT CHECK

Runway ______ months Largest concentration ______ % Open severity-1 ______ Tripwires fired ______

NEXT WEEK

The one play. One sentence, executable, countable:

A rule I saw breached, and its root cause — process, tooling, authority or conduct:

WHAT I LEARNED THAT CHANGES HOW I OPERATE

QUARTERLY STRATEGIC RESET

Quarter 2 — The Only Place You May Change Your Own Rules

THE CONVEXITY AUDIT

Which positions have capped upside and open-ended downside? Those are exits, not fixes.

THE SLATE AND THE THRESHOLD

Structurally unbounded share of the active slate: ______ % (floor 60) Documented wins toward threshold: ______ Inbound share of pipeline: ______ %

WHAT I KILLED

If nothing, I am under-shooting. What died this quarter, and what did it buy in learning?

WHERE THE FREED CASH WENT

Every saving names its convex destination. No destination, no credit for the saving.

THE KEEPER TEST

Top people and top vendors. A second consecutive “no” becomes an execution date within two weeks.

PREDICTION REVIEW

What did I predict last quarter, with a number and a date — and what actually happened?

NEXT QUARTER

One binding constraint. One play. Three pre-registered tests. Named owners, dated gates.

RULES TO AMEND

Standards may be amended here. Covenants wait for the annual offsite.

One Play at a Time

Day 183. The Commercial Council. Thirty minutes, weekly. One decision output: the play of the week.

A business running five plays is running none.

The front line experiences five simultaneous priorities as permission to choose - and they will choose the easiest one.

WHY IT HOLDS

The failure mode this forum exists to prevent is the simultaneous rollout: the quarter where the front line is asked to push a new hero offer, execute an overlay, open a new channel and fix a service problem at once - and does all four at 60% quality.

Four initiatives at 60% quality produce less than one at 100%, and they also make the results unreadable, because nothing was isolated.

One play. Tracked by account and by rep.

Source: Operator's Manual C.3; Rule 211

THE OPERATOR'S QUESTION

How many plays is your commercial organisation running right now?

TODAY'S APPLICATION — one action, before noon

If more than one, choose the one. Communicate it, and track adoption by rep and by account.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Redesigned, Not Re-Announced

Day 184. Rule 211, second half, and it is the one that gets ignored:

A play with adoption below the floor after two weeks is redesigned, not re-announced.

Re-announcing is the default response everywhere, and it has never once worked.

WHY IT HOLDS

Because low adoption is information, not noise. It is telling you one of three things: the field cannot execute it, they are not paid to execute it, or they do not believe it works.

So the diagnostic question when adoption is low: among the accounts that did not adopt, is the pattern capability, incentive or belief?

Three different findings, three different fixes - training, compensation design, or evidence. Volume of communication fixes none of them, which is why the third announcement performs worse than the first.

Source: Rule 211; Metrics & Questions Pt.2

THE OPERATOR'S QUESTION

Which failed play have you re-announced rather than redesigned?

TODAY'S APPLICATION — one action, before noon

Diagnose the non-adopters: capability, incentive or belief. Fix the actual cause.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Play Adoption Rate, by Rep and by Account

Day 185. The operating metric of this forum:

Play adoption rate - the share of the commercial organisation executing the play of the week, measured by account and by representative.

Target 80% within two weeks. Never presented as an aggregate.

WHY IT HOLDS

Alongside it: key-account participation - the share of target accounts executing the current play as contracted. Target 70-80%.

Aggregate adoption of 70% can mean uniform partial compliance or two-thirds of the field at full compliance and a third at zero. Those are entirely different problems with entirely different fixes, and only the decomposition tells you which one you have.

As with every metric in this system: any number that materially changes when decomposed is managed only in decomposed form.

Source: Metrics & Questions 2.15-2.16; Rule 306

THE OPERATOR'S QUESTION

What is your play adoption rate by rep, not in aggregate?

TODAY'S APPLICATION — one action, before noon

Compute the decomposition. Uniform partial compliance and split compliance need opposite fixes.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

What Did We Promise, and Did We Deliver?

Day 186. Five questions for any key-account owner, in review:

1. What is our velocity against this buyer's hurdle, in their doors?
2. What did we promise them last quarter, and did we deliver every item?
3. What is their planogram or contract cycle - when is the decision actually made?
4. Who else in their organisation would take our call if your contact left?
5. What would they say about us in an unscripted reference call?

WHY IT HOLDS

Question 2 is the trust account, and it compounds in both directions. Commitments to partners and the front line are published and then kept - and mid-cycle renegotiation requires the named authority, because it is a withdrawal from an asset, not an adjustment to a plan.

Question 4 is single-threading risk inside the account. If the honest answer is nobody, you do not have a relationship with a company. You have a relationship with a person who has a job offer somewhere.

Source: Metrics & Questions Pt.4; Rule 411

THE OPERATOR'S QUESTION

Which promise to a key account is still outstanding from last quarter?

TODAY'S APPLICATION — one action, before noon

Close it today, or tell them explicitly why it changed. Silence is the expensive option.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

The Commercial Council Run-Sheet

Day 187. Thirty minutes, weekly:

1. Adoption on last week's play, by rep and by account
2. Diagnosis on non-adopters: capability, incentive or belief?
3. Redesign or continue - never re-announce
4. Name this week's single play
5. Define what executing it looks like, concretely enough to be counted
6. Set the participation target and the tracking method

WHY IT HOLDS

Step 5 is where most plays fail before they start. "Push the new offer" is not executable and cannot be counted. "Present the two-SKU planogram change to the top twenty accounts, using the one-page velocity sheet, and log the response" is both.

The more precisely a play is defined, the more accurately its adoption number tells you something. Vague plays generate vague adoption data and unfalsifiable explanations.

Source: Operator's Manual C.3

THE OPERATOR'S QUESTION

Is your play defined precisely enough to be counted?

TODAY'S APPLICATION — one action, before noon

Rewrite this week's play as an observable action with a number attached.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

60% Quality Across Four Things

Day 188. What the simultaneous rollout actually costs:

A front line asked to push a hero offer, execute an overlay, open a channel and fix a service problem in the same quarter does all four at roughly 60% quality.

And because nothing was isolated, none of the four produces a readable result.

WHY IT HOLDS

That second cost is the larger one. You lose the quarter's execution quality and you also lose the ability to learn anything from it - so the same four initiatives get re-proposed next year, with the same confidence and the same absence of evidence.

Sequencing is not slower. Four plays run consecutively at full quality, each measured, produce more revenue and four readable results.

The organisation that runs one play a week runs 52 plays a year. Very few businesses run four properly.

Source: Operator's Manual C.3

THE OPERATOR'S QUESTION

How many initiatives is your front line currently carrying simultaneously?

TODAY'S APPLICATION — one action, before noon

Sequence them. Four consecutive plays at full quality beat four concurrent at sixty percent.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Participation Is the Leading Indicator

Day 189. Week twenty-seven closes here.

Revenue is a lagging indicator of a commercial organisation. Play adoption is the leading one - and it is available on Tuesday rather than at month end.

Measure what the field did, not only what the customer bought.

WHY IT HOLDS

The chain runs: play defined precisely, adoption measured by rep and account, adoption diagnosed when low, play redesigned rather than re-announced.

Break any link and you are managing a sales organisation on outcomes you can only observe after they are unfixable.

And note the incentive design rule that sits underneath all of it: incentives pay on scorecard metrics, never on gross volume alone. Otherwise the field is optimising a number that finance is simultaneously trying to protect.

Next week: the forum that kills things.

Source: Operator's Manual C.3; Rule 408

THE OPERATOR'S QUESTION

Are you managing the sales organisation on outcomes you can only see once they are unfixable?

TODAY'S APPLICATION — one action, before noon

Put adoption on the weekly scorecard. It is available Tuesday; revenue is available at month end.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

The Commercial Council: One Play at a Time

THE SHIP LIST

Committed ________ Shipped ________ Hit rate ________ %

What did not ship — and was it capacity, dependency or scoping?

KILLS AND VERDICTS

What I killed this week, and what it taught me:

DEPOSITS

Convex actions ____ / 7 Structural-hole contacts ____ / 5 Reputation assets ____

COVENANT CHECK

Runway ______ months Largest concentration ______ % Open severity-1 ______ Tripwires fired ______

NEXT WEEK

The one play. One sentence, executable, countable:

A rule I saw breached, and its root cause — process, tooling, authority or conduct:

WHAT I LEARNED THAT CHANGES HOW I OPERATE

Forty-Five Minutes, Three Verdicts

Day 190. The Growth Review. Weekly, forty-five minutes.

In: every active experiment with its signed pre-registration doc and its measured result.

Out: next sprint's test slate, with pre-registration docs signed before the meeting ends.

Three verdicts only. Kill, iterate, scale.

WHY IT HOLDS

Signing the next slate before the meeting ends is the detail that keeps the pipeline moving. A slate agreed in the room and documented "later in the week" arrives on Thursday with softer criteria, because the pressure to launch has replaced the discipline of design.

Docs signed in the room, by two names - test owner and forum chair.

This is the production line of the entire system. The driver tree, the cadence and the gates exist to feed it, fund it, or enforce its verdicts.

Source: Operator's Manual C.3, Part E opening

THE OPERATOR'S QUESTION

Does your growth meeting end with signed pre-registration docs, or with intentions?

TODAY'S APPLICATION — one action, before noon

Sign the next slate's docs in the room, before anyone leaves.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Killed in the Meeting It Is Reviewed

Day 191. Rule 505:

A test that reached its required sample and missed its gate is killed in the meeting it is reviewed.

Not after a follow-up analysis. Not pending a conversation with the sponsor. In the meeting.

WHY IT HOLDS

Every hour of delay between a missed gate and a recorded kill is an hour in which a narrative assembles - and the narrative always favours continuation, because the people closest to the work are the ones writing it.

The procedural protection is Move 1 of the gate script: read the criterion aloud from the signed document, with its date, before any result is discussed.

And then the verdict, out loud, by the chair. "That is a kill." Three words that save more capital than any cost programme.

Source: Rule 505; Operator's Manual A.8

THE OPERATOR'S QUESTION

Which missed gate is still awaiting a follow-up analysis?

TODAY'S APPLICATION — one action, before noon

Call the verdict today. Every hour of delay lets a narrative assemble.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Four Numbers, Every Week

Day 192. Velocity accounting. Four numbers, updated weekly. Most companies cannot answer any of them:

1. Tests shipped - target 3+ per week
2. Cycle time per test - target under 14 days
3. Cost per test - falling 2-5x against baseline
4. Win rate against the one-third base rate; kill rate at or above 50%

WHY IT HOLDS

These are the factory gauges of the growth engine, and they are leading indicators of every financial result that follows by one to three quarters.

The fifth number belongs beside them: convexity ratio of the slate, above 60% structurally unbounded.

Start with tests shipped. It is the crudest of the five and the most immediately actionable, because at a fixed base rate the only lever on expected wins is the number of shots.

Source: Operator's Manual E.5; Metrics & Questions 5.1-5.6

THE OPERATOR'S QUESTION

Can you answer all four velocity numbers right now - shipped, cycle time, cost, win rate?

TODAY'S APPLICATION — one action, before noon

Measure them badly this week. Precision comes later; the measurement changes behaviour immediately.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

What Is the Kill Rate Alongside It?

Day 193. When someone reports a strong win rate, ask the paired question immediately:

"What is the kill rate alongside it?"

A high win rate with a low kill rate means the tests are trivial, or the gates are not being enforced. Both flatter the number.

WHY IT HOLDS

A pipeline scaling almost everything it tests is not discovering wins. It is funding narrative.

The follow-ups: were criteria pre-registered before launch in every case - show me the dated documents. And how many wins were declared without a control or a holdout?

Expect roughly one in three well-run tests to improve its target metric. A win rate far above the base rate is a warning, not a triumph - and it is the single most common way a growth function reports success while producing nothing.

Source: Metrics & Questions 5.4-5.5; Operator's Manual C.3

THE OPERATOR'S QUESTION

What is your kill rate alongside your win rate?

TODAY'S APPLICATION — one action, before noon

Compute both. A high win rate with a low kill rate is a warning, not a triumph.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

The Growth Review Run-Sheet

Day 194. Forty-five minutes:

1. For each active test: read the pre-registered criterion aloud, from the signed doc, with its date
2. State the measured result against the required result
3. Call the verdict - kill, iterate, scale
4. Ask the override question; if unanswerable in one sentence, the verdict stands
5. Update the four velocity numbers
6. Agree next sprint's slate and sign the pre-registration docs before anyone leaves

WHY IT HOLDS

Add one health check at the end: what is the convexity ratio of the slate we just agreed?

If it is below 60% structurally unbounded, the pipeline is polishing rather than positioning - and that is a design decision made by accident, one comfortable test at a time.

Correct it in the room, not next quarter.

Source: Operator's Manual C.3, E.5

THE OPERATOR'S QUESTION

What is the convexity ratio of the slate you last approved?

TODAY'S APPLICATION — one action, before noon

Compute it at the end of your next growth review. Correct it in the room if it is below 60%.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Two-Thirds Is the Design, Not the Failure

Day 195. The kill branch carries roughly two-thirds of the pipeline deliberately.

A pipeline whose kill rate runs below half is either not testing real ideas or not enforcing its gates. Both are defects.

And the failure archive is an asset: each killed test is purchased information about your driver tree that no competitor can see.

WHY IT HOLDS

Which is why kills are announced by the owner and credited as completed work, and why killed tests are filed with their learning stated specifically enough to be reused.

"It did not work" is not a filing. "Discount depth beyond 20% in this cohort produced no incremental repeat purchase at 90 days, at a cost of X per unit" is - and it will stop someone re-proposing the same idea in eighteen months with fresh enthusiasm and no memory.

Most organisations pay for that learning twice. Some pay three times.

Source: Operator's Manual E.1; Rules 511, 1009

THE OPERATOR'S QUESTION

Are your killed tests filed specifically enough to be reused?

TODAY'S APPLICATION — one action, before noon

Rewrite one file entry: which node, which cohort, which mechanism, at what cost.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Keep Watching Is How Zombies Eat

Day 196. Week twenty-eight closes here.

Count your zombies this week: tests live for more than two quarters without a recorded verdict.

Target zero. The number you find is a direct measure of how much comfort your organisation is buying with its capital.

WHY IT HOLDS

Any test still on the slate after two quarters without a verdict is a management defect and is closed - not because the idea was bad, but because an unresolved test occupies a WIP slot, consumes analyst attention, and produces exactly nothing.

"Keep watching" is always the most comfortable sentence in the room. It offends nobody, commits nothing, and costs a full slot for another quarter.

Three verdicts. Say one of them.

Next week: the highest-ROI meeting in the entire stack.

Source: Rule 513; Metrics & Questions 5.8

THE OPERATOR'S QUESTION

How many of your initiatives are on 'keep watching' right now?

TODAY'S APPLICATION — one action, before noon

Count them. Assign a verdict date to each, or close them today.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

The Growth Review and the Three Verdicts

THE SHIP LIST

Committed ________ Shipped ________ Hit rate ________ %

What did not ship — and was it capacity, dependency or scoping?

KILLS AND VERDICTS

What I killed this week, and what it taught me:

DEPOSITS

Convex actions ____ / 7 Structural-hole contacts ____ / 5 Reputation assets ____

COVENANT CHECK

Runway ______ months Largest concentration ______ % Open severity-1 ______ Tripwires fired ______

NEXT WEEK

The one play. One sentence, executable, countable:

A rule I saw breached, and its root cause — process, tooling, authority or conduct:

WHAT I LEARNED THAT CHANGES HOW I OPERATE

The Highest-ROI Meeting in the Stack

Day 197. Discretionary trade and promotional spend is routinely the second-largest line on the P&L at 15-25% of gross revenue.

Roughly 59% of promotions lose money globally, 72% in the US.

And only about 22% of companies can measure that spend at event level at all.

WHY IT HOLDS

A cost line equal to a fifth of revenue, with a two-thirds failure rate, that most organisations cannot measure at the unit of decision.

That is not a marketing problem. It is overproduction and over-processing at industrial scale, and it is the largest single recoverable profit pool in most consumer businesses.

Which is why the Spend and Promotion Gate is the highest-ROI meeting in the entire cadence stack, and why it is stood up in the first fortnight rather than the second quarter.

Source: Operator's Manual C.3, D.5

THE OPERATOR'S QUESTION

What share of gross revenue is your discretionary spend, and can you measure it at event level?

TODAY'S APPLICATION — one action, before noon

Compute both numbers this week. The second one is usually the harder answer.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Three Tests, Every Event

Day 198. The gate applies three tests to every discretionary commitment:

1. Margin integrity - does net contribution stay positive over the full cycle?
2. Forward-buying risk - is this borrowing volume at a discount and calling it growth?
3. Compliance - claims, pricing representations, partner commitments.

WHY IT HOLDS

Who sits: finance and compliance together. The requesting business owner presents; they do not vote.

That structure is the design. A gate where the requester votes is an approval process with extra paperwork, and it will approve at the rate the requester's conviction dictates.

And the evidence standard is fixed in advance: a 60-90 day true-ROI projection measured against baseline, not against the promoted peak. Spike minus discounts, returns, deductions and post-event decay.

Source: Operator's Manual C.3; Rules 402-403

THE OPERATOR'S QUESTION

Does your spend gate have finance and compliance in the room, with the requester presenting but not voting?

TODAY'S APPLICATION — one action, before noon

Fix the composition before the next session. Structure decides the outcome.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

True Promotion ROI, Not Lift

Day 199. The definition that changes decisions:

True promotion ROI - incremental net contribution over the 60-90 day window, net of subsidisation, cannibalisation, forward-buy and post-event decay, divided by event cost.

Any event judged on lift-week sales is measuring a loan, not a gain.

WHY IT HOLDS

Of every $100 of promotional sales, roughly $35 subsidises buyers who would have paid full price and about $8 cannibalises your own full-price volume.

One brand added decay to its model and watched measured ROI fall from 1.8x to 0.7x. It had been losing money while believing it was profitable - for years, on a line worth a fifth of revenue.

Measure event-level coverage too: the share of discretionary spend measurable at individual event level. Below 100%, your ROI number is an estimate.

Source: Metrics & Questions 3.5, 3.9; Operator's Manual D.5

THE OPERATOR'S QUESTION

Are you judging events on lift week, or on the full 60-90 day window?

TODAY'S APPLICATION — one action, before noon

Recompute your last major event across the full window, net of decay. Compare to what was reported.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
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- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Under What Condition Does It Come Back?

Day 200. Day two hundred. Five questions for any proposed promotion, campaign or spend event:

1. What is the 60-90 day true-ROI projection, net of subsidisation, cannibalisation and decay?
2. What depth, and what does that do to the average depth trend?
3. Does this borrow volume from a future period, and how much?
4. What is the kill condition, and who is watching it?
5. If this is rejected, under what condition does it come back?

WHY IT HOLDS

Question 5 is a rule, not a courtesy. Every rejection states the condition under which the proposal returns.

A rejection without a return condition is a relationship problem waiting to happen. It converts a process decision into a personal refusal, and the requester learns to route around the gate rather than improve the proposal.

With a return condition, the same rejection becomes a specification.

Source: Metrics & Questions Pt.3; Rule 404

THE OPERATOR'S QUESTION

When you reject a proposal, do you state the condition under which it returns?

TODAY'S APPLICATION — one action, before noon

Add the return condition to your next rejection. It turns a refusal into a specification.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

The Spend Gate Run-Sheet

Day 201. SLA-bound, as needed:

1. Business owner presents the request and the true-ROI projection
2. Margin integrity test - net contribution across the full decay window
3. Forward-buying test - how much volume is being pulled from future periods
4. Compliance test - claims, pricing representations, partner commitments
5. Finance and compliance decide; the requester does not vote
6. If rejected, state the return condition in writing

WHY IT HOLDS

Two structural rules sit around the gate.

No single event, programme or campaign may exceed the stated share of the discretionary pool without a Type 1 file - which prevents one relationship from consuming the year's flexibility.

And promotions are judged on net contribution across the full decay window, never on lift-week performance. That is a covenant, and it is the one most frequently attacked at quarter end.

Source: Operator's Manual C.3; Rules 403, 412

THE OPERATOR'S QUESTION

Which single event or programme is consuming a disproportionate share of your discretionary pool?

TODAY'S APPLICATION — one action, before noon

Compute the share. Anything above your threshold needs a Type 1 file.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

40-60% of Baseline in Week One

Day 202. The decay curve every operator should be able to recite:

Post-event velocity runs at 40-60% of baseline in week one, with baseline restored only around week four.

Six weeks of economics for one week of lift - and the lift chart shows none of it.

WHY IT HOLDS

Which is what makes the 60-90 day window non-negotiable rather than conservative. A 30-day read captures the loan and misses the repayment.

Track the post-event decay index directly: week-one post-event velocity as a percentage of pre-event baseline. Target above 60%, with recovery by week four.

When that index deteriorates event over event, you are not running promotions any more. You are running a subscription service for deal-seekers, funded from gross margin.

Source: Operator's Manual D.5; Metrics & Questions 3.6

THE OPERATOR'S QUESTION

What does your post-event velocity run at in week one, as a share of baseline?

TODAY'S APPLICATION — one action, before noon

Compute the decay index for your last three events. Watch whether it is deteriorating.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Promotion Addiction Has a Signature

Day 203. Week twenty-nine closes on the pattern to watch for:

Discretionary spend rising while non-promoted baseline velocity falls.

That combination is not investment. It is promotion addiction - each event must be deeper because the customer has been trained to wait.

WHY IT HOLDS

It is a tripwire with a mandatory response: the standing question becomes compulsory in the War Room, and the burden of proof shifts to whoever wants to continue the current posture.

The two numbers that reveal it are on your P&L already: average discount depth trending up two consecutive quarters, and baseline velocity in non-promoted weeks, seasonally adjusted.

Most businesses report the first and have never computed the second.

Next week: the forums that reallocate.

Source: Operator's Manual D.4; Metrics & Questions 3.3, 2.14

THE OPERATOR'S QUESTION

Is your discretionary spend rising while non-promoted baseline velocity falls?

TODAY'S APPLICATION — one action, before noon

Compute both trends today. Together they are the signature, and they require a response.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

WEEKLY REVIEW · WEEK 29

The Spend and Promotion Gate

THE SHIP LIST

Committed ________ Shipped ________ Hit rate ________ %

What did not ship — and was it capacity, dependency or scoping?

KILLS AND VERDICTS

What I killed this week, and what it taught me:

DEPOSITS

Convex actions ____ / 7 Structural-hole contacts ____ / 5 Reputation assets ____

COVENANT CHECK

Runway ______ months Largest concentration ______ % Open severity-1 ______ Tripwires fired ______

NEXT WEEK

The one play. One sentence, executable, countable:

A rule I saw breached, and its root cause — process, tooling, authority or conduct:

WHAT I LEARNED THAT CHANGES HOW I OPERATE

The MBR Reallocates. It Does Not Review.

Day 204. Three hours, monthly. The output is reallocation decisions and a signed covenant attestation.

Not a review of what happened.

If your monthly business review ends without money or people moving, it was a reporting ceremony with a three-hour price tag.

WHY IT HOLDS

The scorecard here is the driver tree - trajectory against each Level-1 and Level-2 node, decomposed by cohort.

Standing agenda: covenant attestation by name. Reallocation decisions. Kill list. Pipeline convexity scoring. Revenue per FTE and automation coverage.

And the reinvestment test: every saving identified in the month names its convex destination in the same meeting. No destination, no credit for the saving.

Source: Operator's Manual C.3

THE OPERATOR'S QUESTION

After your last three monthly reviews, what actually moved - money, people, or a kill?

TODAY'S APPLICATION — one action, before noon

If nothing moved in three months, redesign the agenda around reallocation rather than reporting.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Every Saving Names Its Destination

Day 205. Rule 409, a covenant:

Every forum that frees cash names the convex destination in the same meeting. A saving without a destination is not booked as a saving.

This is the rule that separates a compounding cost programme from a slow liquidation.

WHY IT HOLDS

The evidence is unambiguous. One operator ran the same cost machinery and delivered roughly $1.7B of savings - then took a $15.4B goodwill impairment and a 53% stock decline, erasing roughly $36B of market value, because no forum in the calendar owned the growth question.

Same tools, different owner, different sequence: decades of compounding.

The variable was never the cost discipline. It was whether a forum existed to receive the freed cash and route it into convex exposure.

Source: Rule 409; Operator's Manual, System on One Page

THE OPERATOR'S QUESTION

Where did last quarter's savings go?

TODAY'S APPLICATION — one action, before noon

Write the destination for one saving today. No destination, no credit for the saving.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Where Did Last Quarter's Freed Cash Go?

Day 206. One question, asked at every Reset, that most executives cannot answer:

"Where did the cash freed by last quarter's savings actually go?"

If the answer is "into the number," you ran an extraction quarter and called it a turnaround.

WHY IT HOLDS

Track it explicitly. Savings identified, savings realised, and the named convex destination of each - as a register, reviewed quarterly.

The register does two things. It makes the reinvestment test auditable rather than rhetorical, and it builds a track record you can show a board or a lender: this is what we freed, this is where it went, this is what it returned.

Without it, cost programmes are indistinguishable from margin harvesting, including to the people running them.

Source: Metrics & Questions Pt.4, CEO; Rule 409

THE OPERATOR'S QUESTION

Do you have a register of savings identified, realised, and their convex destinations?

TODAY'S APPLICATION — one action, before noon

Start one this quarter. It is what separates a turnaround from a harvest.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

What Have We Killed This Quarter?

Day 207. Four questions that constitute the quarterly convexity audit:

1. Which positions have capped upside and open-ended downside? Those are exits, not fixes.
2. What share of the pipeline is structurally unbounded?
3. What have we killed this quarter? If nothing, we are not running enough shots.
4. Where did the freed cash from last quarter's savings actually go?

WHY IT HOLDS

Question 3 is the tell. An organisation that has killed nothing in two quarters is not disciplined; it is under-shooting - running so few real bets that none of them has had the chance to fail.

The kill-rate floor of 50% exists precisely to surface that. It is not a target to hit by killing good things. It is a diagnostic: if you cannot reach it, your slate is trivial.

Ask all four out loud, in that order, at the Reset.

Source: Metrics & Questions Pt.3; Operator's Manual A.3

THE OPERATOR'S QUESTION

What have you killed this quarter?

TODAY'S APPLICATION — one action, before noon

If the answer is nothing, you are under-shooting. Add shots rather than defending the hit rate.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

The Three Escalating Forums

Day 208. Three forums, three scopes, three outputs:

Monthly Business Review (3h) - driver-tree trajectory, covenant attestation by name, reallocation, kill list, convexity scoring, revenue per FTE. Output: reallocation decisions and a signed attestation.

Quarterly Strategic Reset (half day) - convexity audit of the entire pipeline, threshold-progress review, hero-offer and pricing architecture, relationship development plan. Output: updated capital allocation and a revised WIP slate.

Annual Offsite (2 days) - portfolio convexity audit, network topology and structural-hole plan, threshold planning, survivorship stress test against a severe revenue-decline scenario. Output: annual capital allocation framework and threshold targets.

WHY IT HOLDS

The Reset is the only mid-year forum permitted to change a rule in the system. The Offsite is the only forum permitted to change the system's objectives.

Both constraints exist so that the rules cannot be amended by whoever is most inconvenienced by them this week.

Source: Operator's Manual C.3

THE OPERATOR'S QUESTION

Which of the three escalating forums is missing from your calendar?

TODAY'S APPLICATION — one action, before noon

Schedule it this month with its scope, its output and its non-negotiable agenda items.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

The Annual Stress Test

Day 209. One agenda item at the annual offsite outranks everything else on the page:

The survivorship stress test - model a severe revenue-decline scenario, and complete it before capital allocation is set.

Before. Not as a sensitivity appendix afterwards.

WHY IT HOLDS

Sequence matters because a stress test run after allocation is a justification exercise. Run before, it constrains the allocation - which is its only useful function.

The modelling questions are concrete: at a severe decline, what is runway under committed outflows only? Which positions would we be forced to exit, and which of those only needed time? Which covenant binds first, and in which month?

The answers reliably change the allocation. That is how you know the exercise was real.

Source: Operator's Manual C.3; Rule 911

THE OPERATOR'S QUESTION

Have you modelled a severe revenue decline before setting this year's capital allocation?

TODAY'S APPLICATION — one action, before noon

Run it before, not after. A stress test run afterwards is a justification exercise.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Feedback Controllers, Not Report-Outs

Day 210. Week thirty closes here.

Monthly and quarterly are the feedback controllers that retune the system. Annual is the only forum that may change the objectives.

If your monthly and quarterly forums produce narrative rather than reallocation, the system has no controller and it will drift until something breaks.

WHY IT HOLDS

The test is simple: after the last three MBRs, what moved? Name the money, the people, or the kill.

If nothing moved in three consecutive months, either the business is in perfect equilibrium - which it is not - or the forum is reporting rather than deciding.

And the correction is not a better deck. It is the standing agenda: attestation, reallocation, kill list, convexity, reinvestment destination. Five items, all of which force a decision.

Next week: the rules that keep every forum lean.

Source: Operator's Manual C.1

THE OPERATOR'S QUESTION

Are your monthly and quarterly forums controllers, or report-outs?

TODAY'S APPLICATION — one action, before noon

Add the five forcing items: attestation, reallocation, kill list, convexity, reinvestment destination.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

WEEKLY REVIEW · WEEK 30

MBR, Quarterly Reset, Annual Offsite

THE SHIP LIST

Committed ________ Shipped ________ Hit rate ________ %

What did not ship — and was it capacity, dependency or scoping?

KILLS AND VERDICTS

What I killed this week, and what it taught me:

DEPOSITS

Convex actions ____ / 7 Structural-hole contacts ____ / 5 Reputation assets ____

COVENANT CHECK

Runway ______ months Largest concentration ______ % Open severity-1 ______ Tripwires fired ______

NEXT WEEK

The one play. One sentence, executable, countable:

A rule I saw breached, and its root cause — process, tooling, authority or conduct:

WHAT I LEARNED THAT CHANGES HOW I OPERATE

Four Rules of Physics, Not Etiquette

Day 211. Four rules keep the whole stack lean:

1. One scorecard per forum. Never merged.
2. Decisions, not status. Status lives in dashboards.
3. Single-threaded ownership on every lever.
4. WIP capped, with entry by displacement.

These are physics, not etiquette. They hold whether or not anyone is being polite.

WHY IT HOLDS

Each has an enforcement test rather than an aspiration.

Two scorecards? Two meetings badly merged - and the merged version always defaults to whichever scorecard the senior person prefers.

No change to a ship list, an allocation or a kill list? It was an update meeting, and it does not recur.

Co-owned relationship? It gets attention exactly when both owners are free, which is never at the moment the decision is being made on the other side.

Source: Operator's Manual C.2

THE OPERATOR'S QUESTION

Which of the four meeting rules is weakest in your organisation?

TODAY'S APPLICATION — one action, before noon

One scorecard, decisions not status, one owner, WIP capped. Fix the weakest this week.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Never Merge Scorecards

Day 212. Rule 202, a covenant:

One scorecard per forum. Scorecards are never merged.

The war room reviews the turnaround scorecard. The MBR reviews the driver tree. The Growth Review reviews the experiment slate. A merged forum reviews whichever one the most senior person prefers.

WHY IT HOLDS

Merging is always proposed for good reasons - calendar pressure, overlapping attendees, efficiency. And it always produces the same outcome: one scorecard gets the attention and the other becomes an appendix nobody reads.

The cost shows up a quarter later, when the neglected scorecard turns out to have been the leading one.

If calendar pressure is genuinely the constraint, delete a forum outright rather than merging two. A deleted forum is an honest decision. A merged forum is a hidden one.

Source: Rule 202; Operator's Manual C.2

THE OPERATOR'S QUESTION

Which two of your meetings have been merged for convenience?

TODAY'S APPLICATION — one action, before noon

Split them, or delete one outright. A merged forum is a hidden decision.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Forum Decision Yield, Revisited

Day 213. Compute one number for every recurring meeting this month:

Decisions produced per forum-hour consumed.

Rank your calendar by it. The bottom of that list is not a productivity problem. It is a deletion list.

WHY IT HOLDS

Two supporting counts make the ranking actionable.

How many agenda items could not name their decision output in advance? Those are routed to a dashboard.

And how many forums produced no decision at all in the last month? Those are deleted at the Quarterly Reset calendar audit, by the CEO, personally.

The audit is annualised by design - a forum deleted mid-quarter tends to reappear under a new name. Deleted at the Reset, with the calendar reviewed as a whole, it stays deleted.

Source: Metrics & Questions 9.4; Rules 201, 203

THE OPERATOR'S QUESTION

Which of your recurring meetings ranks last on decisions per hour?

TODAY'S APPLICATION — one action, before noon

Compute the ranking. Put the bottom item on the Reset agenda for deletion.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Can This Item Name Its Decision Output?

Day 214. One question, applied to every agenda item before the meeting, not during:

"What decision does this item produce?"

If it cannot be answered in advance, the item is removed and routed to a dashboard. No exceptions for seniority, and no exceptions for interest.

WHY IT HOLDS

The objection is always the same: some things need discussion before they are ready for decision.

True - and those belong in a scheduled working session with a named owner and an output date, not in a standing forum with eleven attendees.

The distinction is not pedantic. A standing forum that absorbs pre-decision discussion loses its time box, then its decision output, then its purpose - and within two quarters it is the meeting everyone attends and nobody values.

Source: Rule 203; Operator's Manual C.2

THE OPERATOR'S QUESTION

Which agenda item in your next meeting cannot name its decision output?

TODAY'S APPLICATION — one action, before noon

Remove it before the meeting and route it to a dashboard.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ______________________ What I got wrong today:

The Meeting Physics Checklist

Day 215. Six enforcement tests for any forum:

1. One scorecard - not two, not a merged view
2. One named decision output, stated in advance
3. Time box held; overruns re-scoped at the Reset, never extended in the moment
4. Status routed to dashboards, maintained by systems and agents
5. Every lever has one accountable name
6. WIP capped, with entry only by displacement

WHY IT HOLDS

Point 3 deserves emphasis because it is where discipline usually leaks. A forum that regularly overruns is re-scoped at the next Reset, never extended in the moment.

Extending in the moment is entirely reasonable each time it happens, and it teaches the organisation that the time box is advisory. Within a quarter, every forum runs long, and the calendar is full of meetings nobody can leave.

Hold the box. Fix the scope later, in writing, for everyone.

Source: Operator's Manual C.2; Rule 213

THE OPERATOR'S QUESTION

Which of your forums regularly overruns, and how have you handled it?

TODAY'S APPLICATION — one action, before noon

Hold the time box at the next session. Re-scope at the Reset, in writing, for everyone.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Too Many Meetings Is Never the Diagnosis

Day 216. When a team says there are too many meetings, the count is almost never the problem.

The diagnosis: decisions are being made at the wrong layer, so every forum re-litigates the layer below it.

Fix the layer and the count fixes itself.

WHY IT HOLDS

You can verify this in one week. Sit in the three meetings people complain about most and tally how many minutes are spent on items another forum already owns.

In stalled organisations the number typically runs between a third and a half. Everyone leaves exhausted, having discussed real things, none of which were theirs to decide.

The fix is not fewer meetings. It is published decision rights, one scorecard per forum, and a chair willing to say: that belongs to the war room, take it there.

Source: Operator's Manual C.1, X.2

THE OPERATOR'S QUESTION

How many minutes of your worst meeting are spent on items another forum owns?

TODAY'S APPLICATION — one action, before noon

Tally it in the next session. The number will make the fix obvious.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Boring Is the Design Goal

Day 217. Week thirty-one closes here.

The stack is deliberately boring. Same rooms, same scorecards, same decision outputs, every week, until the organisation runs it without thinking.

Boring is the design goal, not a compromise you tolerate.

WHY IT HOLDS

An operating rhythm that requires enthusiasm to sustain will not survive the first difficult quarter - which is precisely the quarter it exists for.

And there is a second benefit to boring: it makes deviation visible. When every forum runs the same way every week, a missed ship list, an unexplained metric or a skipped attestation stands out immediately, without anyone having to be vigilant.

Predictability is an instrument.

Next week: the spine that makes every scorecard non-decorative.

Source: Operator's Manual, Part C opening

THE OPERATOR'S QUESTION

Does your operating rhythm require enthusiasm to sustain?

TODAY'S APPLICATION — one action, before noon

Make one forum more boring and more predictable this week. Predictability is an instrument.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Meeting Physics

THE SHIP LIST

Committed ________ Shipped ________ Hit rate ________ %

What did not ship — and was it capacity, dependency or scoping?

KILLS AND VERDICTS

What I killed this week, and what it taught me:

DEPOSITS

Convex actions ____ / 7 Structural-hole contacts ____ / 5 Reputation assets ____

COVENANT CHECK

Runway ______ months Largest concentration ______ % Open severity-1 ______ Tripwires fired ______

NEXT WEEK

The one play. One sentence, executable, countable:

A rule I saw breached, and its root cause — process, tooling, authority or conduct:

WHAT I LEARNED THAT CHANGES HOW I OPERATE

One Accounting of Reality

Day 218. One decomposition of the business. Every scorecard is a horizontal slice of it.

The alternative is present in every stalled business: forty metrics across eleven dashboards, none reconciled, each owned by a function that picked the definition flattering its own quarter.

Nobody is lying. Everybody is wrong.

WHY IT HOLDS

Sales reports gross revenue. Finance reports net revenue a third lower. Marketing reports lift on a seven-day window while the baseline erodes in week two.

And the disagreement is not discovered in a review. It is discovered in a restatement.

The driver tree is the discipline that separates data-driven operations from dashboard theatre. Build it from the actual P&L, in week one, before you buy any instrumentation.

Source: Operator's Manual, Part D opening

THE OPERATOR'S QUESTION

If two functions produced your headline number independently today, would they match?

TODAY'S APPLICATION — one action, before noon

Run the test this week. The answer is the honest state of your reporting.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ______________________ What I got wrong today:

Trace in One Step or Delete

Day 219. Rule 301, a covenant:

Every metric traces through the driver tree to a revenue, margin, opex or cash line in one step - or it is deleted.

And the meeting that reviews untraceable metrics is cancelled.

WHY IT HOLDS

One step is the standard because two steps is where narrative enters. A metric two removes from the P&L can be connected to anything with a sufficiently confident explanation.

Measure compliance directly: metric orphan count - live metrics that cannot be traced in one step, or that lack a named owner. Target zero, audited quarterly.

When you run this audit for the first time, expect to delete between a quarter and a half of what is currently reported. Nothing will break.

Source: Rule 301; Metrics & Questions 9.12

THE OPERATOR'S QUESTION

Which live metric cannot be traced to a P&L line in one step?

TODAY'S APPLICATION — one action, before noon

Find one and delete it. Nothing will break.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ______________________ What I got wrong today:

No Residual 'Other' Bucket

Day 220. Three construction properties, each enforced:

1. Level-1 drivers multiply back to the P&L line with no residual "other" bucket
2. Every Level-2 metric has exactly one accountable name and one owning forum
3. Every Level-2 metric is computable per cohort

WHY IT HOLDS

Property 1 is the one people negotiate with, and it is a covenant.

A residual is where unexamined economics hide. "Other" starts at 3% of the line, absorbs every reconciliation difference nobody wants to chase, and is 11% two years later - at which point it is the third-largest item on the page and nobody owns it.

If the decomposition does not multiply back cleanly, the tree is wrong. Fix the tree; do not create a bucket.

Source: Operator's Manual D.1; Rule 303

THE OPERATOR'S QUESTION

What is in your 'other' bucket, and how large has it grown?

TODAY'S APPLICATION — one action, before noon

Decompose it this week. If the tree does not multiply back cleanly, fix the tree.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Which P&L Line, and in How Many Steps?

Day 221. The traceability test, asked of every metric on every scorecard:

"Which P&L line does this number move, and in how many steps?"

One step: it stays. More than one: it is deleted, and the meeting that reviewed it is cancelled.

WHY IT HOLDS

Three follow-ups for the FP&A seat, asked quarterly:

1. Which live metrics cannot be traced to the tree in one step?
2. Where do two functions still compute the same metric differently?
3. What is the leading-to-lagging ratio on each scorecard - target at or above 2:1?

The second question finds the restatement before it happens. Definition variance incidents - occasions where two functions presented different values for the same named metric - should be zero, and they never are on first measurement.

Source: Metrics & Questions Pt.4, FP&A; 9.13-9.14

THE OPERATOR'S QUESTION

Which P&L line does your favourite metric move, and in how many steps?

TODAY'S APPLICATION — one action, before noon

Ask it of every metric on your primary scorecard today.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

The Tree-Building Session

Day 222. One afternoon, one whiteboard, one analyst:

1. Start from the actual P&L lines - revenue, gross margin, S&M, opex, cash
2. Decompose each into Level-1 drivers that multiply back with no residual
3. Decompose Level-1 into Level-2 operating metrics you can actually measure weekly
4. Assign one owner and one owning forum to every Level-2 node
5. Test each node: computable per cohort?
6. Delete every existing metric that does not appear on the tree

WHY IT HOLDS

Step 6 is the one that gets deferred and must not be. A tree built alongside the old metric set produces two systems of record and doubles the reconciliation burden.

Revenue is always customers x behaviour x value per behaviour. Margin is always price realised minus cost of delivery minus the cost of incentives used to move it.

The tree is business-model agnostic. Only the nouns change.

Source: Operator's Manual D.1-D.2, I.2

THE OPERATOR'S QUESTION

Have you ever built the driver tree from the actual P&L, on one page?

TODAY'S APPLICATION — one action, before noon

Block an afternoon this week. Whiteboard, one analyst, no software.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________   What I got wrong today:

A Technology Failure That Was Not One

Day 223. When a financial intermediary cannot reconcile its own liabilities to a single source of truth, the failure is usually reported as a technology failure.

It is not. It is a driver-tree failure: no single decomposition existed that every forum could trust.

The 2024 case froze more than $150 million belonging to roughly ten million consumers.

WHY IT HOLDS

That is this chapter's warning realised at consumer-harm scale, and the mechanism is the same one operating quietly inside most companies right now - just below the threshold where it becomes a headline.

The diagnostic question: if two functions in your business were asked today to produce the same headline number independently, would they match?

In most businesses they would not, and nobody has ever run the test because the answer is uncomfortable and the cost of not knowing is deferred.

Source: Operator's Manual D.3 Consequence Framing

THE OPERATOR'S QUESTION

Where in your business is a reconciliation gap waiting to be found in a crisis?

TODAY'S APPLICATION — one action, before noon

Pick the highest-consequence number. Have two functions reconcile it before month end.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

The Tree Guarantees Nothing Is Decorative

Day 224. Week thirty-two closes here.

The cadence stack is the delivery mechanism. The driver tree is what guarantees nothing on any scorecard is decorative. Without the tree, a cadence just moves untraceable numbers around a calendar with impressive regularity.

WHY IT HOLDS

Three properties, in order of enforcement priority:

One decomposition, no residual bucket.

One owner and one owning forum per node.

Every node computable per cohort.

Build it in week one from the actual P&L. It costs an afternoon, requires no software, and it is the single artifact that makes every subsequent measurement argument resolvable.

Next week: the canonical tree itself, line by line.

Source: Operator's Manual D.1

THE OPERATOR'S QUESTION

Does your cadence move traceable numbers, or untraceable ones?

TODAY'S APPLICATION — one action, before noon

Audit one scorecard against the tree. Delete anything that is not on it.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

WEEKLY REVIEW · WEEK 32

Driver-Tree Construction Rules

THE SHIP LIST

Committed ________ Shipped ________ Hit rate ________ %

What did not ship — and was it capacity, dependency or scoping?

KILLS AND VERDICTS

What I killed this week, and what it taught me:

DEPOSITS

Convex actions ____ / 7 Structural-hole contacts ____ / 5 Reputation assets ____

COVENANT CHECK

Runway ______ months Largest concentration ______ % Open severity-1 ______ Tripwires fired ______

NEXT WEEK

The one play. One sentence, executable, countable:

A rule I saw breached, and its root cause — process, tooling, authority or conduct:

WHAT I LEARNED THAT CHANGES HOW I OPERATE

Revenue: Reach x Behaviour x Value

Day 225. The revenue row of the canonical tree:

Level-1: active customers x purchase frequency x average order value. In retail: weighted distribution x velocity x price/mix.

Owning forum: the weekly War Room - because revenue drivers move weekly and are correctable weekly.

WHY IT HOLDS

Level-2 metrics that belong on the scorecard: weighted distribution, total distribution points, velocity per unit of distribution, first-purchase activation rate, 30-day repeat rate, reactivation rate, subscription penetration, key-account participation.

Eight nodes, each with one owner, each computable per cohort, each traceable to revenue in one step.

Note that only three of the eight are outcomes. Five are leading. That ratio is deliberate and enforced at design.

Source: Operator's Manual D.2

THE OPERATOR'S QUESTION

What are your three revenue drivers, and which one is actually binding?

TODAY'S APPLICATION — one action, before noon

Decompose last quarter's revenue change into reach, per-unit productivity, and price and mix.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Gross Margin: Price, Depth, Deductions, Freight

Day 226. The gross margin row, and the design decision inside it:

Level-1: price/mix, discount depth, returns and deductions, freight.

Owning forum: the Spend and Promotion Gate - not sales, not marketing.

WHY IT HOLDS

Discretionary spend sits under sales and marketing as a percentage of gross revenue, but its ROI is gated under gross margin.

That separation is deliberate and it is the fix for the oldest incentive mismatch in commercial organisations: the spend is a commercial decision, the truth about the spend is a margin fact.

Separating the two is what breaks the sales-versus-finance loop that lets unprofitable programmes repeat annually - each side holding a number that is correct and incomplete.

Source: Operator's Manual D.2

THE OPERATOR'S QUESTION

Who owns the truth about your discretionary spend - the function that requests it, or a different one?

TODAY'S APPLICATION — one action, before noon

Move the ROI gate under gross margin if it is not there already.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ______________________ What I got wrong today:

Five Rows, Five Cadences

Day 227. The full canonical tree, with its owning forums:

Revenue - weekly War Room

Gross margin - Spend and Promotion Gate, per event at day 60

Sales and marketing - Monthly Business Review

Opex and SG&A - MBR and Quarterly Reset

Cash - monthly covenant review

Enterprise value - Quarterly and Annual

WHY IT HOLDS

The cadence assignment is not administrative. Revenue drivers move weekly and are correctable weekly. Cash and enterprise value move slowly and are reviewed monthly and quarterly - which prevents re-litigating strategy in a Monday meeting.

And the enterprise-value row is not decorative: convexity-weighted pipeline value, documented wins toward threshold, reference-network growth.

A business that manages only this year's P&L reliably consumes its own future.

Source: Operator's Manual D.2

THE OPERATOR'S QUESTION

Is each row of your tree reviewed at the speed its drivers actually move?

TODAY'S APPLICATION — one action, before noon

Map your five rows to five cadences. Fix any row reviewed too slowly to be correctable.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Which Node Moved?

Day 228. When a major number misses, five questions in this order:

1. Which driver-tree node moved, and by how much? Not why yet - which node.
2. Was this visible in a leading indicator we already had? When did it first move?
3. If not visible, which leading indicator should have caught it and does not exist yet?
4. Is the mechanism named, or are we hearing a category headwind?
5. What is the smallest reversible action that tests the proposed mechanism this week?

WHY IT HOLDS

The order is the discipline. "Which node" before "why" is what stops the meeting becoming a narrative competition.

Question 3 is where the system improves itself. Every surprise is evidence of a missing leading indicator, and the fix belongs on the scorecard within a week - not in a post-mortem document nobody re-reads.

Question 5 keeps the response proportionate. Most missed numbers do not warrant a strategy review. They warrant one bounded test.

Source: Metrics & Questions Pt.3

THE OPERATOR'S QUESTION

When your last big number missed, which node moved - and when did it first move?

TODAY'S APPLICATION — one action, before noon

Answer 'which node' before 'why'. Then find the leading indicator that should have caught it.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

The S&M and Opex Rows

Day 229. Two rows most businesses under-instrument:

Sales and marketing (MBR): CAC by channel; discretionary spend as % of gross, against the 15-25% benchmark band; inbound share of pipeline; LTV:CAC by cohort, against the 3:1 floor.

Opex and SG&A (MBR / Reset): revenue per FTE; cost per experiment; agent-automation coverage of recurring workflows; vendor TCO against matrix score.

WHY IT HOLDS

Note what sits in the opex row: cost per experiment and automation coverage.

Most businesses treat those as innovation metrics or IT metrics. They are operating leverage metrics, and they belong on the same page as gross margin - because they determine the cost of everything the company will learn next year.

And vendor TCO against the score modelled at signature is how procurement discipline becomes longitudinal rather than anecdotal.

Source: Operator's Manual D.2

THE OPERATOR'S QUESTION

Do cost per experiment and automation coverage sit on the same page as gross margin?

TODAY'S APPLICATION — one action, before noon

Move them there this quarter. They are operating leverage metrics, not innovation metrics.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

The Enterprise Value Row Is Not Decorative

Day 230. Three metrics on the enterprise-value row, none of which print in this quarter's P&L:

Convexity-weighted pipeline value.

Documented wins toward the 2-3 credibility threshold.

Reference-network growth.

All three determine what the P&L can print two years from now.

WHY IT HOLDS

The failure of omitting them is slow and then total. A business that manages only this year's number optimises every decision toward the horizon it measures, and the horizon it measures is the one that pays this year's bonus.

Two years later there is no position, no inbound, and no reference network - and the response is another cost programme, because that is the only lever left that works inside one quarter.

Put the row on the page. Review it quarterly. Defend it in bad quarters especially.

Source: Operator's Manual D.2, H.3

THE OPERATOR'S QUESTION

Which enterprise-value metrics do you track, and did they survive your last bad quarter?

TODAY'S APPLICATION — one action, before noon

Put the row on the page. Defend it hardest when it feels least affordable.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Confirmation Flows One Way

Day 231. Week thirty-three closes on the ordering rule that keeps the tree honest.

The P&L never manages the War Room.

The moment lagging metrics start dictating weekly action, the operating system has been inverted and the team is steering by the wake.

WHY IT HOLDS

The weekly layer acts on leading indicators. The monthly and quarterly layers confirm, attest and reallocate. Information flows up as movement; decisions flow down as ship lists, plays and allocations.

When that ordering inverts - when a bad monthly number generates weekly firefighting on lagging metrics - you get the classic three-quarter sequence: hold the number with depth, watch repeat rate decay, confirm the damage in gross margin one quarter too late.

Next week: the same spine in different clothes.

Source: Operator's Manual H.3, D.2

THE OPERATOR'S QUESTION

Are your lagging metrics dictating weekly action?

TODAY'S APPLICATION — one action, before noon

Check the last four weeks. If the P&L is managing your war room, you are steering by the wake.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

WEEKLY REVIEW · WEEK 33

The Canonical Tree

THE SHIP LIST

Committed ________ Shipped ________ Hit rate ________ %

What did not ship — and was it capacity, dependency or scoping?

KILLS AND VERDICTS

What I killed this week, and what it taught me:

DEPOSITS

Convex actions ____ / 7 Structural-hole contacts ____ / 5 Reputation assets ____

COVENANT CHECK

Runway ______ months Largest concentration ______ % Open severity-1 ______ Tripwires fired ______

NEXT WEEK

The one play. One sentence, executable, countable:

A rule I saw breached, and its root cause — process, tooling, authority or conduct:

WHAT I LEARNED THAT CHANGES HOW I OPERATE

Same Spine, Different Clothes

Day 232. The tree is business-model agnostic. Five instantiations, five decisive metrics:

Retail/CPG - velocity per point of distribution

DTC/subscription - 30-day repeat rate by acquisition cohort

Multi-unit - unit contribution margin by vintage and format

Commercial lending - credit losses by the vintage that generated them

Professional services - utilisation of senior judgment hours vs delegated

WHY IT HOLDS

Each row also carries its own concentration tripwire: largest retailer as a share of net sales; largest acquisition channel as a share of new customers; single geography or format as a share of contribution; single-counterparty exposure against capital; largest client as a share of revenue.

Same structure, same covenants, different nouns.

If you operate a model not listed, build the row. It takes an afternoon and the shape is already determined.

Source: Operator's Manual D.3

THE OPERATOR'S QUESTION

Which decisive metric belongs to your business model, and are you actually managing to it?

TODAY'S APPLICATION — one action, before noon

Write your instantiation row: reach, behaviour, value, and the one metric that decides.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Losses Belong to the Vintage That Made Them

Day 233. The lending row contains a rule every business should steal:

Credit losses are measured against the vintage of the cohort that generated them - not against this quarter's originations.

Otherwise growth mechanically hides deterioration. A rising denominator flatters every loss ratio.

WHY IT HOLDS

The generalised version: any ratio whose denominator is growing will understate a problem in the numerator for as long as growth continues - and will reveal it, all at once, the quarter growth stops.

This is the same defect as judging promotions on lift week, cohort LTV on assumed retention, or churn on a rising base.

Measure the vintage. Always the vintage. It is the single most transferable discipline in the whole instantiation table.

Source: Operator's Manual D.3

THE OPERATOR'S QUESTION

Where is growth in your denominator hiding deterioration in your numerator?

TODAY'S APPLICATION — one action, before noon

Recompute one key ratio by vintage rather than by period. Compare the two pictures.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Gross Margin by Vintage

Day 234. A metric almost nobody computes and everybody should:

Gross margin by vintage - computed separately for each acquisition or launch cohort. Target: stable or rising by vintage.

A blended gross margin can hold flat for six quarters while every new cohort arrives worse than the last.

WHY IT HOLDS

Pair it with cohort LTV computed on gross-margin contribution and observed retention - never on an assumed curve borrowed from an older cohort.

That borrowing is the most common quiet error in customer economics. The older cohort was acquired in different conditions, at a different price, through a different channel, and it retains differently. Applying its curve forward manufactures an LTV that funds acquisition you cannot afford.

Observed retention or nothing.

Source: Metrics & Questions 3.14, 4.3

THE OPERATOR'S QUESTION

Is your gross margin by vintage stable, or has each new cohort arrived worse?

TODAY'S APPLICATION — one action, before noon

Compute it for the last six cohorts. The blend will have hidden the trend.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ______________________ What I got wrong today:

Which Cut Has Nobody Looked At?

Day 235. The seven questions for a business you have just inherited:

1. Which cohort cut has nobody in this building looked at in the last year?
2. What is the 13-week cash position, and who owns it?
3. What is the largest single customer, channel and vendor exposure?
4. Which ten decisions took longest last quarter - touches and days?
5. Which programmes auto-renewed without anyone measuring them?
6. Who does everyone quietly route around, and who do they quietly depend on?
7. What has this company promised its partners, and did it keep the promises?

WHY IT HOLDS

Question 1 is where the finding usually is. There is always one cut - by vintage, by door decile, by channel, by first-purchase item - that nobody has run, and it is almost always the one that explains the stall.

Question 6 has no metric attached and is frequently the most useful. Ask five people separately and the same two names appear on each list.

Source: Metrics & Questions Pt.3

THE OPERATOR'S QUESTION

Which cohort cut has nobody in your building looked at in the last year?

TODAY'S APPLICATION — one action, before noon

Run it this week. That cut usually explains the stall.

DAILY OPERATING CHECKLIST

- [ ] Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- [ ] One high-convexity action selected and time-blocked before the calendar filled
- [ ] One structural-hole contact made — a cluster I do not currently reach
- [ ] Ship list reviewed — binary status, no percentages
- [ ] One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Finding the Binding Constraint

Day 236. The constraint is one variable, not five priorities. To find it in ten days:

1. Decompose revenue into reach x per-unit productivity x price/mix
2. Compute each by cohort, decile and vintage - never blended
3. Identify which node explains the largest share of the gap to plan
4. Test it: if this one variable were relieved, does the P&L actually move?
5. Name it on one page with the cohort cut that proves it
6. Publish it, and send everything else to a parking lot nobody works

WHY IT HOLDS

Step 4 is the falsification step and it is routinely skipped. Many candidate constraints are real problems that are not binding - relieving them would improve the business marginally while the actual constraint continues to hold the number down.

One constraint, confirmed with cohort data. Not five confirmed with enthusiasm.

Source: Operator's Manual, Vocabulary; B.2

THE OPERATOR'S QUESTION

Have you falsified your candidate constraint - would relieving it actually move the P&L?

TODAY'S APPLICATION — one action, before noon

Run the test on your current constraint before you spend another quarter on it.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Velocity Before Distribution, Proven

Day 237. Two numbers that settle the sequencing argument in consumer businesses, and generalise everywhere:

One challenger reached roughly $200M in revenue on about 28,000 doors, where a typical brand needs 80,000+.

The variable being compounded was velocity per door, not door count.

WHY IT HOLDS

The sequence was natural, then grocery, then mass - proving per-unit productivity at each stage before buying the next tranche of reach.

The generalised rule: prove per-unit productivity in the current ring before buying the next. Distribution can be purchased. Velocity must be earned.

And there is a commercial dividend. A buyer watching outlier per-door productivity hands you the next tranche on favourable terms. A buyer watching you buy reach ahead of proof prices you accordingly.

Source: VOS v3.0 1.2; Operator's Manual E.6

THE OPERATOR'S QUESTION

Are you buying reach ahead of proof, and being priced accordingly?

TODAY'S APPLICATION — one action, before noon

Compute per-unit productivity in your newest ring before authorising the next tranche.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

The Constraint Is a Node, Not a Department

Day 238. Week thirty-four closes here.

The binding constraint is a node on the tree, not a department in the org chart.

"Sales is underperforming" is not a constraint. "Velocity per door in the top two banners has fallen 31% over eight quarters while distribution rose" is.

WHY IT HOLDS

The first framing produces a personnel conversation and a new incentive scheme. The second produces a specific, testable intervention with a measurable floor.

That distinction is worth a quarter of your time. Most turnarounds that fail spent their first ninety days addressing a department when the constraint was a variable - and the department worked harder at exactly the thing that was not binding.

Next week: the economics hiding underneath the top line.

Source: Operator's Manual, Vocabulary

THE OPERATOR'S QUESTION

Is your constraint a node on the tree, or a department in the org chart?

TODAY'S APPLICATION — one action, before noon

Rewrite it as a variable with a number and a cohort. Watch the intervention change.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ______________________ What I got wrong today:

Instantiations and the Binding Constraint

THE SHIP LIST

Committed ________ Shipped ________ Hit rate ________ %

What did not ship — and was it capacity, dependency or scoping?

KILLS AND VERDICTS

What I killed this week, and what it taught me:

DEPOSITS

Convex actions ____ / 7 Structural-hole contacts ____ / 5 Reputation assets ____

COVENANT CHECK

Runway ______ months Largest concentration ______ % Open severity-1 ______ Tripwires fired ______

NEXT WEEK

The one play. One sentence, executable, countable:

A rule I saw breached, and its root cause — process, tooling, authority or conduct:

WHAT I LEARNED THAT CHANGES HOW I OPERATE

Net Revenue Lands at 60-70% of Gross

Day 239. Three facts every operator is expected to know without looking them up:

Trade and promotional spend: 15-25% of gross.

Partner deductions: 5-15% of gross.

Returns and allowances: 3-10% of gross.

Net revenue lands at 60-70% of gross.

WHY IT HOLDS

Which means anyone quoting gross is overstating the top line by roughly a third - and every downstream ratio computed on gross is flattered by the same amount.

CAC on gross revenue. Marketing efficiency on gross. Contribution on gross. Each one wrong by the same third, consistently, in the same direction.

The rule that follows: gross figures are never quoted without the net equivalent alongside, and any participant may call it.

Source: Operator's Manual D.5; Rule 310

THE OPERATOR'S QUESTION

What is your net revenue as a share of gross - and which ratios have you been computing on the wrong one?

TODAY'S APPLICATION — one action, before noon

Compute the gross-to-net ratio today. Then recheck your CAC and contribution numbers against it.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Gross Is Never Quoted Alone

Day 240. Rule 310:

Gross figures are never quoted without the net equivalent alongside. Any participant may call it - not just finance, and not just the chair.

One sentence, enforced by anyone in the room, worth more than most reporting projects.

WHY IT HOLDS

Because the gross/net gap is not a reporting quirk. It is the single largest source of well-intentioned wrong decisions in commercial businesses.

The diagnostic question to ask when the ambiguity appears: when someone in this meeting says "revenue," which of the two numbers do they mean?

Ask it once, in public, and watch how many people give different answers. That is your definition-variance incident count, measured live.

Source: Rule 310; Metrics & Questions Pt.2

THE OPERATOR'S QUESTION

When someone in your meetings says 'revenue', which of the two numbers do they mean?

TODAY'S APPLICATION — one action, before noon

Ask it out loud in the next meeting. Count how many different answers you get.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

The Gross-to-Net Waterfall

Day 241. Instrument the gap, do not estimate it:

Gross-to-net ratio - net revenue divided by gross, after discretionary spend, deductions, returns and allowances. Typically 60-70%. Decomposed by channel, customer and item.

Then: which line moved, and why?

WHY IT HOLDS

Two component tripwires sit underneath it.

Deductions as a percentage of gross - the 5-15% band, decomposed by reason code. Growing reason codes are a channel-economics problem masquerading as an accounting one.

Returns as a percentage of gross - the 3-10% band, with no single item above its cap. Item-level review at the next MBR, and expansion suspended in the affected channel.

Both are weekly tripwires, not monthly reports.

Source: Metrics & Questions 3.1, 3.10-3.11; Operator's Manual D.4

THE OPERATOR'S QUESTION

Which line of your gross-to-net waterfall moved most last quarter?

TODAY'S APPLICATION — one action, before noon

Decompose it by channel, customer and item. Look at reason codes, not totals.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Which of the Two Numbers Do You Mean?

Day 242. Four questions on the gross-to-net line:

1. What is net revenue as a share of gross, and which line moved?
2. Are deductions inside the benchmark band, and which reason codes are growing?
3. When someone in this meeting says "revenue," which of the two do they mean?
4. What is the same growth number on a full-price-only basis?

WHY IT HOLDS

Question 4 is the one that reframes a whole quarter.

Strip every promoted unit out of the period and ask whether the trend is still positive. If growth exists only in promoted volume, you have bought a number rather than earned one - and the repayment schedule is already set.

It takes an analyst an hour. It is the single highest-yield hour in most commercial reviews, and almost nobody runs it because the answer is often unwelcome.

Source: Metrics & Questions Pt.2

THE OPERATOR'S QUESTION

What is your growth number on a full-price-only basis?

TODAY'S APPLICATION — one action, before noon

Strip every promoted unit out of the period. Ask whether the trend survives.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

The Hidden-Economics Briefing

Day 243. Six numbers to carry, memorised, as the terrain your tree sits on:

1. Discretionary spend: 15-25% of gross
2. Deductions: 5-15% of gross
3. Returns and allowances: 3-10% of gross
4. Net revenue: 60-70% of gross
5. Promotions losing money: ~59% globally, ~72% US
6. Out-of-stock: ~8% worldwide, stable for ~30 years, costing retailers ~4% of sales

WHY IT HOLDS

Number 6 carries a specific instruction: treat invariants as fixed costs of reality, not as improvable metrics. Thirty years of technology investment did not move that base rate. Execution systems do.

And about 30% of out-of-stock items are bought from another store - which is the mechanism by which a defect rate becomes a share transfer.

Adapt the bands to your industry at the Annual Offsite. Never mid-quarter, and never to accommodate a result.

Source: Operator's Manual D.5, X.1

THE OPERATOR'S QUESTION

Which of the six hidden-economics benchmarks can you not currently state for your own business?

TODAY'S APPLICATION — one action, before noon

Compute the one you are missing this week. Terrain first, then strategy.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

22% Can Measure It At All

Day 244. The number that explains why this pool stays unrecovered:

Only about 22% of companies can measure discretionary spend at event level.

The other 78% are managing a line worth 15-25% of gross revenue, with a two-thirds failure rate, in aggregate - which is to say, not at all.

WHY IT HOLDS

You cannot kill what you cannot see at the unit of decision. Aggregate spend reporting produces aggregate conclusions - "trade was up 2 points" - and aggregate conclusions produce no action.

So track event-level measurement coverage as its own metric: the share of discretionary spend measurable at individual event level. Target 100%. Below that, your ROI number is an estimate, and you should say so out loud when you present it.

That single admission changes how the number is used.

Source: Operator's Manual C.3; Metrics & Questions 3.9

THE OPERATOR'S QUESTION

Can you measure your discretionary spend at individual event level?

TODAY'S APPLICATION — one action, before noon

If not, say so out loud when you next present the ROI number. That admission changes how it is used.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Nobody Is Lying. Everybody Is Wrong.

Day 245. Week thirty-five closes on the sentence that describes most reporting failures I have seen.

Sales reports gross. Finance reports net a third lower. Marketing reports lift on a seven-day window while the baseline erodes in week two.

Nobody is lying. Everybody is wrong.

WHY IT HOLDS

Three fixes, in order of speed:

Rule 310 - gross never quoted without net alongside. Free, effective immediately.

Rule 307 - metric definitions single and published. One week of work.

Event-level measurement coverage to 100%. One quarter of work, and the largest payoff.

The most expensive number in any business is the one two functions compute differently and neither knows it.

Next week: what the lift chart is hiding.

Source: Metrics & Questions, How to Use This Book

THE OPERATOR'S QUESTION

Which of your key numbers do two functions compute differently without knowing?

TODAY'S APPLICATION — one action, before noon

Publish one single definition this week. Retire every variant of it.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

WEEKLY REVIEW · WEEK 35

Hidden Economics I - Gross to Net

THE SHIP LIST

Committed ________ Shipped ________ Hit rate ________ %

What did not ship — and was it capacity, dependency or scoping?

KILLS AND VERDICTS

What I killed this week, and what it taught me:

DEPOSITS

Convex actions ____ / 7 Structural-hole contacts ____ / 5 Reputation assets ____

COVENANT CHECK

Runway ______ months Largest concentration ______ % Open severity-1 ______ Tripwires fired ______

NEXT WEEK

The one play. One sentence, executable, countable:

A rule I saw breached, and its root cause — process, tooling, authority or conduct:

WHAT I LEARNED THAT CHANGES HOW I OPERATE

Decompose the Lift Before You Celebrate It

Day 246. Apparent lift decomposes into four parts, and only one of them is worth having:

1. Subsidisation of buyers who would have paid full price
2. Cannibalisation of your own volume
3. Forward-buying pulled from future periods
4. Genuine incrementality

WHY IT HOLDS

Of every $100 of promotional sales, roughly $35 subsidises full-price buyers and about $8 cannibalises your own volume - before you count what was pulled forward.

So the standing question, asked in writing during every diagnostic and at every gate: are we buying today's volume with tomorrow's baseline erosion?

An event judged on lift-week sales is measuring a loan. The repayment appears three to six weeks later, in a period nobody attributes it to.

Source: Operator's Manual B.2, D.5

THE OPERATOR'S QUESTION

Of your last big lift, how much was subsidised, cannibalised, pulled forward - and how much was real?

TODAY'S APPLICATION — one action, before noon

Decompose one recent event into the four parts. Report only the fourth as growth.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Judged Across the Full Decay Window

Day 247. Rule 403, a covenant:

Promotions and spend events are judged on net contribution across the full decay window - never on lift-week performance.

The window is 60-90 days. It is not negotiable at quarter end, which is precisely when it will be negotiated.

WHY IT HOLDS

The mechanics of the covenant matter. It is enforced at the Spend and Promotion Gate, which sits under gross margin rather than under sales - so the truth about the spend is owned by a different function from the one that requested it.

And every gated event carries a day-60 review against its pre-registered projection. Realised against predicted, in the journal, by name.

That comparison is what converts promotional planning from an annual tradition into a learning system.

Source: Rule 403; Operator's Manual D.2

THE OPERATOR'S QUESTION

Are you judging spend on the lift week or across the full decay window?

TODAY'S APPLICATION — one action, before noon

Set the window at 60-90 days in writing, before quarter end makes it negotiable.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ______________________ What I got wrong today:

The Post-Event Decay Index

Day 248. One metric makes the loan visible:

Post-event decay index - week-one post-event velocity as a percentage of pre-event baseline.

Benchmark: 40-60% of baseline in week one, with recovery by around week four. Target above 60% and rising.

WHY IT HOLDS

Track it per event and per depth band, and the pattern emerges quickly: deeper events decay harder and recover slower, which is the arithmetic behind promotion addiction.

Alongside it, two decompositions that most systems can produce with a week of work:

Forward-buy share - the share of apparent incremental volume pulled from future periods.

Cannibalisation share - the share drawn from your own full-price or other-item volume.

Both should be falling. Most businesses have never computed either.

Source: Metrics & Questions 3.6-3.8

THE OPERATOR'S QUESTION

What does week-one post-event velocity run at, as a share of baseline?

TODAY'S APPLICATION — one action, before noon

Compute the decay index for your last three events, split by discount depth.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Would This Event Clear the Gate Today?

Day 249. Five questions for any completed event:

1. Over what window - lift week, or the full 60-90 days including decay?
2. What did we subtract for subsidisation, cannibalisation and forward-buying?
3. What did week-one post-event velocity run at, as a percentage of baseline?
4. What was the pre-registered projection, and how does the realised number compare?
5. If this event were proposed today with these actuals, would it clear the Gate?

WHY IT HOLDS

Question 5 is the one that ends annual repetition.

Most promotional calendars are inherited. Each event exists because it existed last year, and the decision to run it was made once, years ago, by someone who has left.

Asking question 5 of every recurring event, once, typically retires between a fifth and a third of the calendar - and the freed spend goes behind velocity programmes in the accounts that are actually performing.

Source: Metrics & Questions Pt.2; Rule 410

THE OPERATOR'S QUESTION

Which recurring event exists only because it existed last year?

TODAY'S APPLICATION — one action, before noon

Ask of each: if proposed today with these actuals, would it clear the gate? Retire the ones that would not.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

The True-ROI Projection

Day 250. What a 60-90 day true-ROI projection contains, before any event is approved:

1. Expected gross lift, with the mechanism
2. Minus subsidisation of full-price buyers
3. Minus cannibalisation of own volume
4. Minus forward-buy from future periods
5. Minus post-event decay across the recovery window
6. Minus deductions and returns attributable to the event
7. The kill condition, and who is watching it
8. Two signatures: finance and the business owner

WHY IT HOLDS

Line 5 is the one that flips results. A brand that added decay to its model watched measured ROI fall from 1.8x to 0.7x - it had been losing money while believing it was profitable.

Nothing else about the business changed. One line was added to a model.

Source: Operator's Manual B.2; Rule 402

THE OPERATOR'S QUESTION

Does your ROI projection subtract decay, or stop at gross lift?

TODAY'S APPLICATION — one action, before noon

Add the decay line to your model today. One line changed a 1.8x into a 0.7x.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

1.8x to 0.7x

Day 251. The single most instructive number in commercial economics:

One brand added post-event decay to its promotion model. Measured ROI fell from 1.8x to 0.7x.

Same events. Same spend. Same data. One additional line in the model.

WHY IT HOLDS

It had been losing money on a line worth a fifth of revenue while believing it was profitable, and every quarterly review had confirmed the belief - because every review used the model that was missing the line.

That is the general shape of hidden economics: not fraud, not incompetence, just a measurement window that ends before the cost arrives.

Which is why the window is defined in advance, as a covenant, at 60-90 days. Windows chosen after results are not measurements. They are selections.

Source: Operator's Manual D.5

THE OPERATOR'S QUESTION

Which of your profitable programmes would stop being profitable with one more line in the model?

TODAY'S APPLICATION — one action, before noon

Find it. Better to find it yourself than to have a quarter find it for you.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Borrowed Volume Has a Repayment Schedule

Day 252. Week thirty-six closes here.

Borrowed volume always has a repayment schedule. The only question is whether it appears on yours.

Deal-dependent customers, trained partners, diluted price integrity - all three are repayments, and none of them is labelled as one.

WHY IT HOLDS

The tell is a combination rather than a single number: discretionary spend rising while non-promoted baseline velocity falls.

Both halves are needed. Rising spend alone can be investment. Falling baseline alone can be seasonality. Together they are the signature of promotion addiction, and they constitute a tripwire with a mandatory response.

Compute both this week. Most businesses report the first and have never computed the second.

Next week: the thresholds that act without a meeting.

Source: Operator's Manual D.4

THE OPERATOR'S QUESTION

What is the repayment schedule on the volume you borrowed last quarter?

TODAY'S APPLICATION — one action, before noon

Write when it comes due and in whose number it lands. Tell that person now.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

WEEKLY REVIEW · WEEK 36

Hidden Economics II - Decay and True ROI

THE SHIP LIST

Committed ________ Shipped ________ Hit rate ________ %

What did not ship — and was it capacity, dependency or scoping?

KILLS AND VERDICTS

What I killed this week, and what it taught me:

DEPOSITS

Convex actions ____ / 7 Structural-hole contacts ____ / 5 Reputation assets ____

COVENANT CHECK

Runway ______ months Largest concentration ______ % Open severity-1 ______ Tripwires fired ______

NEXT WEEK

The one play. One sentence, executable, countable:

A rule I saw breached, and its root cause — process, tooling, authority or conduct:

WHAT I LEARNED THAT CHANGES HOW I OPERATE

A Tripwire Changes the Default Action

Day 253. A tripwire is not a trend and not an alert.

It is a pre-set threshold whose breach changes the default action - before any discussion occurs.

The hold precedes the conversation. That ordering is the entire mechanism.

WHY IT HOLDS

Discussion first means a negotiation about whether the threshold applies, held by people under pressure with an interest in the answer. After that negotiation you no longer have a tripwire; you have a topic.

So: publish the register, assign every row an owner, automate the detection, and define the default action in writing before anything fires.

The design goal is that no courage is required at the moment of breach. Courage is required once - when the register is written.

Source: Operator's Manual D.4; Rule 312

THE OPERATOR'S QUESTION

Which of your thresholds triggers a discussion rather than an action?

TODAY'S APPLICATION — one action, before noon

Write the default action next to one threshold today. The hold precedes the conversation.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
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EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Two Tripwires in a Quarter Shifts the Burden

Day 254. Rule 313, a covenant:

When two tripwires fire in the same quarter, the standing question becomes mandatory in the War Room - and the burden of proof shifts to whoever wants to continue.

Are we buying today's volume with tomorrow's baseline erosion?

WHY IT HOLDS

The mechanism is deliberate. Any single tripwire can have a benign explanation. Two in a quarter is a pattern, and patterns are where a business gets to choose between correcting early and restating later.

The evidence standard on the burden shift is fixed: the 60-90 day true-ROI window, not the lift chart.

And the questions that follow: what would have to be true for the two firings to be unrelated - and do we believe it? What single action this week reduces both?

Source: Rule 313; Metrics & Questions Pt.3

THE OPERATOR'S QUESTION

Have two of your tripwires fired in the same quarter without anyone connecting them?

TODAY'S APPLICATION — one action, before noon

Check the last two quarters. If yes, the standing question is now mandatory.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Tripwire Response Time

Day 255. A metric that measures your instrumentation rather than your business:

Tripwire response time - median hours from breach to the default action taking effect. Target under 24 hours.

If the number is measured in weeks, you do not have tripwires. You have thresholds someone reviews monthly.

WHY IT HOLDS

Two supporting questions when one fires:

Has the default action already taken effect? If not, why are we discussing before acting?

And how long between the breach and the alert reaching a human? That gap is an instrumentation defect, not a discipline failure, and it is fixed with automation rather than with reminders.

Monitoring tripwires is itself an agent workflow with an owner and a service level: alert within 15 minutes of breach.

Source: Metrics & Questions 9.8; Operator's Manual G.5

THE OPERATOR'S QUESTION

How long from breach to action in your business - hours, or weeks?

TODAY'S APPLICATION — one action, before noon

Automate detection for the tripwire that would hurt most. Alert to a human within fifteen minutes.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Is This the First Firing, or the First Notice?

Day 256. Four questions when a tripwire fires:

1. Has the default action already taken effect? If not, why are we discussing before acting?
2. How long between the breach and the alert reaching a human?
3. Is this the first firing, or has it been drifting toward the threshold for several periods?
4. What is the release condition, and who is the named owner who may release it?

WHY IT HOLDS

Question 3 is the one that reveals whether your register is early-warning or post-hoc.

A metric that crossed its threshold this week after four quarters of visible drift was not a surprise. It was a decision nobody made, taken by default.

Which is why the register carries flag levels as well as breach levels on the concentration rows - 20% flags, 25% breaches. The flag exists to buy the quarter of notice that makes the breach avoidable.

Source: Metrics & Questions Pt.3

THE OPERATOR'S QUESTION

Was your last threshold breach a surprise, or a drift everyone had watched for four quarters?

TODAY'S APPLICATION — one action, before noon

Add a flag level below your breach level, so the breach becomes avoidable rather than announced.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

The Eight Standing Tripwires

Day 257. Publish these eight, with owners and automated detection:

1. Creeping discount depth - up two consecutive quarters
2. Rising returns and deductions - outside the band, or any item above cap
3. Accelerating early-cohort cancels - months 1-3 rising vs prior cohorts
4. Declining cohort LTV - any decline by vintage; LTV:CAC below 3:1
5. Spend escalation against a falling baseline
6. Concentration drift - any exposure above 20% flag / 25% breach
7. Runway compression - below 12 months
8. Quality or compliance incident - any open severity-1

WHY IT HOLDS

Each row carries a default action, not a discussion: auto-hold on new events above current depth; item-level review and suspended expansion; freeze the acquisition source; reallocate spend by cohort quality; the mandatory standing question; a dated diversification plan; auto-hold on outside-zone deployment; stop-the-line.

Write the action next to the threshold. A threshold without an action is a gauge.

Source: Operator's Manual D.4

THE OPERATOR'S QUESTION

Which of the eight standing tripwires do you not currently monitor?

TODAY'S APPLICATION — one action, before noon

Publish your register this week: threshold, owner, default action, automated detection.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
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EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

A 3-Point Churn Move Costs 40% of LTV

Day 258. Why declining cohort LTV is a tripwire rather than a report line:

Lifetime value is hypersensitive to churn. A drift from 5% to 8% monthly cuts subscriber lifetime value by roughly 40%. Three points of churn. Forty percent of the asset.

WHY IT HOLDS

Which is why the tripwire fires on any decline by vintage, on a gross-margin basis - not on a threshold breach, and not on the blended number.

The blended number will hold for two or three quarters while every new vintage arrives worse, because older, better cohorts dominate the average until they do not.

And the default action is specific: reallocate acquisition spend by cohort quality, not by volume, before the next flight. Not after the analysis. Before the next flight.

Source: Operator's Manual D.4

THE OPERATOR'S QUESTION

What would a three-point move in churn do to your lifetime value?

TODAY'S APPLICATION — one action, before noon

Compute it. The answer is roughly forty percent, and it reframes every retention decision.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Nobody Was Accountable for Saying It

Day 259. Week thirty-seven closes here.

The characteristic failure of survivorship metrics is not absence. It is inattention.

Everyone saw the number drift. Nobody was accountable for saying the sentence out loud.

WHY IT HOLDS

Tripwires exist to remove that dependency on someone being brave, alert and senior at the same moment.

Three design features do it: the threshold is set in advance, the action is defined in advance, and the detection is automated so no human has to notice.

This week: write your eight rows, name an owner for each, and automate the detection for the three that would hurt most.

Next week: the decomposition that makes every one of them visible.

Source: Operator's Manual H.1, D.4

THE OPERATOR'S QUESTION

Which number has everyone watched drift while nobody was accountable for naming it?

TODAY'S APPLICATION — one action, before noon

Assign the name today. Inattention, not absence, is the failure mode.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

The Tripwire Register

THE SHIP LIST

Committed ________ Shipped ________ Hit rate ________ %

What did not ship — and was it capacity, dependency or scoping?

KILLS AND VERDICTS

What I killed this week, and what it taught me:

DEPOSITS

Convex actions ____ / 7 Structural-hole contacts ____ / 5 Reputation assets ____

COVENANT CHECK

Runway ______ months Largest concentration ______ % Open severity-1 ______ Tripwires fired ______

NEXT WEEK

The one play. One sentence, executable, countable:

A rule I saw breached, and its root cause — process, tooling, authority or conduct:

WHAT I LEARNED THAT CHANGES HOW I OPERATE

Aggregates Are the Enemy of Truth

Day 260. Every hidden-economics failure is invisible in the average and obvious in the cohort.

That is not a general principle about data. It is a specific, repeatable finding - and it is why cohort discipline sits in the constitution rather than in an analytics guideline.

WHY IT HOLDS

The minimum segmentation standard:

Customers by lifecycle stage (0-30, 31-90, 90+ days) and lapse status (30-90, 90-180, 180+).

Channel or account performance by velocity cohort.

Subscribers by acquisition-month cohort, with cancel curves tracked separately for the first 90 days.

Promotions judged as cohorts, each event's decay curve compared against its own category base rate.

Four cuts. Most businesses run none of them consistently.

Source: Operator's Manual D.6

THE OPERATOR'S QUESTION

Which of your four minimum cohort cuts are you not running?

TODAY'S APPLICATION — one action, before noon

Choose the one closest to your constraint and run it this week.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Decomposed Form or Not at All

Day 261. Rule 306:

Any metric that materially changes when decomposed is managed only in decomposed form.

Not presented decomposed occasionally. Managed decomposed - permanently, in every forum, by every function.

WHY IT HOLDS

And Rule 305 gives the chair the enforcement tool: no average is presented without its cohort decomposition, and the forum chair may reject the item unheard.

Unheard is the operative word. Not "discussed and then challenged" - rejected before presentation, because a blended number heard once sets an anchor that the decomposition then has to fight.

The first time a chair does this the room finds it abrupt. By the third time, decompositions arrive without being asked for.

Source: Rules 305-306

THE OPERATOR’S QUESTION

Which metric changed materially when you decomposed it - and are you still managing the blend?

TODAY’S APPLICATION — one action, before noon

Retire the blend today. Permanently, in every forum, by every function.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday’s demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

The 30-Day Repeat Rate

Day 262. If you move one metric in a recurring-purchase business, move this one:

30-day repeat-purchase rate - the share of an acquisition cohort placing a second order within 30 days of the first.

Across a panel of 156,110 DTC customers: 18.8% placed a second order within 365 days. Of those who repeated, 50.3% did so within 30 days and 76.4% within 90.

WHY IT HOLDS

Repeat behaviour is decided in the first month, and it is only visible per cohort.

Two more numbers make it decisive. A customer who makes a second purchase is roughly 45% more likely to make a third. And a 10-point repeat-rate lift typically drives a 25-40% increase in lifetime value.

Show it split by whether the first purchase was promoted or full price. That single split answers most acquisition-quality arguments permanently.

Source: Operator's Manual D.6; Metrics & Questions 2.5

THE OPERATOR'S QUESTION

What is your 30-day repeat rate by cohort, split by promoted and full-price first purchase?

TODAY'S APPLICATION — one action, before noon

Run the split. It answers most acquisition-quality arguments permanently.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Which Direction, by Vintage?

Day 263. Four questions on any repeat or retention metric:

1. Show it by acquisition cohort, split by promoted versus full-price first purchase
2. Which direction is it moving by vintage - not in aggregate, by vintage?
3. What changed in the acquisition mix in the cohorts where it fell?
4. If this metric is flat but revenue is up, what is funding the gap and how long can it last?

WHY IT HOLDS

Question 4 is the one that catches a stall a year early.

Flat repeat rate with rising revenue means the growth is coming from acquisition volume, price, or promoted units - all three of which have a ceiling and two of which have a repayment schedule.

The honest version of that finding is uncomfortable and cheap to obtain: it takes one analyst one afternoon, and it reframes the entire following year's plan.

Source: Metrics & Questions Pt.2

THE OPERATOR'S QUESTION

Is your key retention metric moving by vintage, or only in aggregate?

TODAY'S APPLICATION — one action, before noon

Compute six vintages. The aggregate will have hidden the trend for two quarters.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

The Minimum Segmentation Standard

Day 264. Four cuts. If you run none of them, start with the first:

1. Customers by lifecycle stage and by lapse bucket
2. Channel or account performance by velocity cohort - so a headline reach number can never conceal a velocity collapse in the largest account
3. Subscribers by acquisition-month vintage, with first-90-day cancel curves tracked separately
4. Every promotion judged as a cohort, with its decay curve against its own category base rate

WHY IT HOLDS

Cut 2 is the one that prevents the most expensive surprise in commercial businesses. A headline distribution or account number can rise while the single largest account's per-unit productivity collapses underneath it - and the aggregate will hold for two or three quarters.

By the time the aggregate moves, the conversation with that account is no longer about velocity. It is about whether you keep the listing.

Source: Operator's Manual D.6

THE OPERATOR'S QUESTION

Which headline number in your business could be concealing a collapse in your largest account?

TODAY'S APPLICATION — one action, before noon

Run cut two: channel or account performance by velocity cohort. Today.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Reactivation Is the Cheapest Revenue

Day 265. The cheapest revenue in most systems, and the least worked:

Win-back on recency-segmented lapsed cohorts typically recovers 8-15% of the lapsed base, at roughly one-third of blended acquisition cost.

And reactivated customers carry 1.3-1.8x the LTV of new acquisitions.

WHY IT HOLDS

With one condition: lapse cohorts have to be tracked finely enough to intervene before the 180-day cliff.

The common error is working the largest list rather than the recoverable one. The 180-plus bucket is always biggest, which is exactly why it is the wrong place to start.

A team buying new acquisition while ignoring the lapsed file is paying triple for worse economics - and it is doing so because the lapsed file has no owner and no weekly number.

Source: Operator's Manual D.6; Metrics & Questions 4.9-4.11

THE OPERATOR'S QUESTION

Who owns your lapsed file, and what is its weekly number?

TODAY'S APPLICATION — one action, before noon

Segment lapsed customers by recency. Work the recoverable bucket, not the largest one.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

The Average Is Where Dying Economics Hide

Day 266. Week thirty-eight closes on the sentence that justifies the whole standard.

The average is where dying economics hide.

Not where they are reported inaccurately. Where they hide - visible to nobody, for as long as the mix holds.

WHY IT HOLDS

Cohort discipline is the difference between a correctable drift and a public restatement. That is the entire value proposition, and it costs one analyst and a definition.

This week, run one cut you have never run: your largest revenue metric, by acquisition vintage, on a gross-margin basis.

If it changes materially when decomposed, it is now managed only in decomposed form. That is the rule, and today is when it starts applying.

Next week: what the cohorts say about acquisition quality.

Source: Operator's Manual D.1

THE OPERATOR'S QUESTION

Where are dying economics currently hiding in an average you trust?

TODAY'S APPLICATION — one action, before noon

Run one cut you have never run: your largest revenue metric by vintage, on gross margin.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

The Cohort Standard

THE SHIP LIST

Committed ________ Shipped ________ Hit rate ________ %

What did not ship — and was it capacity, dependency or scoping?

KILLS AND VERDICTS

What I killed this week, and what it taught me:

DEPOSITS

Convex actions ____ / 7 Structural-hole contacts ____ / 5 Reputation assets ____

COVENANT CHECK

Runway ______ months Largest concentration ______ % Open severity-1 ______ Tripwires fired ______

NEXT WEEK

The one play. One sentence, executable, countable:

A rule I saw breached, and its root cause — process, tooling, authority or conduct:

WHAT I LEARNED THAT CHANGES HOW I OPERATE

Acquisition Quality Is Not Acquisition Volume

Day 267. Every metric in customer economics is meaningless as an aggregate and decisive as a cohort.

The distinction that runs through all of them: acquisition quality versus acquisition volume.

Volume is easy to buy and easy to report. Quality is only visible per cohort, three months later.

WHY IT HOLDS

Which creates the standard failure sequence. A channel is scaled on cost per acquisition. The cohort it produces cancels at three times the rate of others. Blended churn moves half a point, absorbed as noise. Two quarters later, LTV:CAC breaks and nobody can identify the source - because the source was a channel decision made on a metric that never included retention.

CAC for the cohorts that actually retained is a different number from CAC for all acquisitions. Compute both.

Source: Operator's Manual D.6; Metrics & Questions Pt.4

THE OPERATOR'S QUESTION

Which channel did you scale on cost per acquisition without checking what it retained?

TODAY'S APPLICATION — one action, before noon

Compute CAC for the cohorts that actually retained. Compare to blended CAC.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

LTV on Gross Margin and Observed Retention

Day 268. Two rules that make LTV honest:

1. Computed on gross-margin contribution, not revenue. Only one of those is spendable.
2. Projected on observed retention for this cohort - never on an assumed curve borrowed from an older one.

WHY IT HOLDS

Both violations flatter the number in the same direction, which is why they persist.

A revenue-based LTV overstates by the whole cost of delivery. A borrowed retention curve imports the behaviour of customers acquired in different conditions, at a different price, through a different channel.

Together they can produce an LTV that comfortably justifies acquisition spend the business cannot actually afford - and the error is only discovered when the cohort matures, by which point four more have been acquired on the same assumption.

Source: Metrics & Questions 4.3-4.4

THE OPERATOR'S QUESTION

Is your LTV computed on gross margin and observed retention - or on revenue and a borrowed curve?

TODAY'S APPLICATION — one action, before noon

Recompute one cohort properly today. Note how much acquisition spend it actually justifies.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

The 3:1 Floor and the Payback Window

Day 269. Two thresholds worth defending:

LTV:CAC by cohort, on a gross-margin basis - floor at 3:1.

CAC payback period - months until cumulative gross-margin contribution equals acquisition cost. It must sit inside your runway horizon.

WHY IT HOLDS

The second constraint is the one businesses forget, and it is a survivorship constraint rather than an efficiency one.

A cohort with excellent lifetime economics and a 26-month payback is a financing decision, not a marketing decision - and it becomes a solvency question the moment runway compresses.

Which is why the two covenants interact: runway above 12 months, and payback inside the runway horizon. Break one and the other stops being a comfort.

Source: Metrics & Questions 4.4-4.5; Operator's Manual D.2

THE OPERATOR'S QUESTION

Does your CAC payback sit inside your runway horizon?

TODAY'S APPLICATION — one action, before noon

Compute both numbers and put them on the same line. They are one constraint, not two.

DAILY OPERATING CHECKLIST

- [ ] Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- [ ] One high-convexity action selected and time-blocked before the calendar filled
- [ ] One structural-hole contact made — a cluster I do not currently reach
- [ ] Ship list reviewed — binary status, no percentages
- [ ] One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ______________________ What I got wrong today:

Which Cohort Does the Floor Fail In?

Day 270. Four questions on LTV and LTV:CAC:

1. Is LTV computed on gross margin or on revenue? Only one is spendable.
2. Is it based on observed retention for this cohort, or an assumed curve from an older one?
3. How sensitive is it to churn - what does a three-point move do?
4. Which cohort does the 3:1 floor fail in, and what did we change in acquisition that quarter?

WHY IT HOLDS

Question 4 is the diagnostic one. There is always a cohort where the floor breaks, and there is always a decision that caused it - a new channel, a deeper introductory offer, a bidding change, a partner deal.

Finding the pairing takes an hour and prevents the same decision being made again next year by someone who does not know it was ever made.

And churn sensitivity: a drift from 5% to 8% monthly cuts LTV by roughly 40%.

Source: Metrics & Questions Pt.2

THE OPERATOR'S QUESTION

In which cohort does your 3:1 floor break - and what did you change in acquisition that quarter?

TODAY'S APPLICATION — one action, before noon

Find the pairing. It stops the same decision being made again by someone who never knew.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

The Early-Cohort Cancel Diagnostic

Day 271. When months 1-3 cancels rise against prior cohorts, work these in order:

1. Which acquisition source produced the cohorts cancelling fastest?
2. What offer did those customers come in on?
3. Is this a product problem, an onboarding problem or an acquisition-quality problem?
4. What evidence separates the three?
5. Freeze the acquisition source that produced the cohort
6. Re-read the onboarding experiment

WHY IT HOLDS

Step 4 is where most diagnostics collapse into opinion. The evidence that separates them: if cancels are concentrated in one source, it is acquisition quality. If spread evenly across sources but concentrated in the first two weeks, it is onboarding. If spread across sources and time, it is product.

The default action fires before the diagnosis is complete - freeze the source first, diagnose second.

Source: Operator's Manual D.4; Metrics & Questions Pt.2

THE OPERATOR'S QUESTION

Are your early cancels concentrated in one source, one moment, or spread evenly?

TODAY'S APPLICATION — one action, before noon

Run the diagnostic. Concentration tells you whether it is acquisition, onboarding or product.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
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EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Recruited Deal-Seekers, Not Customers

Day 272. The clearest signal in customer economics:

Accelerating early-cohort cancels mean the acquisition recruited deal-seekers, not customers.

It is the direct-to-consumer equivalent of forward-buying - volume that was never going to stay, purchased with margin that will not return.

WHY IT HOLDS

The split that proves it: 30-day repeat rate by acquisition cohort, segmented by whether the first purchase was promoted or full price.

In most businesses that run the cut for the first time, the gap is large enough to change the acquisition plan immediately - and it has been invisible for years because the blended number sat comfortably in the middle.

One cut. One afternoon. It reprices your entire acquisition strategy.

Source: Operator's Manual D.4; Metrics & Questions 2.5

THE OPERATOR'S QUESTION

Did your last acquisition push recruit customers, or deal-seekers?

TODAY'S APPLICATION — one action, before noon

Split repeat rate by promoted versus full-price first purchase. Act on the gap.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Repeat Behaviour Is Decided in Month One

Day 273. Week thirty-nine closes here.

Of customers who ever repeat, roughly half do so within 30 days and three-quarters within 90.

Repeat behaviour is decided in the first month. Almost every retention programme is aimed at month six.

WHY IT HOLDS

Which reallocates effort dramatically once you accept it. First-purchase activation, onboarding, the first-value experience and the second-order trigger are where lifetime value is actually determined.

And a 10-point repeat-rate lift typically drives a 25-40% increase in LTV - which makes it the highest-leverage single number on the throughput panel.

If you move one metric this year, move the 30-day repeat rate, by cohort.

Next week: the factory that produces the moves.

Source: Operator's Manual D.6, H.2

THE OPERATOR'S QUESTION

Is your retention effort aimed at month six when the decision is made in month one?

TODAY'S APPLICATION — one action, before noon

Move one initiative from month six to first-purchase activation this quarter.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Customer Economics and LTV:CAC

THE SHIP LIST

Committed ________ Shipped ________ Hit rate ________ %

What did not ship — and was it capacity, dependency or scoping?

KILLS AND VERDICTS

What I killed this week, and what it taught me:

DEPOSITS

Convex actions ____ / 7 Structural-hole contacts ____ / 5 Reputation assets ____

COVENANT CHECK

Runway ______ months Largest concentration ______ % Open severity-1 ______ Tripwires fired ______

NEXT WEEK

The one play. One sentence, executable, countable:

A rule I saw breached, and its root cause — process, tooling, authority or conduct:

WHAT I LEARNED THAT CHANGES HOW I OPERATE

QUARTERLY STRATEGIC RESET

Quarter 3 — The Only Place You May Change Your Own Rules

THE CONVEXITY AUDIT

Which positions have capped upside and open-ended downside? Those are exits, not fixes.

THE SLATE AND THE THRESHOLD

Structurally unbounded share of the active slate: ______ % (floor 60) Documented wins toward threshold: ______ Inbound share of pipeline: ______ %

WHAT I KILLED

If nothing, I am under-shooting. What died this quarter, and what did it buy in learning?

WHERE THE FREED CASH WENT

Every saving names its convex destination. No destination, no credit for the saving.

THE KEEPER TEST

Top people and top vendors. A second consecutive “no” becomes an execution date within two weeks.

PREDICTION REVIEW

What did I predict last quarter, with a number and a date — and what actually happened?

NEXT QUARTER

One binding constraint. One play. Three pre-registered tests. Named owners, dated gates.

RULES TO AMEND

Standards may be amended here. Covenants wait for the annual offsite.

Treat It as a Factory

Day 274. The experiment pipeline is the production line of the entire system. The driver tree, the cadence stack and the gates exist to feed it, fund it, or enforce its verdicts.

So run it as a factory: raw ideas in, scaled standard work out, with scrap rates measured at every station.

WHY IT HOLDS

Five stations: backlog, pre-registration, execution, weekly verdict, standard work.

Each prevents a specific failure. The backlog prevents the shadow portfolio. Pre-registration prevents post-hoc rationalisation. Execution discipline prevents contaminated tests. The weekly verdict prevents zombies. Standard work prevents the next regime change quietly reversing a win nobody wrote down.

And the kill branch carries roughly two-thirds of the volume, deliberately.

Source: Operator's Manual E.1

THE OPERATOR'S QUESTION

Are you running an experiment pipeline, or a series of enthusiasms?

TODAY'S APPLICATION — one action, before noon

Map your five stations. Name the one that does not exist yet.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
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EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

One Backlog, No Side Channels

Day 275. Rule 512:

All ideas enter one backlog. No side channels and no queue-jumping by seniority.

The executive favourite that enters at station three, unscored and un-pre-registered, is the single fastest way to teach an organisation that the pipeline is decorative.

WHY IT HOLDS

The backlog is scored on convexity-adjusted ICE, deduplicated, and open to inspection.

And it carries its own health metrics: backlog age - the median age of items sitting without a scheduled launch - and zombie count, tests live more than two quarters without a verdict.

Both should be falling and near zero respectively. A backlog nobody prunes becomes a graveyard that new joiners read as a record of everything the company decided not to do.

Source: Rule 512; Metrics & Questions 5.7-5.8

THE OPERATOR'S QUESTION

Which idea entered your portfolio at station three, unscored, because of who proposed it?

TODAY'S APPLICATION — one action, before noon

Put it back in the backlog today. Side channels are how pipelines become decorative.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ______________________ What I got wrong today:

Scrap Rates at Every Station

Day 276. Measure the pipeline like a line, not like a project portfolio:

Station 1 to 2: ideas entering versus tests pre-registered

Station 2 to 3: pre-registered versus launched

Station 3 to 4: launched versus reaching a recorded verdict

Station 4 to 5: wins versus wins codified into standard work

WHY IT HOLDS

The last conversion is the one nearly everyone loses, and it is the most expensive.

A win that is never codified is a win that will be reversed by the next regime change, the next system migration, or the next person in the seat - and the organisation will pay to rediscover it in three years, with no memory that it ever knew.

Track it explicitly: wins scaled, wins codified, and wins currently running without their originator present.

Source: Operator's Manual E.1

THE OPERATOR'S QUESTION

What share of your wins were codified into standard work?

TODAY'S APPLICATION — one action, before noon

Compute the last conversion. It is the one nearly everyone loses.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

How Many Reached a Verdict?

Day 277. When someone reports tests shipped, ask the three follow-ups:

1. How many reached a recorded verdict, as opposed to launching?
2. How many were on high-convexity nodes rather than polish?
3. What is stopping the number being three times higher - cost per test, cycle time, or willingness to kill?

WHY IT HOLDS

Question 1 separates activity from throughput. Launching is easy to count and easy to inflate. Verdicts are the actual output of the factory.

Question 3 is diagnostic rather than rhetorical, and the answer is almost never ideas. It is one of the three named constraints, and each has a different fix: automation for cost, decision rights for cycle time, and gate enforcement for willingness to kill.

Ask which one, then fix that one.

Source: Metrics & Questions Pt.2

THE OPERATOR'S QUESTION

How many of your tests reached a recorded verdict rather than just launching?

TODAY'S APPLICATION — one action, before noon

Count both numbers this week. The gap is your real throughput problem.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

The Five Stations

Day 278. What each station requires, and what each prevents:

1. Backlog - one queue, convexity-adjusted ICE scoring. Prevents the shadow portfolio
2. Pre-registration - one signed page before launch. Prevents post-hoc rationalisation
3. Execution - bounded audience, correct randomisation unit, sample-ratio-mismatch monitoring. Prevents contaminated tests
4. Weekly verdict - kill, iterate or scale. Prevents zombies
5. Standard work - codified, trained, into the play of the week. Prevents silent reversal

WHY IT HOLDS

Agents do the cycle-time work at every station: scoring and dedupe, power calculations, variant generation and QA, first-pass readouts within 24 hours of significance, playbook drafting.

The human owns the verdict. Always the verdict. The agent owns the cycle time; the human owns the decision.

Source: Operator's Manual E.1, G.5

THE OPERATOR'S QUESTION

Which of the five stations is weakest in your pipeline?

TODAY'S APPLICATION — one action, before noon

Fix the weakest one this month. Each prevents a specific, named failure.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

The Failure Archive Is an Asset

Day 279. Two-thirds of a well-run pipeline is kills. That is the design, not the failure.

Each killed test is purchased information about your driver tree that no competitor can see - which makes the failure archive one of the few genuinely proprietary assets a company can build with its operating budget.

WHY IT HOLDS

But only if the filing meets a standard. "It did not work" is not information.

The learning must be stated specifically enough to be reused: which node, which cohort, which mechanism, at what cost, with what magnitude of null result.

Without that, the same idea returns in eighteen months with fresh enthusiasm, and the organisation pays for the same learning twice. I have watched businesses pay three times.

Source: Rule 511; Operator's Manual E.1

THE OPERATOR'S QUESTION

Is your failure archive specific enough to stop the same idea returning in eighteen months?

TODAY'S APPLICATION — one action, before noon

Rewrite one entry with node, cohort, mechanism, cost and magnitude.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

The Pipeline Is the Product

Day 280. Week forty closes here.

Most companies treat experimentation as a growth-team activity. It is not. It is the mechanism by which the entire operating system converts capital into knowledge.

Everything else exists to feed it, fund it, or enforce its verdicts.

WHY IT HOLDS

Which reframes the investment question. The right question is not "what should we test next quarter?"

It is: what would it cost to run three times as many tests at half the cycle time - and what is the expected value of that, at a one-third base rate?

That calculation almost always justifies the automation investment, and it is almost never the calculation used to justify it.

Next week: how ideas earn their slot.

Source: Operator's Manual, Part E opening

THE OPERATOR'S QUESTION

What would it cost to run three times as many tests at half the cycle time?

TODAY'S APPLICATION — one action, before noon

Do the arithmetic against a one-third base rate. It usually justifies the automation immediately.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

WEEKLY REVIEW · WEEK 40

The Experiment Pipeline

THE SHIP LIST

Committed ________ Shipped ________ Hit rate ________ %

What did not ship — and was it capacity, dependency or scoping?

KILLS AND VERDICTS

What I killed this week, and what it taught me:

DEPOSITS

Convex actions ____ / 7 Structural-hole contacts ____ / 5 Reputation assets ____

COVENANT CHECK

Runway ______ months Largest concentration ______ % Open severity-1 ______ Tripwires fired ______

NEXT WEEK

The one play. One sentence, executable, countable:

A rule I saw breached, and its root cause — process, tooling, authority or conduct:

WHAT I LEARNED THAT CHANGES HOW I OPERATE

Convexity-Adjusted ICE

Day 281. Standard ICE scoring - impact, confidence, ease - systematically favours the safe and the small.

Add a fourth component: convexity. Whether the upside is structurally unbounded.

A pricing win compounds on every future order. A copy win is a one-time step change. Standard ICE cannot tell them apart.

WHY IT HOLDS

Anchors for a high score in each:

Impact - moves a named Level-2 metric with a stated mechanism, not a narrative benefit.

Confidence - a defensible outside view exists: what happened the last ten times a company like ours tried this.

Ease - readable inside 14 days at a budgeted cost.

Convexity - the win compounds on every subsequent cohort or order.

Pricing, offer architecture, channel unlocks and subscription design outrank bounded polish.

Source: Operator's Manual E.2

THE OPERATOR'S QUESTION

Does your scoring reward compounding wins, or safe small ones?

TODAY'S APPLICATION — one action, before noon

Add convexity as a fourth component to your next scoring session.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

What Is Absent Matters as Much

Day 282. The portfolio standard: more than 60% of the active slate must be structurally unbounded.

And a diagnostic that takes ten seconds: what is absent from the slate?

No packaging refreshes. No awareness campaigns. No brand-health initiatives. Every test traces to a driver-tree node in one step.

WHY IT HOLDS

Those three categories are not forbidden because they are unimportant. They are absent because they cannot be read inside 14 days against a control, which means they cannot be run as experiments - and running them as experiments produces expensive, unfalsifiable results.

Deliberately barbell the slate: high-convexity plays whose wins compound on every subsequent cohort, plus a smaller set of structured bets with explicit kill economics.

Nothing in the middle. The middle is where slates go to become roadmaps.

Source: Operator's Manual E.2

THE OPERATOR'S QUESTION

What is absent from your test slate - and what does that absence tell you?

TODAY'S APPLICATION — one action, before noon

Look for the three categories that cannot be read in fourteen days. Move them out of the pipeline.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Would We Act on an Effect That Small?

Day 283. The design-time test that kills bad experiments before they cost anything:
If the minimum detectable effect is smaller than the effect you would actually act on, the test is not worth running.
Compute the MDE first. Then ask whether you would change a decision on a result of that size.

WHY IT HOLDS

A surprising share of proposed tests fail this check, and they fail it in both directions.
Some are powered to detect an effect so small that no decision would follow - which makes them expensive confirmations of nothing.
Others are powered to detect only an effect so large that a null result tells you nothing about the effect sizes you actually care about.
Both are caught in five minutes at design time and never caught after launch.

Source: Operator's Manual E.3

THE OPERATOR'S QUESTION

Would you actually act on an effect the size your test is powered to detect?

TODAY'S APPLICATION — one action, before noon

Compute the MDE before your next launch. Then ask whether the answer changes a decision.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

What Do We Do If It Is Inconclusive?

Day 284. The decision map, written before launch, with all three branches:

1. What do we do if it wins?
2. What do we do if it loses?
3. What do we do if it is inconclusive?

The third branch is the one nobody writes and the one that occurs most often.

WHY IT HOLDS

Left undefined, inconclusive results default to "keep watching" - which is how a test becomes a zombie and a slot becomes permanently occupied.

Writing the map in advance also exposes a common defect: if two branches lead to the same action, you are not running a test.

If you would scale regardless of the result, say so, skip the instrumentation, and spend the sample on a question whose answer would change something.

Source: Operator's Manual E.3

THE OPERATOR'S QUESTION

Have you written the inconclusive branch for your live tests?

TODAY'S APPLICATION — one action, before noon

Write it today. Undefined, it defaults to 'keep watching' and occupies a slot indefinitely.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
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EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

The Backlog Scoring Session

Day 285. Quarterly, with the growth owner chairing:

1. Every idea in one backlog - no side channels, no seniority queue-jumping
2. Score each on impact, confidence, ease and convexity
3. Confidence scored on base-rate evidence, not enthusiasm
4. Compute the convexity ratio of the resulting slate
5. If below 60% structurally unbounded, rebalance in the room
6. Prune: anything sitting without a scheduled launch, and any zombie

WHY IT HOLDS

Step 3 is where scoring integrity is won or lost. Confidence is the component that absorbs optimism, because it is the one that feels like judgment rather than fact.

Anchor it externally: what happened the last ten times a company like ours tried this? Where an outside view exists, it outranks the inside view, and the burden sits with whoever claims this time is different.

Source: Operator's Manual E.2; Rule 512

THE OPERATOR'S QUESTION

Is confidence in your scoring anchored to base rates, or to enthusiasm?

TODAY'S APPLICATION — one action, before noon

Score one item using only the outside view. Note how far it moves.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
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EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Un-Pre-Registered Tests Fail at the Same Rate

Day 286. The finding that makes pre-registration non-negotiable rather than fastidious:

Un-pre-registered tests produce the same failure rate as pre-registered ones.

What differs is what happens to the failures. They get converted into anecdotes - and the anecdotes get scaled anyway.

WHY IT HOLDS

That is the entire cost. Not the failed test, which was always going to fail at the base rate. The failed test promoted to a case study, resourced at scale, and cited for years as evidence for a mechanism that never existed.

Measure it: pre-registration compliance, the share of live tests with a complete signed document dated before launch. Target 100%.

Anything below 100% is not a compliance gap. It is a pipeline producing narratives at the same cost as producing knowledge.

Source: Operator's Manual E.1; Metrics & Questions 5.9

THE OPERATOR'S QUESTION

What share of your live tests have a signed criterion dated before launch?

TODAY'S APPLICATION — one action, before noon

Bring it to 100% this quarter. Below that, you are producing narratives at experiment prices.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
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EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

One Metric, Guardrails on the Rest

Day 287. Week forty-one closes on the rule that prevents pyrrhic wins.

Each test moves exactly one pre-registered driver-tree metric - with guardrails on trust, margin and returns at minimum.

A win on the target metric that breaches a guardrail is a loss.

WHY IT HOLDS

Metric shopping is a named defect, not an analytical style. Given enough measured metrics, something always moves, and the something that moved becomes the headline.

Guardrails are the countermeasure that costs nothing: name in advance the three things this test must not damage, and treat a breach as a failure regardless of the target result.

Without them, a conversion win that raised returns by four points reads as a success for two quarters.

Next week: the six statistical rules that keep all of this honest.

Source: Operator's Manual E.3-E.4

THE OPERATOR'S QUESTION

Which recent win breached a guardrail you never named?

TODAY'S APPLICATION — one action, before noon

Write three guardrails for your next test: trust, margin, returns at minimum.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

WEEKLY REVIEW · WEEK 41

Pre-Registration and Convexity-Adjusted ICE

THE SHIP LIST

Committed ________ Shipped ________ Hit rate ________ %

What did not ship — and was it capacity, dependency or scoping?

KILLS AND VERDICTS

What I killed this week, and what it taught me:

DEPOSITS

Convex actions ____ / 7 Structural-hole contacts ____ / 5 Reputation assets ____

COVENANT CHECK

Runway ______ months Largest concentration ______ % Open severity-1 ______ Tripwires fired ______

NEXT WEEK

The one play. One sentence, executable, countable:

A rule I saw breached, and its root cause — process, tooling, authority or conduct:

WHAT I LEARNED THAT CHANGES HOW I OPERATE

Astrology With Dashboards

Day 288. Experimentation without statistical discipline is astrology with dashboards.

Six non-negotiables. Violating any one converts the pipeline back into a conviction machine while retaining the costume of rigour - which is worse than having no pipeline, because it produces false confidence at scale.

WHY IT HOLDS

The six: sample size and power; cohort integrity; the true-ROI window; the base-rate check; holdouts; one-metric focus.

None requires a statistician. Each requires a decision made before launch rather than after - which is the only reason they are hard.

One a day this week, with the failure mode each prevents named explicitly. Learn the failure modes; the rules follow from them.

Source: Operator's Manual E.4

THE OPERATOR'S QUESTION

Where does your organisation use the language of rigour without the discipline underneath?

TODAY'S APPLICATION — one action, before noon

Audit one 'proven' result: pre-registration, control, holdout. Check all three.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
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EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

No Peeking-Driven Early Stops

Day 289. Non-negotiable 1: compute MDE and required sample size before launch. No peeking-driven early stops.

The failure it prevents: declaring victory on noise. The false-positive factory.

WHY IT HOLDS

Peeking is the most natural behaviour in experimentation and the most corrosive. Every check of an in-flight test is another opportunity for random variation to cross a threshold, and stopping at the moment it does converts noise into a result.

The procedural fix is simple: sample size and run time computed at design, written on the pre-registration form, and the test runs to completion.

If the business genuinely cannot wait for the sample, that is a decision to run without evidence - which is permitted, provided it is named as such rather than dressed as a result.

Source: Operator's Manual E.4; Rule 503

THE OPERATOR'S QUESTION

Where have you stopped a test early because the number looked good?

TODAY'S APPLICATION — one action, before noon

Set sample size and run time on the next one before launch, and hold to them.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
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EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Sample-Ratio Mismatch

Day 290. Non-negotiable 2: randomise at the correct unit and check for sample-ratio mismatch.

The failure it prevents: contaminated tests that poison downstream decisions.

State the randomisation unit explicitly - customer, store cluster, market or session - and schedule the mismatch check before launch.

WHY IT HOLDS

The wrong randomisation unit is the most common technical error in operator-run experiments, and it does not announce itself. A test randomised at session level when the behaviour operates at customer level will produce a clean-looking result that means nothing.

And contaminated tests are worse than absent tests, because they are acted upon.

The mismatch check is cheap and mechanical: are the arms the size the randomisation should have produced? If not, stop and diagnose before reading any outcome.

Source: Operator's Manual E.4, E.3

THE OPERATOR'S QUESTION

Do you know the randomisation unit of your last major test?

TODAY'S APPLICATION — one action, before noon

Check it, and run the sample-ratio-mismatch check before reading any outcome.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
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- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
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EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Compared to What Outside View?

Day 291. Non-negotiable 4: every forecast is compared to the outside view before approval.

"What happened the last ten times a company like ours tried this?"

The failure it prevents: planning-fallacy budgets and hasty generalisation from pilot euphoria.

WHY IT HOLDS

The base-rate check costs one meeting and prevents the most expensive class of error available to a well-run team - the plan that is internally consistent, carefully modelled, and built entirely from the inside view.

Where an outside view exists, it outranks the inside view by default. The burden of proof sits with whoever claims this time is different, and the claim has to be specific: what is structurally different, and why does that change the base rate?

"We will execute better" is not an answer. Everyone said that.

Source: Operator's Manual E.4, A.6

THE OPERATOR'S QUESTION

What outside view did you compare your last forecast to?

TODAY'S APPLICATION — one action, before noon

Write the base rate before the plan on your next material decision.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
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EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

The Six, In Full

Day 292. All six, with the failure each prevents:

1. Sample size and power - prevents declaring victory on noise
2. Cohort integrity - prevents contaminated tests
3. True-ROI window (60-90 days incl. decay) - prevents promotion addiction
4. Base-rate check - prevents planning-fallacy budgets
5. Holdouts on always-on programmes - prevents claiming credit for revenue that would have arrived anyway
6. One-metric focus with guardrails - prevents metric shopping and silent harm

WHY IT HOLDS

Number 5 is the one with the largest hidden cost. Without a persistent global holdout, the reported ROI of an always-on programme is partially fiction - and it has usually been reported that way for years, which makes it politically expensive to correct.

Track holdout coverage: the share of always-on programmes running a persistent global holdout. Target 100%.

Source: Operator's Manual E.4; Metrics & Questions 5.10

THE OPERATOR'S QUESTION

Which of the six statistical non-negotiables do you violate most often?

TODAY'S APPLICATION — one action, before noon

Name it honestly. Fix it on the next test rather than the next quarter.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
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EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Nobody Claims Credit a Holdout Would Have Produced

Day 293. Rule 1012, and it is a conduct rule rather than a statistical one:

Nobody claims credit for an outcome a holdout, a control group or a base rate would have produced anyway.

Enforced by the forum chair, in public, at the moment the claim is made.

WHY IT HOLDS

Placing it under conduct rather than analytics is deliberate. Claiming a base-rate outcome as a personal result is not a methodological error; it is a misallocation of credibility - and credibility is what future capital allocation is priced on.

The organisational effect is larger than the individual one. When one person is credited for regression to the mean, everyone else recalibrates what counts as a result, and the standard falls for a year without anyone deciding it should.

Holdouts protect the ledger. The rule protects the culture.

Source: Rule 1012

THE OPERATOR'S QUESTION

Which recent result would a holdout or a base rate have produced anyway?

TODAY'S APPLICATION — one action, before noon

Check one claimed win. Credibility is what future capital allocation is priced on.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
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- ☐ One structural-hole contact made — a cluster I do not currently reach
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EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

The Costume of Rigour

Day 294. Week forty-two closes here.

The dangerous state is not the absence of experimentation. It is experimentation that retains the costume of rigour while violating the discipline underneath.

Dashboards, significance language, confident readouts - and no pre-registration, no control, no holdout.

WHY IT HOLDS

That state is worse than conviction-based decision-making, because conviction knows it is conviction. A false rigour claims the authority of evidence for conclusions the evidence does not support, and it scales them.

Audit yourself this quarter with three questions:

What share of live tests have a signed document dated before launch?

What share of always-on programmes have a holdout?

How many wins were declared without a control?

The answers are the honest measure of your pipeline.

Next week: the four numbers that run the factory.

Source: Operator's Manual E.4

THE OPERATOR'S QUESTION

Is your organisation confident because it has evidence, or because it has dashboards?

TODAY'S APPLICATION — one action, before noon

Answer the three audit questions in writing: pre-registration rate, holdout coverage, wins without controls.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
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EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

The Six Statistical Non-Negotiables

THE SHIP LIST

Committed ________ Shipped ________ Hit rate ________ %

What did not ship — and was it capacity, dependency or scoping?

KILLS AND VERDICTS

What I killed this week, and what it taught me:

DEPOSITS

Convex actions ____ / 7 Structural-hole contacts ____ / 5 Reputation assets ____

COVENANT CHECK

Runway ______ months Largest concentration ______ % Open severity-1 ______ Tripwires fired ______

NEXT WEEK

The one play. One sentence, executable, countable:

A rule I saw breached, and its root cause — process, tooling, authority or conduct:

WHAT I LEARNED THAT CHANGES HOW I OPERATE

Four Numbers Most Companies Cannot Answer

Day 295. The master metrics of the pipeline itself:

1. Tests shipped per week - target 3+
2. Cycle time per test, idea to verdict - target under 14 days
3. Cost per test - falling 2-5x against baseline
4. Win rate against the one-third base rate; kill rate at or above 50%

Most companies cannot answer any of the four.

WHY IT HOLDS

That is not a criticism. It is an arbitrage. When an industry has no published experimentation base rate, the first operator to install a real pipeline is not playing catch-up - they are playing alone.

These four are leading indicators of every financial result by one to three quarters. Which means they belong on the weekly panel, not in a quarterly innovation report.

Start by measuring them badly. Precision comes later; the measurement itself changes behaviour within a fortnight.

Source: Operator's Manual E.5, E.6

THE OPERATOR'S QUESTION

Can you state your four velocity numbers right now, without looking?

TODAY'S APPLICATION — one action, before noon

Write them down today, even approximately. Approximate measurement beats none.

DAILY OPERATING CHECKLIST

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EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

The Only Lever on Expected Wins

Day 296. At a fixed base rate, the only lever on expected wins is the number of shots.

Win rate is bounded by nature at roughly a third. Shot count is bounded only by cost per test and cycle time - both of which are yours to attack.

So the primary metric is tests shipped, not tests won.

WHY IT HOLDS

This inverts the instinct of most executives, who respond to a low win rate by demanding better ideas.

Better ideas are not available on request. Expert intuition - yours, mine, your board's - is a coin flip weighted against you, and that has been measured repeatedly at scale.

More shots, cheaper, faster, with honest verdicts. That is the whole growth algorithm, and it is available to anyone willing to stop protecting their hit rate.

Source: Operator's Manual E.5; VOS v3.0 1.3 Law 4

THE OPERATOR'S QUESTION

Are you demanding better ideas, or more shots?

TODAY'S APPLICATION — one action, before noon

Pick the constraint - cost, cycle time, or willingness to kill - and take one action against it.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
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- ☐ One structural-hole contact made — a cluster I do not currently reach
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EVENING — WHAT MOVED?

Bought or earned? ______________________ What I got wrong today:

When Cost Per Test Falls 5x

Day 297. The arithmetic that turns AI leverage into P&L movement:

When cost per test falls five-fold, the rational number of concurrent tests rises five-fold at flat opex.

Base-rate math then converts that directly into wins per quarter. Not into more artifacts. Into wins.

WHY IT HOLDS

Which is why cost per test belongs in the opex row of the driver tree rather than in an innovation report - it is an operating leverage metric.

Measure it fully loaded, including the analyst and engineering time nobody bills.

Then ask the follow-up that most teams have never asked: if it fell by five times, how many concurrent tests would we rationally run - and are we running that number? Usually the cost has already fallen and the count has not moved.

Source: Operator's Manual E.5; Metrics & Questions 5.3

THE OPERATOR'S QUESTION

If cost per test fell five-fold, how many concurrent tests would you rationally run?

TODAY'S APPLICATION — one action, before noon

Compute it. Then check whether your cost has already fallen while your count has not moved.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
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EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Where Does the Cycle Time Actually Sit?

Day 298. Decompose cycle time before trying to reduce it:

1. Where does the time sit - design, approval, build, run, or readout?
2. How much of the cycle is queue time rather than work time?
3. Which stage would fall most if automated, and what is stopping us?

WHY IT HOLDS

The answer is almost always approval and readout - which means cycle time is usually a decision-rights problem wearing an engineering costume, and it is being addressed with tooling budget.

Queue time is the cheapest thing in any business to remove, because removing it costs authority rather than money.

And readout time is the cheapest thing to automate: first-pass readouts within 24 hours of significance is a solved problem, and it is on the agent org chart with a named owner and a service level.

Source: Metrics & Questions Pt.2; Operator's Manual G.5

THE OPERATOR'S QUESTION

How much of your cycle time is queue rather than work?

TODAY'S APPLICATION — one action, before noon

Decompose one test. Queue time is the cheapest thing in any business to remove.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
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EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

The Weekly Velocity Update

Day 299. Six lines, updated every week in the Growth Review, taking under five minutes:

1. Tests shipped this week
2. Tests reaching a recorded verdict
3. Median cycle time, idea to verdict
4. Fully loaded cost per test
5. Win rate and kill rate, trailing eight weeks
6. Convexity ratio of the active slate

WHY IT HOLDS

Line 2 is the honest one. Launching is easy to count and easy to inflate; verdicts are the actual output.

And line 6 is the one that prevents a high-throughput pipeline from becoming a high-throughput polishing operation. Three tests a week on packaging variants is not a growth engine; it is a well-instrumented treadmill.

Five minutes a week. It will tell you more about next year's revenue than any forecast.

Source: Operator's Manual E.5

THE OPERATOR'S QUESTION

Do you review the six velocity lines weekly, or discover them quarterly?

TODAY'S APPLICATION — one action, before noon

Add the five-minute velocity update to your next growth review.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
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EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

A Third, a Third, a Third

Day 300. Day three hundred. The base rate, restated because everything rests on it:

Roughly a third of ideas tested at scale improved the metric they were designed to improve. About a third did nothing. A third actively harmed it.

Google: roughly 10% of some 12,000 experiments in a year led to actual business changes. Netflix assumes 90% of what it tries is wrong.

WHY IT HOLDS

Read those together and one conclusion is unavoidable: a business shipping four major initiatives a year on conviction alone spends roughly two-thirds of its growth budget on things that do nothing or do harm.

And it never learns which third worked, because nothing was measured against a control.

Across a five-year plan, that is the difference between compounding and drift. Not talent. Not market. Measurement.

Source: Operator's Manual, Part E opening

THE OPERATOR'S QUESTION

If two-thirds of your ideas do nothing or harm, how are you currently finding the third that works?

TODAY'S APPLICATION — one action, before noon

Add a control to one initiative today. Without it, the third is invisible.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
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EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

A High Win Rate Is a Warning

Day 301. Week forty-three closes on the counter-intuitive reading.

A win rate far above the base rate is a warning, not a triumph.

It means the tests are trivial, or the gates are not being enforced. Both flatter the number, and both hide the same thing: the pipeline is not testing anything that could fail.

WHY IT HOLDS

The paired diagnostic is the kill rate. Hold it at or above 50%. A pipeline scaling almost everything it tests is funding narrative, not discovering wins.

And if the variance zone has produced no kills in two quarters, that is not discipline. It is under-shooting - the organisation is running so few real bets that none has had the opportunity to fail.

Check both numbers this week. Then check which of the two your team is proud of.

Next week: how to do all of this without a website.

Source: Operator's Manual E.5, A.3

THE OPERATOR'S QUESTION

Is your team proud of a win rate that should be worrying you?

TODAY'S APPLICATION — one action, before noon

Check win rate against kill rate. Then check whether the tests could have failed at all.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Velocity Accounting and Kill Discipline

THE SHIP LIST

Committed ________ Shipped ________ Hit rate ________ %

What did not ship — and was it capacity, dependency or scoping?

KILLS AND VERDICTS

What I killed this week, and what it taught me:

DEPOSITS

Convex actions ____ / 7 Structural-hole contacts ____ / 5 Reputation assets ____

COVENANT CHECK

Runway ______ months Largest concentration ______ % Open severity-1 ______ Tripwires fired ______

NEXT WEEK

The one play. One sentence, executable, countable:

A rule I saw breached, and its root cause — process, tooling, authority or conduct:

WHAT I LEARNED THAT CHANGES HOW I OPERATE

The Objection Is Half Right and Wholly Defeatist

Day 302. The honest objection: a digital marketplace can run a thousand concurrent tests because it owns a website. A physical business cannot A/B test a shelf.

Half right. And wholly defeatist.

What a physical business has instead is an experimentation continuum - four mechanisms, each replacing a gate that conviction currently fills.

WHY IT HOLDS

Telemetry as live test replaces concept testing and focus groups.

Channel sequencing replaces the national launch on conviction.

Staged geography replaces the simultaneous rollout.

Pilot-first procurement replaces the demo-plus-quarter-end-discount purchase.

None requires a browser. All four require pre-registered criteria and a willingness to kill.

One a day this week.

Source: Operator's Manual E.6

THE OPERATOR'S QUESTION

Where have you accepted 'we cannot test that' as an answer?

TODAY'S APPLICATION — one action, before noon

Choose the workflow and design a bounded test with a matched control this week.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
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- ☐ One structural-hole contact made — a cluster I do not currently reach
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EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Telemetry as Live Test

Day 303. Mechanism 1: instrumented points of consumption generating millions of micro-decisions a day.

One beverage platform runs 50,000+ connected dispensers pouring roughly 11 million drinks daily. Products have reached national retail because the mixing data said so - cutting data-to-shelf time to as short as 90 days against a traditional 18-month cycle.

WHY IT HOLDS

The generalisable rule: wherever your customers already make choices, instrument the choice rather than survey the preference.

Every point of sale, service interaction, configuration screen, order form and support conversation is a live preference experiment that is currently being discarded.

And the eighth waste applies directly: scan data, panel data and frontline insight never converted into decisions. Every experiment not run is expected value forfeited, and it never appears on a statement.

Source: Operator's Manual E.6; VOS v3.0 2.2

THE OPERATOR'S QUESTION

Where are your customers already making choices you could instrument but do not?

TODAY'S APPLICATION — one action, before noon

Pick one point of choice - order form, service call, configuration - and instrument it.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Channel Sequencing as Staged Experimentation

Day 304. Mechanism 2: prove per-unit productivity in one channel before buying the next.

One challenger reached roughly $200M in revenue on about 28,000 doors, where a typical brand needs 80,000+ - by sequencing natural, then grocery, then mass, proving velocity per door at each stage.

WHY IT HOLDS

Each channel is a ring, and each ring re-earns its expansion against a pre-registered per-unit floor.

The metric is unchanged from the digital case: per-unit productivity, measured in the current ring, before the next tranche of reach is purchased.

And the commercial dividend is specific: a buyer watching outlier per-door productivity hands you the next tranche on favourable terms. Sequencing is not only risk management. It is margin.

Source: Operator's Manual E.6, B.2

THE OPERATOR'S QUESTION

Are you proving per-unit productivity before buying the next channel?

TODAY'S APPLICATION — one action, before noon

Set the per-unit floor for your next channel before the expansion is approved.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

What Is the Smallest Version That Answers It?

Day 305. Mechanism 3: staged geography - test markets with matched controls and pre-registered per-unit floors, expanded ring by ring.

The question that makes it cheap: what is the smallest version of this that still answers the question?

WHY IT HOLDS

Most physical-world proposals shrink by 70% under that question without losing any information yield - because the original scope was sized for confidence rather than for learning.

Two banners with 140 matched controls over 30 days answers most questions that a national rollout is being proposed to answer, at 3% of the cost and with a readable result.

And the matched control is the part that cannot be dropped. Without it you have a before-and-after in a moving market, which is a story with numbers attached.

Source: Operator's Manual E.6, B.3

THE OPERATOR'S QUESTION

What is the smallest version of your current proposal that still answers the question?

TODAY'S APPLICATION — one action, before noon

Shrink one proposal by seventy percent today without losing its information yield.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
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EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

The Four Mechanisms

Day 306. Four ways to experiment without a browser, each replacing a specific gate:

1. Telemetry as live test - replaces concept testing and focus groups
2. Channel sequencing - replaces the national launch on conviction
3. Staged geography with matched controls - replaces the simultaneous rollout
4. Pilot-first procurement - replaces the demo-plus-discount purchase

WHY IT HOLDS

Mechanism 4 travels furthest, because it applies to every function rather than only commercial ones: a paid, bounded trial with pre-registered adoption metrics before any annual contract.

Paid, because free pilots are sales theatre. Pre-registered, because metrics chosen after results are narratives.

Run all four and a physical business achieves a test cadence that most digital businesses do not actually maintain - because most digital businesses run tests without controls, holdouts or verdicts.

Source: Operator's Manual E.6, G.1

THE OPERATOR'S QUESTION

Which of the four physical-world mechanisms could you install this quarter?

TODAY'S APPLICATION — one action, before noon

Choose the one closest to your binding constraint. Start with a paid, bounded version.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

First to Install, Playing Alone

Day 307. The arbitrage is the point:

When an industry has no published experimentation base rate, the first operator to install a real pipeline is not playing catch-up.

They are playing alone.

WHY IT HOLDS

In digital-native categories, experimentation is table stakes and the returns are competed away. In categories where nobody runs controlled tests, the same discipline produces uncontested advantage - and it is invisible to competitors, because a well-run pipeline looks from the outside like good judgment.

Ask two questions about your own category:

Who publishes a win rate? Nobody.

Who could compute one if they wanted to? Also nobody.

That is the opening. It closes when somebody takes it.

Source: Operator's Manual E.6

THE OPERATOR'S QUESTION

Who in your category publishes a win rate - and who could compute one?

TODAY'S APPLICATION — one action, before noon

If the answer is nobody, that is the opening. Decide whether you take it.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
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EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Instrument the Choices You Already Have

Day 308. Week forty-four closes here.

You do not need a website to run experiments. You need bounded audiences, matched controls, pre-registered criteria and a willingness to kill.

All four are available in a plant, a clinic, a branch network, a loan book and a field sales organisation.

WHY IT HOLDS

This week, list every place where a customer, partner or employee already makes a choice you could observe: the order form, the configuration step, the service call, the shelf, the renewal conversation.

Each one is a live experiment currently being discarded.

Pick the one closest to your binding constraint, instrument it, and run a bounded test against a matched control within the month.

Next week: the most convex bet in the portfolio.

Source: Operator's Manual E.6

THE OPERATOR'S QUESTION

Which observable choice in your business is currently being discarded rather than measured?

TODAY'S APPLICATION — one action, before noon

Instrument it this month. It is a live experiment you are already paying for.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Experimentation Without a Browser

THE SHIP LIST

Committed ________ Shipped ________ Hit rate ________ %

What did not ship — and was it capacity, dependency or scoping?

KILLS AND VERDICTS

What I killed this week, and what it taught me:

DEPOSITS

Convex actions ____ / 7 Structural-hole contacts ____ / 5 Reputation assets ____

COVENANT CHECK

Runway ______ months Largest concentration ______ % Open severity-1 ______ Tripwires fired ______

NEXT WEEK

The one play. One sentence, executable, countable:

A rule I saw breached, and its root cause — process, tooling, authority or conduct:

WHAT I LEARNED THAT CHANGES HOW I OPERATE

A Senior Hire Is a Concentrated Position

Day 309. A senior hire is the most asymmetric position most operating portfolios ever hold.

Downside - salary, severance, lost quarters, team drag, replacement cycle - is conservatively 5-15x annual compensation for senior roles.

Upside compounds for years across every metric the person touches.

WHY IT HOLDS

Under a lean-headcount doctrine, every hire is rare, senior and enormously leveraged. When one person with agents and workflows does the work of a five-person team, each seat is a concentrated position that must clear the same evidentiary bar as a capital deployment.

Which is the framing that changes behaviour: a hiring decision is a capital-allocation decision with a person attached, and it gets the same substrate - matrix, pre-mortem, journal entry, pre-registered success criteria.

Source: Operator's Manual, Part F opening

THE OPERATOR'S QUESTION

Does your next senior hire clear the same bar as a capital deployment of the same size?

TODAY'S APPLICATION — one action, before noon

Write the loaded cost of the seat, then apply the same substrate you would to that capital.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
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EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

The Scorecard, Not the Job Description

Day 310. Phase 1 of the hiring loop, before sourcing begins:

Write the outcome scorecard, not the job description.

Three to five measurable outcomes this role must deliver in 12 months, each traced to a named node on the driver tree - plus the behavioural competencies that predict them.

WHY IT HOLDS

Job descriptions describe activities. Scorecards describe results.

The practical difference shows up in the interview: with a job description you assess whether someone could plausibly do the activities, which rewards articulacy. With a scorecard you assess whether they have delivered analogous outcomes in comparable constraint environments, which rewards evidence.

And it is a covenant: no sourcing begins without the written scorecard on file.

Source: Rule 601; Operator's Manual F.1-F.2

THE OPERATOR'S QUESTION

Do your open roles have outcome scorecards, or job descriptions?

TODAY'S APPLICATION — one action, before noon

Write three to five measurable twelve-month outcomes for one open role, traced to driver-tree nodes.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
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EVENING — WHAT MOVED?

Bought or earned? ______________________ What I got wrong today:

Selection Predictive Validity

Day 311. The metric that almost no company can answer:

Selection predictive validity - the correlation between hiring composite score and 12-month performance rubric score.

It is computable only if the instrument is identical at hiring and at review. Which is exactly why the same anchored rubric is used end to end.

WHY IT HOLDS

Once you can compute it, three questions become answerable with numbers instead of opinions:

Does the hiring composite predict 12-month performance at all?

Which dimension has the weakest predictive relationship, and should its weight fall?

Which interviewer's scores predict best, and what are they doing that the others are not?

That last question has changed more hiring loops than any training programme I have seen.

Source: Metrics & Questions 7.7; Operator's Manual F.4

THE OPERATOR'S QUESTION

Does your hiring composite predict twelve-month performance at all?

TODAY'S APPLICATION — one action, before noon

Use the same anchored rubric at hire and at review so the question becomes answerable.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
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EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Which References Did They Arrange, and How Fast?

Day 312. Reference-checking, done properly:

Arrange references through the candidate: "please set up a call with your manager from that role."

The arranging behaviour is itself a signal - who they can reach, how quickly, and how willingly.

WHY IT HOLDS

Then triangulate rather than collect. A claim surviving three independent references earns its weight. One surviving an enthusiastic champion and two awkward silences does not.

Ask outcome-anchored questions tied to the scorecard, not character questions. "What was the number when they arrived and when they left, and what did they change to move it?" is answerable. "What were they like to work with?" produces the same answer for everyone.

Evidence-weighted, not volume-weighted.

Source: Operator's Manual F.1

THE OPERATOR'S QUESTION

Which references did your last hire arrange, and how quickly?

TODAY'S APPLICATION — one action, before noon

On the next candidate, ask them to set up the calls. The arranging behaviour is a signal.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
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EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

The Five-Phase Hiring Loop

Day 313. Same loop, people-shaped:

1. Outcome scorecard - three to five measurable outcomes, traced to driver-tree nodes, written before sourcing
2. Structured process - same questions, same order, same anchored rubric, scored independently in writing before any group discussion
3. Paid work sample - time-boxed, on real or realistically anonymised material, blind-scored where feasible
4. Evidence-weighted references - arranged by the candidate, triangulated
5. The 90-day gate - written plan with pre-registered criteria, agreed before the start date

WHY IT HOLDS

Pay market rates for the work sample. Paid work is real work, it keeps the exercise legally clean, and it materially improves who is willing to complete it.

Every hire is a pilot with a day-90 gate. The offer letter is not the decision; it is the start of the final validation leg.

Source: Operator's Manual F.1

THE OPERATOR'S QUESTION

Which phase of your hiring loop is weakest - scorecard, structure, work sample, references, or the 90-day gate?

TODAY'S APPLICATION — one action, before noon

Install the missing phase before your next offer goes out.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
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EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

A Century of Selection Science

Day 314. The rank ordering has survived every re-estimation:

General mental ability, work samples and structured interviews beat conversation, credentials and tenure. Every time.

Unstructured interviews - the default method of most companies - sit near the bottom at an operational validity of roughly .38.

Years of experience: .16-.18. Years of education: .10.

WHY IT HOLDS

Read those last two numbers again. The two criteria that dominate most job specifications barely move the needle.

Hiring on charisma and conversation is the selection-science equivalent of investing on narrative - and it fails the same way, for the same reason, with the same confident post-hoc explanation.

Combinations dominate everything else, which is why the loop uses four independent evidence sources rather than one deep conversation.

Source: Operator's Manual, Part F opening

THE OPERATOR'S QUESTION

How much weight do your job specs place on years of experience and education?

TODAY'S APPLICATION — one action, before noon

Rebalance one spec toward work samples and structured evidence this week.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
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EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Every Hire Is a Pilot

Day 315. Week forty-five closes here.

Every hire is a pilot with a day-90 gate. Pre-registered criteria, agreed before the start date, with three verdicts available.

A hire you would not make today, with full information, has already failed. The only question is whether you pay the exit cost now or the compounding cost for three years.

WHY IT HOLDS

The 90-day plan is written into the offer, which is the detail that makes it real. Agreed after the start date, it becomes a performance-management instrument and is experienced as one. Agreed before, it is a shared definition of success and is experienced as clarity.

Same document. Entirely different reception. The date is the variable.

Next week: the matrix that makes the decision mechanical.

Source: Operator's Manual F.1; Rule 606

THE OPERATOR'S QUESTION

Does your next hire have a written 90-day plan agreed before their start date?

TODAY'S APPLICATION — one action, before noon

Write it into the offer. The date is what makes it clarity rather than performance management.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

The Hiring Loop and the Outcome Scorecard

THE SHIP LIST

Committed ________ Shipped ________ Hit rate ________ %

What did not ship — and was it capacity, dependency or scoping?

KILLS AND VERDICTS

What I killed this week, and what it taught me:

DEPOSITS

Convex actions ____ / 7 Structural-hole contacts ____ / 5 Reputation assets ____

COVENANT CHECK

Runway ______ months Largest concentration ______ % Open severity-1 ______ Tripwires fired ______

NEXT WEEK

The one play. One sentence, executable, countable:

A rule I saw breached, and its root cause — process, tooling, authority or conduct:

WHAT I LEARNED THAT CHANGES HOW I OPERATE

Mechanical Where Persuasion Pressure Is Highest

Day 316. Senior candidates are, by definition, professionally persuasive.

Which is exactly why the decision is made mechanical at that point: weights pre-committed, evidence sources fixed, anchors written before the first interview.

The matrix exists to control the one variable the process is most exposed to.

WHY IT HOLDS

Six dimensions, weighted:

Outcome track record vs the scorecard - 30%

Work-sample performance - 25%

Problem-solving and cognitive signal - 15%

AI-native leverage - 15%

Values and decision hygiene - 10%

Network and structural-hole value - 5%

The fourth is the one most matrices lack, and it is now decisive: demonstrated multiplication of own output through tools, agents and designed workflows.

Source: Operator's Manual F.3

THE OPERATOR'S QUESTION

Where does persuasion pressure peak in your business - and is the decision mechanical there?

TODAY'S APPLICATION — one action, before noon

Pre-commit the weights on your next senior evaluation before the first conversation.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
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EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Below the Threshold Is a No-Hire

Day 317. Rule 605, a covenant with no override authority:

A weighted composite below the hire threshold is a no-hire, regardless of enthusiasm in the room.

The empty seat is cheaper than the wrong occupant. A mis-hire's true cost is conservatively 5-15x annual compensation; the vacancy cost is measurable and bounded.

WHY IT HOLDS

And the second-order cost is larger than the first.

Skip the matrix once and you have set the precedent that the matrix is optional. The first charismatic exception that gets hired teaches the organisation that process yields to persuasion - and persuasion is precisely the variable the process exists to control.

One mis-hired executive costs the 5-15x directly. The precedent costs more, because the next three loops run on narrative again and those losses compound off the books.

Source: Rule 605; Operator's Manual F.3

THE OPERATOR'S QUESTION

When did you last hire below the bar because the room was enthusiastic?

TODAY'S APPLICATION — one action, before noon

Write the threshold down. Then write who may not waive it, including you.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Score Independently, Before the Debrief

Day 318. The mechanical rule that makes a panel worth having:

No interviewer sees another's scores before committing their own.

Independence is what makes the panel five measurements instead of one. Debrief-first processes reliably convert a panel of five interviewers into one interviewer with four witnesses.

WHY IT HOLDS

The same principle recurs throughout the system for the same reason: vendor scorers submit before the evaluation meeting, and the most junior person is asked first in any review.

Anchoring is faster than analysis. Once the most senior voice states a view, everyone who has not already committed a number is anchored to it - and they will experience that anchoring as agreement.

Measure compliance: work-sample compliance at 100%, and independent-scoring compliance at 100%. Both are binary and both are checkable.

Source: Operator's Manual F.3; Metrics & Questions 7.8

THE OPERATOR'S QUESTION

Do your interviewers score independently and in writing before the debrief?

TODAY'S APPLICATION — one action, before noon

Change the sequence for your next panel. It converts one opinion into five measurements.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

What Precedent Are We Setting?

Day 319. Six questions when a senior hire is being pushed through on enthusiasm:

1. What is the weighted composite, and is it above the threshold?
2. Did every interviewer score independently, in writing, before the debrief?
3. What did the paid work sample produce, and was it blind-scored?
4. Which references did the candidate arrange, and how quickly?
5. What is the pre-registered 90-day plan, agreed before the start date?
6. If the composite is below the bar, what precedent are we setting - and what will the next three searches cost as a result?

WHY IT HOLDS

Question 6 is the one that changes the room, because it moves the conversation from this candidate to the system.
Everyone in the meeting can argue about one person's potential. Nobody wants to argue for making the next three searches worse.

Source: Metrics & Questions Pt.3

THE OPERATOR'S QUESTION

If you make this exception, what will the next three searches cost?

TODAY'S APPLICATION — one action, before noon

Ask it out loud the next time a composite is below the bar.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

The Six Dimensions and Their Anchors

Day 320. What a 5 looks like on each dimension:

Track record (30%) - delivered analogous outcomes with documented numbers in comparable constraint environments

Work sample (25%) - output usable tomorrow with minor edits; reasoning transparent and data-anchored

Cognitive signal (15%) - decomposes novel problems to first principles; quantifies instinctively; changes position on evidence

AI-native leverage (15%) - operates at demonstrably >2x conventional throughput; builds workflows others reuse

Values and hygiene (10%) - has publicly reversed course on evidence; names own past errors with root causes

Network (5%) - bridges a cluster the firm does not currently reach

WHY IT HOLDS

The values anchor is the sharpest instrument on the page. Ask for a specific occasion when they changed their mind on evidence, and for a past error with its root cause.

Candidates who narrate errors without mechanisms are telling you how they will explain the next one.

Source: Operator's Manual F.3

THE OPERATOR'S QUESTION

Which of the six dimensions does your current matrix not score at all?

TODAY'S APPLICATION — one action, before noon

Add AI-native leverage if it is missing. It is now decisive and rarely measured.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

The Day-90 Gate Is a Real Gate

Day 321. Three verdicts at day 90: scale, iterate, kill. Iterate permits exactly one 60-day recheck.

And the diagnostic on the gate itself: if almost everyone passes, is the gate real or ceremonial?

A very high 90-day pass rate suggests a soft gate, not excellent hiring.

WHY IT HOLDS

For hires who fail, the question is which selection stage produced the false-positive evidence - and what changed in the loop as a result.

Every separation is also a hiring-process defect. Which interview signal failed, which reference was skipped, which scorecard dimension was waved through.

Feed it back into the rubric. A loop that does not learn from its own misses will reproduce them at exactly the same rate, indefinitely, while everyone involved becomes more experienced.

Source: Metrics & Questions 7.6; Rules 607, 611

THE OPERATOR'S QUESTION

What is your 90-day pass rate - and is that gate real or ceremonial?

TODAY'S APPLICATION — one action, before noon

If almost everyone passes, tighten the criteria rather than celebrating the hiring.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
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EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Process Yields to Persuasion Exactly Once

Day 322. Week forty-six closes on the sentence worth reading twice.

Process yields to persuasion exactly once. After that, there is no process.

The first exception is never the expensive one. It is the licence for the next three.

WHY IT HOLDS

Which is why the composite threshold has no override authority, and why the rule sits in the covenant class rather than the standard class.

If the threshold is genuinely wrong - too high for your market, mis-weighted for your roles - that is a Quarterly Reset agenda item, argued with the predictive-validity data, in writing, for everyone.

Never a room-temperature decision about one candidate everybody liked.

Next week: the quarterly question that resolves the most expensive inventory in any business.

Source: Operator's Manual F.3

THE OPERATOR'S QUESTION

Which process in your business has already yielded to persuasion once?

TODAY'S APPLICATION — one action, before noon

Restore it in writing, publicly, before the next exception is requested.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
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EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

WEEKLY REVIEW · WEEK 46

The Candidate Matrix and the 90-Day Gate

THE SHIP LIST

Committed ________ Shipped ________ Hit rate ________ %

What did not ship — and was it capacity, dependency or scoping?

KILLS AND VERDICTS

What I killed this week, and what it taught me:

DEPOSITS

Convex actions ____ / 7 Structural-hole contacts ____ / 5 Reputation assets ____

COVENANT CHECK

Runway ______ months Largest concentration ______ % Open severity-1 ______ Tripwires fired ______

NEXT WEEK

The one play. One sentence, executable, countable:

A rule I saw breached, and its root cause — process, tooling, authority or conduct:

WHAT I LEARNED THAT CHANGES HOW I OPERATE

The Most Expensive Inventory

Day 323. The most expensive inventory in a business is not aging stock in the warehouse.

It is the unresolved people decision sitting in a manager's head.

The keeper test converts a vague, socially expensive feeling into a discrete, answerable question with a timestamp.

WHY IT HOLDS

"If this person told me they were leaving for a comparable role elsewhere, would I fight hard to keep them?"

Answered quarterly, in writing, per report, with two sentences of justification tied to the rubric scores.

In writing is the operative constraint. A feeling can be carried indefinitely. A written answer with a date starts a clock, and the clock is the entire mechanism.

Source: Operator's Manual F.5; Rule 608

THE OPERATOR'S QUESTION

How old is the oldest unresolved people decision in your head?

TODAY'S APPLICATION — one action, before noon

Write the name and the date. The clock starts when the answer is written, not felt.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Two Consecutive No's Is a Decision Already Made

Day 324. The protocol:

One "no" triggers diagnosis, not termination - a specific gap named against the scorecard, a written improvement plan with 90-day checkpoints, and honest conversation. Many first no's reverse, because the feedback had never been delivered clearly.

Two consecutive no's is a decision already made. Execute within two weeks.

WHY IT HOLDS

At that point the organisation is not deliberating. It is refusing to execute.

The two-cycle rule exists because humans are excellent at converting "not yet" into "never" when the decision is uncomfortable - and the discomfort does not diminish with time, it compounds.

Delay after the decision is pure cost. The departing employee senses it, the team senses it, and the manager burns credibility explaining a decision already made.

Source: Operator's Manual F.5; Rule 609

THE OPERATOR'S QUESTION

Which second 'no' are you still deliberating rather than executing?

TODAY'S APPLICATION — one action, before noon

Set the execution date within two weeks. Delay after the decision is pure cost.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Nobody Is Surprised by Their Own Review

Day 325. Track four numbers on the people file:

1. Open keeper-test "no"s, with the age of each - zero older than two cycles
2. Time from second "no" to execution - 14 days or less
3. Scorecard coverage - 100% of filled roles with a written outcome scorecard
4. Floor compliance - 100% received a written scorecard and honest quarterly feedback

WHY IT HOLDS

Number 4 is the universal, non-negotiable floor: standard work, a written role scorecard, honest quarterly feedback, and access to baseline training.

Clarity is a right, not a reward.

And the covenant that all four serve: nobody is surprised by their own review, number or exit. If someone is surprised, the failure is management's, and it happened months before the conversation.

Source: Metrics & Questions 7.3-7.5, 7.12; Rules 612, 614

THE OPERATOR'S QUESTION

Would anyone in your organisation be surprised by their own review?

TODAY'S APPLICATION — one action, before noon

If yes, the failure happened months ago. Have the conversation this week.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Which A-Player Is Carrying the Gap?

Day 326. Three questions that price the cost of not deciding:

1. How old is the oldest open "no", in quarters?
2. For each, has a specific gap been named against the scorecard in writing - or only felt?
3. Which A-player is currently absorbing the gap, and what is that costing in their discretionary effort?

WHY IT HOLDS

Question 3 is the one nobody computes and everybody pays.

Refusing to execute carries three compounding costs. The seat's metrics run below plan every additional quarter. Top performers calibrate their own effort to the standard the organisation visibly tolerates. And every month of inaction broadcasts that the stated performance bar is fiction.

Organisations believe what they observe, not what the values poster says.

A "no" held for two years is not a personnel problem. It is a three-front cultural compounding loss.

Source: Operator's Manual F.5

THE OPERATOR'S QUESTION

Which of your best people is currently absorbing someone else's gap?

TODAY'S APPLICATION — one action, before noon

Name them, and price what it is costing in their discretionary effort.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

The Separation Protocol

Day 327. Six steps, in order:

1. Keeper test answered quarterly, in writing, per report
2. First "no" - named gap, written plan, 90-day checkpoints, honest conversation
3. Second consecutive "no" - the decision is made; execute within two weeks
4. Severance above market norm
5. Honest without punitive - the message is fit and trajectory, delivered with respect
6. Post-mortem filed: which interview signal failed, which reference was skipped, which dimension was waved through

WHY IT HOLDS

Step 4 is cheap insurance on two fronts. Every separated employee becomes a permanent narrator of how your company treats people. And litigation risk - which threatens the survivorship covenants protecting the whole system - drops sharply when the exit is dignified and the package visibly fair.

Public humiliation serves no operating purpose and poisons the narrator effect.

Source: Operator's Manual F.5; Rules 610-611

THE OPERATOR'S QUESTION

Is your severance above market norm - and is your exit process dignified?

TODAY'S APPLICATION — one action, before noon

Review the protocol before you need it. Every exit becomes a permanent narrator.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Why Outcomes Carry 40% and Not 100%

Day 328. The four-dimension performance rubric:

Outcomes vs role scorecard - 40%

Decision quality - 25%

Leverage and multiplication - 20%

Trust behaviour - 15%

WHY IT HOLDS

Outcomes carry 40% rather than 100% for a specific reason: in a promotion-heavy quarter, a manager can hit the number by buying volume with unprofitable spend.

Decision quality and leverage catch exactly that failure mode by asking how the number was made.

And trust behaviour has an auto-escalation anchor: late bad news, filtered reporting, or any compliance event. Bad news is escalated within hours, unfiltered - and filtering it is a rubric event, not a style preference.

Source: Operator's Manual F.4; Rules 1001-1002

THE OPERATOR'S QUESTION

Are you assessing how the number was made, or only that it was made?

TODAY'S APPLICATION — one action, before noon

Score one report on decision quality this quarter, using artifacts rather than impressions.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Development Is Capital Allocation

Day 329. Week forty-seven closes on the allocation nobody makes deliberately.

Development spend follows power-law logic, not egalitarian logic.

No executive would split an innovation budget equally across twenty products regardless of velocity. Splitting the development budget equally across twenty managers regardless of compounding rate is the same error in a less visible ledger.

WHY IT HOLDS

Three tiers. The floor is universal and non-negotiable: written scorecard, honest quarterly feedback, baseline training. Clarity is a right.

Above the floor, targeted skill-building for solid performers against the specific gap the rubric surfaces.

And uncapped investment in demonstrated compounders: coaching, stretch assignments, P&L exposure two levels early, sponsorship for the next role before it officially exists.

The egalitarian instinct, applied to talent, is not kindness. It is a refusal to allocate.

Next week: buying things without being sold to.

Source: Operator's Manual F.6

THE OPERATOR'S QUESTION

Are you splitting development spend equally across people with unequal compounding rates?

TODAY'S APPLICATION — one action, before noon

Guarantee the floor for everyone. Then concentrate the rest deliberately.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

WEEKLY REVIEW · WEEK 47

Performance, the Keeper Test and Separation

THE SHIP LIST

Committed ________ Shipped ________ Hit rate ________ %

What did not ship — and was it capacity, dependency or scoping?

KILLS AND VERDICTS

What I killed this week, and what it taught me:

DEPOSITS

Convex actions ____ / 7 Structural-hole contacts ____ / 5 Reputation assets ____

COVENANT CHECK

Runway ______ months Largest concentration ______ % Open severity-1 ______ Tripwires fired ______

NEXT WEEK

The one play. One sentence, executable, countable:

A rule I saw breached, and its root cause — process, tooling, authority or conduct:

WHAT I LEARNED THAT CHANGES HOW I OPERATE

A Hostile Counterparty by Design

Day 330. Technology procurement is where Lean discipline and convexity logic meet a professional enterprise sales motion engineered around anchoring, artificial urgency, social proof and authority claims.

A bad platform contract does not just waste licence fees. It corrupts the data the War Room uses to allocate the largest discretionary pool in the company.

WHY IT HOLDS

Two rules precede any scoring, and both are covenants.

No annual contract precedes a 30-60 day paid pilot with pre-registered success metrics on the driver tree.

And every contract is scored on the cost of leaving before it is scored on price.

This week is a negotiation curriculum as much as a procurement one - the same techniques are used on you in partnership discussions, M&A processes and financing conversations.

Source: Operator's Manual, Part G opening; G.1

THE OPERATOR'S QUESTION

Where is a professional sales motion currently running its playbook on you?

TODAY'S APPLICATION — one action, before noon

Name the technique in the next vendor meeting - anchoring, urgency, social proof - and invert it.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Paid Pilot, Pre-Registered Metrics

Day 331. Rule 701, a covenant:

No annual contract precedes a paid pilot with pre-registered success metrics on the driver tree.

Paid, because free pilots are sales theatre - the vendor staffs your pilot with its best solutions engineers and you evaluate a service you will never receive again.

WHY IT HOLDS

Pre-registered, because metrics chosen after the results are in are not metrics. They are narratives.

And the diagnostic that costs nothing: vendors who refuse a paid pilot with named success metrics are self-identifying on downside risk.

Believe them. A vendor confident in the product prices the pilot and welcomes the criteria. A vendor who needs the annual commitment to make the numbers work will explain why pilots are not representative.

Source: Rule 701; Operator's Manual G.1

THE OPERATOR'S QUESTION

Which vendor refused a paid pilot with named success metrics?

TODAY'S APPLICATION — one action, before noon

Believe the refusal. It is the cheapest reference check available.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Score the Cost of Leaving First

Day 332. Rule 706, a covenant:

Every contract is scored on the cost of leaving before it is scored on price.

Data export rights. Integration unwinding. Retraining. Because switching cost is negative convexity - capped upside for you, unbounded rent for them.

WHY IT HOLDS

A vendor quoting 20% below market with a three-year lock-in and export fees is not cheaper. It is a lease on your own data with an introductory rate.

And model three-year total cost of ownership before hearing any quote: licence, implementation, integration, training, internal maintenance hours, per-seat escalation at scale.

In a typical evaluation the gap between quoted licence and modelled TCO runs 50%+ - and the size of that gap is itself diagnostic about the vendor.

Source: Rules 706-707; Operator's Manual G.3

THE OPERATOR'S QUESTION

What does it cost to leave your three largest vendor relationships?

TODAY'S APPLICATION — one action, before noon

Get the answer in writing before your next renewal, not after.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Read the Data Clause Aloud

Day 333. Six questions after a demo goes well:

1. Which named Level-2 metric does this move, by what mechanism, detectable inside 60 days?
2. What is the three-year TCO - modelled by us, before their quote?
3. What does it cost to leave? Export rights, unwinding, retraining, in writing
4. Will they run a paid 30-60 day pilot with pre-registered metrics? If not, we have our answer
5. Show me clause-by-clause where data portability and training-use are addressed. Read it aloud
6. Give me three reference customers at our scale that we select and call unscripted

WHY IT HOLDS

Question 5 is a rule: no contract is signed with a data-portability or training-use clause that has not been read aloud in the evaluation meeting. Read aloud, because ambiguous language survives silent reading and does not survive being spoken to a room.

Source: Metrics & Questions Pt.3; Rule 712

THE OPERATOR'S QUESTION

Have you read your data-portability and training-use clauses aloud?

TODAY'S APPLICATION — one action, before noon

Do it in the next evaluation meeting. Ambiguity survives silent reading.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

The Nine Criteria

Day 334. Weights fixed before vendor contact:

Driver-tree impact 25% | Three-year TCO 15% | Integration and API depth 12% | Data ownership and portability 12% | Security and compliance 10% | Vendor viability 8% | AI leverage and trajectory 8% | Reversibility and switching cost 5% | Support model 5%

WHY IT HOLDS

Driver-tree impact carries five times the weight of support quality, deliberately: a tool that moves a named metric with mediocre support beats a beautifully supported tool that moves nothing.

Three properties do the real work. Any single-criterion score of 1 is a veto regardless of composite - a hostage clause cannot be averaged away. Weights are fixed before contact so the sales team cannot lobby them upward. And the anchors force scorers to test claims: show me the readout on live data; show me what happens at ten times today's peak load.

Source: Operator's Manual G.2

THE OPERATOR'S QUESTION

Are your evaluation weights fixed before vendor contact, or negotiated during?

TODAY'S APPLICATION — one action, before noon

Fix them today for your next evaluation. Then have two scorers submit independently.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Eight Hours on Black Friday

Day 335. A fitness-apparel brand built its early e-commerce operation on a platform selected without reversibility or peak-load stress-testing.

On Black Friday - the highest-revenue day of the retail calendar - the site went down for eight hours. An estimated £100,000 in lost sales, on roughly £41 million of annual revenue, ten months into production.

WHY IT HOLDS

The failure was not a hostage clause or a hidden fee. It was a platform decision made without asking the one question the matrix forces:

Could this survive its single highest-traffic day?

That question generalises past technology. Every service model, supply chain and staffing plan has a peak day, and the decision to find out empirically is made at procurement - usually by not asking.

Source: Operator's Manual G.1, From the Field

THE OPERATOR'S QUESTION

Could your platform, supply chain or service model survive its single highest-load day?

TODAY'S APPLICATION — one action, before noon

Ask it of your three most critical dependencies this week.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Invert the Three Levers

Day 336. Week forty-eight closes on the sales playbook, inverted.

Anchoring - the first number quoted becomes the reference point. Your inversion: model TCO before hearing any quote. The first number is a reference, not a price.

Artificial urgency - a discount expiring this quarter. Your inversion: that is data about their quarter, not about your decision. A vendor discounting 25% in week twelve will discount 25% in week one of the next.

Social proof - the logo slide. Your inversion: it tells you they sold to firms like yours, not that firms like yours succeeded. Source your own references, at your scale, unscripted.

WHY IT HOLDS

Two independent scorers complete the matrix alone and submit before the meeting. Divergences of two points or more are argued, never averaged silently - the disagreement usually locates exactly the ambiguity the vendor engineered.

Next week: what to build, what to buy, and what to refuse to hire for.

Source: Operator's Manual G.3

THE OPERATOR'S QUESTION

Which of the three sales levers worked on you most recently - anchoring, urgency, or social proof?

TODAY'S APPLICATION — one action, before noon

Model your TCO before the next quote. Source your own references, unscripted.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Vendor Evaluation and Scoring Governance

THE SHIP LIST

Committed ________ Shipped ________ Hit rate ________ %

What did not ship — and was it capacity, dependency or scoping?

KILLS AND VERDICTS

What I killed this week, and what it taught me:

DEPOSITS

Convex actions ____ / 7 Structural-hole contacts ____ / 5 Reputation assets ____

COVENANT CHECK

Runway ______ months Largest concentration ______ % Open severity-1 ______ Tripwires fired ______

NEXT WEEK

The one play. One sentence, executable, countable:

A rule I saw breached, and its root cause — process, tooling, authority or conduct:

WHAT I LEARNED THAT CHANGES HOW I OPERATE

Buy the Motor. Redesign the Factory.

Day 337. Three categories, one rule each:

Buy commodity capability in mature markets where vendors amortise R&D across hundreds of clients.

Orchestrate the workflow layers that encode your operating system.

Build only where the asset itself is the moat and the training data is unreplicable.

WHY IT HOLDS

Orchestration is the option the classic build-or-buy dichotomy misses: thin internal workflow layers over best-of-breed primitives.

That is where bought capability gets converted into P&L impact - driver-tree automation joining data sources, the experiment pipeline, war room scorecard feeds, tripwire monitoring.

And it is the layer that roughly 95% of enterprise GenAI spend has skipped, which is why that spend has produced no measurable P&L impact.

Source: Operator's Manual G.4

THE OPERATOR'S QUESTION

What are you building that you should be buying, and orchestrating that you should not be?

TODAY'S APPLICATION — one action, before noon

Sort your three largest technology efforts into buy, orchestrate and build.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Buying Your Moat Is Renting Your Future

Day 338. The build test is deliberately narrow:

Build only where the asset itself is the moat and the training data is unreplicable.

Everything else is overproduction waste - inventory of code nobody outside the building would buy.

WHY IT HOLDS

And the inverse error is worse. Buying your moat is renting your future: the capability that differentiates you, purchased from a vendor who will sell it to your competitors at the same price next quarter.

The empirical support is strong. Across a review of more than 300 enterprise GenAI deployments, purchased and partnered solutions succeeded roughly 67% of the time against roughly 22% for internal builds - a 3:1 ratio in favour of buying capability and concentrating internal effort on workflow integration.

Engineering ego is not a strategy.

Source: Operator's Manual G.4

THE OPERATOR'S QUESTION

Which capability that differentiates you have you bought from someone who will sell it to competitors?

TODAY'S APPLICATION — one action, before noon

Identify it. Decide whether to build the layer above it or accept the parity.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Revenue per FTE Against a Designed Target

Day 339. Three numbers on the same slide as gross margin, quarterly:

1. Revenue per FTE against target - and contribution margin per FTE alongside it, because revenue per FTE can be bought
2. Agent-automation coverage - the share of recurring workflows with a live service-level definition and a named owner
3. Automation reviews that failed into a hire - each with a one-paragraph postmortem naming the measured limit

WHY IT HOLDS

Number 3 is the honest instrument. A doctrine without a paper trail decays into a hiring freeze that breaks at the first urgent requisition.

A doctrine with a paper trail improves, because every failure teaches the organisation where the current automation frontier actually sits - and that frontier moves every quarter.

Record the limit, not the decision.

Source: Operator's Manual G.7; Metrics & Questions 6.1-6.4

THE OPERATOR'S QUESTION

Is revenue per FTE a designed target in your business, or an outcome you discover?

TODAY'S APPLICATION — one action, before noon

Write your target and your current number side by side, next to gross margin.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

What Did You Attempt First, and Where Did It Fail?

Day 340. Five questions for any headcount request:

1. What automation, orchestration or vendor capability did you attempt first, and where did it fail?
2. What was the measured limit - in numbers, not in impression?
3. What is this role's outcome scorecard, and which driver-tree nodes does it own?
4. If we approved this and it worked perfectly, what would revenue per FTE be in twelve months?
5. What are we stopping to fund it?

WHY IT HOLDS

Rule 615 makes question 1 a covenant: every proposed hire must first fail a documented automation-and-orchestration review, and no requisition opens without the review on file.

The burden of proof sits on the headcount request exactly as it sits on any capital request - because payroll is the most illiquid, highest-switching-cost vendor contract a firm ever signs.

Source: Rule 615; Metrics & Questions Pt.3

THE OPERATOR'S QUESTION

For your last headcount request: what automation was attempted first, and where did it fail?

TODAY'S APPLICATION — one action, before noon

Require a documented, failed automation review on the next requisition.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

The Automation Review

Day 341. What a documented, failed automation review contains:

1. The workflow, decomposed into its recurring tasks
2. What was attempted: which agent workflow, vendor capability or process redesign
3. The measured limit - the specific point at which it failed, with numbers
4. Why the limit is structural rather than a configuration problem
5. The residual human judgment the role exists to supply
6. The outcome scorecard for the resulting hire

WHY IT HOLDS

Point 5 is where the honest answer usually lives. Taste, judgment, relationships and irreversible calls are where people are the only answer - and those are exactly the things worth paying for.

This is not an argument for starving the business of people. It is an argument for spending people where people are the only answer, and refusing to spend them on refresh, reconcile, flag and draft.

Source: Operator's Manual G.7

THE OPERATOR'S QUESTION

What residual human judgment does your next hire actually supply?

TODAY'S APPLICATION — one action, before noon

Write it explicitly. Taste, judgment, relationships and irreversible calls - or reconsider the seat.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

A $120K Hire Is a Seven-Figure Decade

Day 342. Why the burden of proof sits on the requisition:

Payroll is the most illiquid, highest-switching-cost vendor contract a firm ever signs.

No other contract carries severance on exit, compounds at merit-cycle rates, embeds itself in the culture, and resists termination in a downturn.

WHY IT HOLDS

A $120,000 hire is not a $120,000 decision. Loaded and compounded, it is a seven-figure decade-long commitment - against a problem a $2,000-a-month orchestration layer may solve.

Stated that way, the automation review stops feeling like an obstacle and starts looking like the same diligence you would apply to any seven-figure commitment.

Which is all it is: a matrix, a pilot and a pre-mortem, applied to the largest line on the P&L.

Source: Operator's Manual G.7

THE OPERATOR'S QUESTION

Do you evaluate a hire like a seven-figure decade-long commitment?

TODAY'S APPLICATION — one action, before noon

Apply the matrix, the pilot and the pre-mortem to the next one. It is the largest line on your P&L.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Spend People Where People Are the Answer

Day 343. Week forty-nine closes here.

The doctrine is not "do not hire." It is: no additional headcount beyond a lean executive structure until the automation review fails.

And when it fails, hire deliberately, senior, and against a scorecard - because that seat is now a concentrated position.

WHY IT HOLDS

The default order is vendor and orchestration options before headcount, because the evidence says bought, workflow-embedded solutions succeed roughly three times as often as internal builds.

And the quarterly instrument keeps it honest: revenue per FTE against target, automation coverage, and the count of reviews that failed into a hire.

Three numbers, one page, next to gross margin.

Next week: the second org chart - the one made of agents.

Source: Operator's Manual G.7

THE OPERATOR'S QUESTION

Where are you spending people on refresh, reconcile, flag and draft?

TODAY'S APPLICATION — one action, before noon

Move one such workflow to an agent with a named owner and a service level.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

WEEKLY REVIEW · WEEK 49

Build, Buy, Orchestrate and Revenue per FTE

THE SHIP LIST

Committed ________ Shipped ________ Hit rate ________ %

What did not ship — and was it capacity, dependency or scoping?

KILLS AND VERDICTS

What I killed this week, and what it taught me:

DEPOSITS

Convex actions ____ / 7 Structural-hole contacts ____ / 5 Reputation assets ____

COVENANT CHECK

Runway ______ months Largest concentration ______ % Open severity-1 ______ Tripwires fired ______

NEXT WEEK

The one play. One sentence, executable, countable:

A rule I saw breached, and its root cause — process, tooling, authority or conduct:

WHAT I LEARNED THAT CHANGES HOW I OPERATE

A Second Org Chart, Formally Managed

Day 344. Under an AI-native doctrine the firm runs two org charts.

One of people. One of agents.

The second is formally managed - named owner, written service-level definition, scoped credentials, weekly audit - or it is not managed at all, and unmanaged automation is an unauditable insider.

WHY IT HOLDS

The agent chart maps to the same functional structure, so accountability is legible: growth and experimentation, commercial and account management, finance and control, supply and operations, talent, and executive support.

Each cell states what the agent produces, what it must never do without a human gate, and who signs.

This week: the roles, the guardrails, and the audit that keeps the whole thing honest.

Source: Operator's Manual G.5

THE OPERATOR'S QUESTION

Do you have a second org chart, or just automations nobody has drawn?

TODAY'S APPLICATION — one action, before noon

Draw it this week. Owner, output, gate, and who signs, for every live agent workflow.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ______________________ What I got wrong today:

Every Agent Has One Owner and an SLA

Day 345. Rule 801, a covenant:

Every AI workflow has a named human owner and a written service-level definition before it ships.

And Rule 809: an unowned agent is decommissioned, not reassigned later.

WHY IT HOLDS

The service-level definition is the operative artifact. It states exactly which outputs ship autonomously and which require the human gate - because that boundary is where the empirical frontier sits.

Inside a tool's capability frontier, users work markedly faster at higher quality. Outside it, they do worse than unassisted peers - one controlled study measured a 19-point loss of correctness.

The SLA is how you operationalise a frontier that moves every quarter.

Source: Rules 801, 809; Operator's Manual G.5-G.6

THE OPERATOR'S QUESTION

Which of your live agent workflows has no written service-level definition?

TODAY'S APPLICATION — one action, before noon

Write one today: what ships autonomously, what requires a signature.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Escalation Precision and Sampling Coverage

Day 346. Two numbers govern every live agent:

Escalation precision - the share of agent escalations that genuinely required human judgment. Too low wastes the gate; too high means the agent is over-confident.

Sampling coverage - the share of autonomous outputs sampled and reviewed weekly. Target 100% of workflow types.

WHY IT HOLDS

The second is the one that gets skipped, and it is the one that matters.

Auditing only escalated cases means sampling exactly the population where the system already knew it was struggling. The cases that matter are the ones the agent was confident enough not to escalate.

So the audit rule is specific: sample live output weekly, not just escalations. Confident errors are the failure mode, and they are invisible to an escalation-only review.

Source: Metrics & Questions 6.9-6.11; Rule 805

THE OPERATOR'S QUESTION

Are you auditing escalations only, or a live sample of confident outputs?

TODAY'S APPLICATION — one action, before noon

Start weekly sampling of autonomous output. Confident errors are the failure mode.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Which Outputs Ship Without a Signature?

Day 347. Six questions for any agent workflow:

1. Who is the single named owner?
2. Which outputs ship autonomously, and which require a gate?
3. Are credentials scoped to the SLA and nothing broader?
4. Is every action logged against the owner's name?
5. How are we sampling live output weekly - not just escalations?
6. What is the second path if this vendor deprecates, reprices or regresses?

WHY IT HOLDS

Question 6 is a covenant in disguise. No single vendor or model may exceed the concentration limit as a single point of failure - a deprecation, pricing shock or capability regression is structurally identical to losing your largest account, arriving on the cost side instead of the revenue side.

Stand up the second path before renewal, not after the outage.

Source: Metrics & Questions Pt.3; Rules 802-803, 807

THE OPERATOR'S QUESTION

Which agent output leaves your building without a human signature?

TODAY'S APPLICATION — one action, before noon

Draw the line on paper: refresh, flag, draft, brief on one side; publish, release, sign on the other.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
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EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

The Four Guardrails

Day 348. Non-negotiable on every agent workflow:

1. Human gate - nothing customer-visible, partner-visible, financial, legal or compliance-bearing ships without a named signature
2. Provenance - every external artifact carries a source manifest; unsourced claims are blocked, not flagged
3. Least privilege - credentials scoped to the SLA; every action logged against the owner
4. Weekly audit - live output sampled, not just escalations

WHY IT HOLDS

Guardrail 2 says blocked, not flagged. A flag is a suggestion that a busy operator clears in one click at 6pm on a Friday.

And the boundary to write on paper is simple: refresh, flag, draft, brief on one side; publish, release, sign on the other.

Agents draft. Humans sign. On anything that leaves the building, moves money, or touches a real person's live problem.

Source: Operator's Manual G.6; Rules 804-806

THE OPERATOR'S QUESTION

Which of the four guardrails is missing from your largest automation?

TODAY'S APPLICATION — one action, before noon

Install the missing one this week. Blocked, not flagged, on provenance.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
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EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

The Cost of Deleting the Judgment Layer

Day 349. A consumer-finance assistant handling the work of roughly 700 agents: 2.3 million conversations a month, resolution time from eleven minutes to two.

Fourteen months later the CEO publicly reversed course on quality grounds and began rehiring.

WHY IT HOLDS

The mechanism is worth naming precisely, because it generalises.

The system optimised for what was easily measured - resolution speed, cost per contact. Whether the resolution was correct, and whether the customer trusted the outcome, degraded quietly enough to take more than a year to surface.

That is the exact failure the four guardrails prevent. Not because AI leverage is fake, but because a redesign that quietly deletes the judgment layer is not a redesign. It is the drop-in mistake in a better outfit.

Source: VOS v3.0 3.3; Operator's Manual G.6

THE OPERATOR'S QUESTION

What is easily measured in your automated workflows - and what is quietly degrading?

TODAY'S APPLICATION — one action, before noon

Name the hard-to-measure quality variable. Then decide how you will sample it weekly.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
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EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Agents Own Cycle Time. Humans Own Verdicts.

Day 350. Week fifty closes on the division of labour that makes this work.

Agents own cycle time. Humans own the verdict.

Scoring, dedupe, power calculations, variant generation, QA, first-pass readouts, playbook drafting - all agent work. Kill, iterate or scale - always human.

WHY IT HOLDS

That division is what converts AI from artifact production into P&L movement, because it attacks the two variables the base rate leaves available: cost per test and cycle time.

And it keeps the judgment layer intact at the only point where a confident error is expensive.

This week: pick your highest-volume recurring workflow, write its service-level definition, name its owner, and schedule the first weekly sample.

Next week: the three panels that show you everything.

Source: Operator's Manual G.5, E.1

THE OPERATOR'S QUESTION

Where are humans still doing cycle-time work that agents should own?

TODAY'S APPLICATION — one action, before noon

Move one drafting, scoring or readout task this week. Keep the verdict.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
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EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

The Agent Org Chart and the Four Guardrails

THE SHIP LIST

Committed ________ Shipped ________ Hit rate ________ %

What did not ship — and was it capacity, dependency or scoping?

KILLS AND VERDICTS

What I killed this week, and what it taught me:

DEPOSITS

Convex actions ____ / 7 Structural-hole contacts ____ / 5 Reputation assets ____

COVENANT CHECK

Runway ______ months Largest concentration ______ % Open severity-1 ______ Tripwires fired ______

NEXT WEEK

The one play. One sentence, executable, countable:

A rule I saw breached, and its root cause — process, tooling, authority or conduct:

WHAT I LEARNED THAT CHANGES HOW I OPERATE

Three Panels, Three Questions

Day 351. One dashboard. Three panels. Three questions:

Survivorship - are we still in the game?

Throughput - is the machine converting inputs to outputs efficiently?

Velocity and position - are we compounding, or merely operating?

WHY IT HOLDS

Every metric belongs to exactly one panel. The panel determines the review cadence and the escalation path, and nothing appears twice.

Most dashboards fail because they are organised by function - a marketing section, an operations section, a finance section - which guarantees that no single view answers any of the three questions above.

Organise by question, not by department. The reporting lines will survive it.

Source: Operator's Manual, Part H opening

THE OPERATOR'S QUESTION

Can your dashboard answer all three questions - survivorship, throughput, position?

TODAY'S APPLICATION — one action, before noon

Reorganise one dashboard by question rather than by department.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
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EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Panel One in One Minute of Silence

Day 352. Panel One - Survivorship. Reviewed weekly in one minute of silence. Attested monthly by name.

Cash runway. Customer, channel and vendor concentration. Position sizing. Quality and compliance status.

One minute, because if it needs discussion something has already gone wrong.

WHY IT HOLDS

The characteristic failure here is not absence of the metrics. It is inattention to them: everyone saw the number drift, and nobody was accountable for saying it aloud.

Which is why attestation is by name rather than by function. "Finance confirms runway" is a sentence nobody wrote. A person's name against a number is a person who read it.

And every row carries a covenant threshold with a pre-defined action, so a breach requires no courage in the moment.

Source: Operator's Manual H.1; Rule 909

THE OPERATOR'S QUESTION

Does your survivorship panel get one minute of silence, or does it get discussed?

TODAY'S APPLICATION — one action, before noon

Run it in silence at your next weekly. Discussion means something has already gone wrong.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
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EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Two Leading for Every Lagging

Day 353. The design rule for every scorecard in the business:

Leading indicators outnumber lagging two to one.

Enforced at scorecard design, audited quarterly. Not discovered at review, when the lagging number has already confirmed what the leading ones said two quarters ago.

WHY IT HOLDS

Panel Two - Throughput - is the war room scorecard, and it is built to that ratio: activation rate, 30-day repeat, velocity per unit of distribution, tests shipped, cycle time, forecast accuracy, out-of-stock rate, gross-to-net.

Panel Three - Velocity and Position - holds the compounding metrics: convexity ratio, kill rate, documented wins toward threshold, structural-hole contacts, reputation assets shipped, revenue per FTE, trust index.

Panel Three never prints this quarter. It determines what can print in two years.

Source: Operator's Manual H.2-H.3; Rule 902

THE OPERATOR'S QUESTION

What is the leading-to-lagging ratio on your primary scorecard?

TODAY'S APPLICATION — one action, before noon

Compute it. If it is below 2:1, add leading indicators before you add anything else.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
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- ☐ One structural-hole contact made — a cluster I do not currently reach
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EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Would We Know Before the Customer Does?

Day 354. Four questions when designing or auditing a scorecard:

1. Which of these are leading, and what is the ratio?
2. For each lagging number, which leading indicator should move first - and by how long?
3. Would we know this was deteriorating before a customer, a partner or an auditor told us?
4. Which metric has no owner, or cannot be traced to the tree in one step?

WHY IT HOLDS

Question 3 is the practical test of an early-warning system, and the honest answer in most businesses is no.

The standard failure sequence is always the same. Quarter one: revenue holds, because depth can hold any revenue line for a quarter. Quarter two: repeat rate decays and spend climbs to defend the number. Quarter three: gross margin confirms it - except the fix now costs a reset, a write-down and a leadership change.

Every surprise is evidence of a missing leading indicator. Add it within the week.

Source: Metrics & Questions Pt.3; Operator's Manual H.3

THE OPERATOR'S QUESTION

Would you know a key metric was deteriorating before a customer or an auditor told you?

TODAY'S APPLICATION — one action, before noon

Answer honestly for your three largest exposures. Each 'no' is a missing indicator.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
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EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

The Metrics Register

Day 355. Every metric on the dashboard carries six fields, and a metric missing any of them is deleted:

1. Definition - single, published, and no function may run a variant
2. Owner - one name
3. Owning forum - one
4. Panel - one
5. Cadence - weekly, monthly or quarterly
6. Threshold or tripwire, with a pre-defined action

WHY IT HOLDS

Audit the register quarterly with three counts: metric orphans that cannot be traced in one step; definition-variance incidents where two functions presented different values for the same named metric; and the leading-to-lagging ratio on each scorecard.

All three should trend to zero, zero and 2:1 respectively.

And if a metric has drifted out of usefulness, retire it at the Reset rather than quietly ignoring it. Ignored metrics teach that the dashboard is optional.

Source: Operator's Manual H.1-H.3; Metrics & Questions 9.12-9.14

THE OPERATOR'S QUESTION

Which of your metrics is missing a definition, an owner, a forum, a panel, a cadence or a threshold?

TODAY'S APPLICATION — one action, before noon

Audit ten metrics against the six fields. Delete or complete each one.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
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EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

The Panel That Never Prints This Quarter

Day 356. Panel Three is the one that gets cut in a difficult quarter, and it is the one that must not be.

Convexity ratio. Kill rate. Documented wins toward threshold. Structural-hole contacts. Reputation assets shipped. Revenue per FTE. Trust index.

None of them prints this quarter. All of them determine what prints in two years.

WHY IT HOLDS

Cutting Panel Three is how a business becomes structurally unable to escape its own cost programme.

With position metrics abandoned, every remaining lever works inside one quarter - which means every subsequent decision is a margin decision, and two years later the only tool that still functions is another cost programme.

That is the mechanism behind $1.7B of savings followed by a $15.4B impairment. Defend Panel Three hardest in the quarters where it feels least affordable.

Source: Operator's Manual H.3, System on One Page

THE OPERATOR'S QUESTION

Which position metrics would you cut first in a bad quarter?

TODAY'S APPLICATION — one action, before noon

Those are exactly the ones to defend. Write down why, before the bad quarter arrives.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
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EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Weekly, Monthly, Quarterly

Day 357. Week fifty-one closes on the cadence map.

Panel One - weekly in silence, attested monthly by name.

Panel Two - the weekly war room scorecard.

Panel Three - Growth Review weekly on the pipeline rows; MBR and Quarterly Reset on position.

WHY IT HOLDS

Then one rule keeps the whole thing pointing in the right direction: confirmation flows one way.

The weekly layer acts on leading indicators. The monthly and quarterly layers confirm, attest and reallocate. The P&L never manages the War Room.

The moment lagging metrics start dictating weekly action, the operating system has been inverted and the team is steering by the wake.

Next week: how the rules themselves are governed - and how you install all of this in ninety days.

Source: Operator's Manual H.3

THE OPERATOR'S QUESTION

Are your lagging metrics confirming, or dictating?

TODAY'S APPLICATION — one action, before noon

Check the last month. Weekly action on lagging numbers means you are steering by the wake.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

WEEKLY REVIEW · WEEK 51

The Velocity Dashboard and the Metrics Register

THE SHIP LIST

Committed ________ Shipped ________ Hit rate ________ %

What did not ship — and was it capacity, dependency or scoping?

KILLS AND VERDICTS

What I killed this week, and what it taught me:

DEPOSITS

Convex actions ____ / 7 Structural-hole contacts ____ / 5 Reputation assets ____

COVENANT CHECK

Runway ______ months Largest concentration ______ % Open severity-1 ______ Tripwires fired ______

NEXT WEEK

The one play. One sentence, executable, countable:

A rule I saw breached, and its root cause — process, tooling, authority or conduct:

WHAT I LEARNED THAT CHANGES HOW I OPERATE

Three Rule Classes

Day 358. Every rule in the system carries a class, and the class determines who may change it and when:

Covenant - no override authority, including the founder's

Standard - deviation permitted only with a written, logged exception and a named owner

Default - the presumed action; deviation requires stated reasoning at the time

WHY IT HOLDS

Standards amend at the Quarterly Reset. Covenants amend at the Annual Offsite. Both in writing, for everyone - never in the meeting the rule constrains.

That single design choice is what protects a ruleset from erosion, because the erosion always arrives as a reasonable request during a difficult week.

If a rule is genuinely wrong, the Reset will still be there. The enforcement will not survive a single exception.

Source: Rule Book, Operating Doctrine; Rules 107-108

THE OPERATOR'S QUESTION

Which of your rules is a covenant, which a standard, and which a default - and does anyone know?

TODAY'S APPLICATION — one action, before noon

Assign a class to your ten most-cited rules. Publish the classes.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
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EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Name the Breach at the Time

Day 359. The escalation path, in four steps:

1. Named at the time, out loud, by whoever observes it
2. Logged with the rule number, the circumstance and the cost
3. Root-caused as process defect, tooling gap, unclear authority, or conduct
4. Repeated breaches across multiple owners indicate a defective rule, not a defective organisation

WHY IT HOLDS

Step 1 carries a conduct standard that makes the rest possible: naming a breach is never an accusation, and failing to name one you observed is itself a conduct issue.

Without that inversion, breach-naming becomes a political act and stops happening.

And step 4 is the humility clause. A rule that everyone breaks is a badly designed rule, and the Reset is where it gets fixed rather than where its violators get disciplined.

Source: Rule Book, Breach and Escalation; Rule 1011

THE OPERATOR'S QUESTION

When did you last name a breach out loud, at the time?

TODAY'S APPLICATION — one action, before noon

Name the next one you observe. It is never an accusation; failing to name it is the issue.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
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EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Ask the Most Junior Person First

Day 360. Four rules of the craft of asking, worth more than any dashboard:

1. Ask the most junior person first. Seniority anchors a room instantly.

2. Ask for the number before the story. A narrative delivered alongside a figure sets your interpretation before you have formed one.

3. Ask what would change your mind. Then ask whether that evidence has been sought.

4. Never ask a question you have already decided the answer to.

WHY IT HOLDS

Rule 4 has a specific exception with a specific obligation: unless you are explicitly testing whether the answer arrives honestly - and if so, say afterwards that you were testing.

A pattern of loaded questions teaches the room to guess your view rather than report theirs. You will get agreement, on schedule, forever, and it will feel like alignment.

Source: Metrics & Questions Pt.5

THE OPERATOR'S QUESTION

Who speaks first in your meetings - and what does that cost you in information?

TODAY'S APPLICATION — one action, before noon

Ask the most junior person first at your next review. Note what you hear that you would not have.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Are You Making It Cheap to Tell the Truth?

Day 361. The purpose of a question is not to establish that you are the smartest person in the room.

It is to make it cheap for someone to tell you the truth.

Questions that punish the answer teach the organisation to manage you rather than inform you.

WHY IT HOLDS

The supporting conduct rules are explicit, and they are covenants.

Bad news is escalated within hours, unfiltered.

Dissent is voiced in the room; consent carries accountability.

Nobody is punished for surfacing an error early. Concealment is a conduct issue - the error itself usually is not.

An organisation that manages its leadership is blind at exactly the altitude where blindness is fatal, and it always becomes so for good reasons, one softened message at a time.

Source: Metrics & Questions Pt.5; Rules 1001-1005

THE OPERATOR'S QUESTION

Is it cheap or expensive for someone to bring you bad news?

TODAY'S APPLICATION — one action, before noon

Ask one person today what they have not told you. Then thank them, visibly.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

The 90-Day Installation Plan

Day 362. Four gates, ninety days:

Days 1-14 Diagnose and Stabilize - war room up, owners published, driver tree built, 13-week cash forecast live, stop-doing list published, constraint named, spend gate installed. Gate 1: constraint on one page with cohort evidence; scorecard v1 with seven metrics or fewer; cash bleed quantified with one action already executed; RACI published.

Days 15-30 Pilot - two experiments against the constraint, pre-registered. Gate 2: pre-registered movement or kill.

Days 31-60 Iterate and Scale - ring by ring, economics re-validated. Gate 3: unit economics hold; overlay ROI at or above 1.5x.

Days 61-90 Deploy and Lock In - codify, sunset temporary structures, run the first Reset. Gate 4: two clean cycles without founder intervention.

WHY IT HOLDS

Install order is counter-intuitive and it matters: cadence before analysis. A weekly war room with an imperfect scorecard beats a perfect scorecard with no forum to act on it.

Source: Operator's Manual, Part I

THE OPERATOR'S QUESTION

If you started the 90-day install on Monday, which gate would you fail first?

TODAY'S APPLICATION — one action, before noon

Name it. Then do the missing work before you start the clock.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
- ☐ One number asked for before its story

EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

First Monday Morning

Day 363. If you do nothing else, do these seven things on the first Monday:

1. Stand up the war room. One scorecard, thirty minutes, weekly
2. Publish the single-threaded owner list. One name per lever
3. Build the driver tree from the actual P&L. One afternoon
4. Stand up the 13-week rolling cash forecast. Weekly, non-delegable
5. Publish the stop-doing list. Tail products, zombie programmes, decision-free meetings
6. Name the binding constraint with cohort evidence. One page
7. Install the spend gate with pre-agreed rejection criteria

WHY IT HOLDS

None of the seven requires a consultant, a system purchase or a reorganisation. Six of them cost less than a day each.
And every one of them is a structural change rather than an exhortation - which is why they hold after the enthusiasm fades.

Source: Operator's Manual, First Monday Morning

THE OPERATOR'S QUESTION

Which of the seven First Monday actions is not live in your business?

TODAY'S APPLICATION — one action, before noon

Install one this week. Six of the seven cost less than a day each.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
- ☐ Ship list reviewed — binary status, no percentages
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EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

The Firms That Compound

Day 364. Week fifty-two closes on the thesis the whole year has been building toward.

The firms that compound are not the ones with the best plans.

They are the ones whose operating system assumes the curve - and acts on it every week.

WHY IT HOLDS

Lean caps the downside and generates the cash. Convexity deploys that cash into positions with bounded loss and unbounded upside. Intelligence at every workstation collapses the cost and cycle time of learning. The cadence stack delivers all three. The driver tree guarantees nothing on the scorecard is decorative.

And the covenants make sure you are still in the game to collect.

One system. Five parts. Reviewed weekly, attested monthly, reset quarterly, re-aimed annually.

Source: VOS v3.0 Ch.1 close; Operator's Manual, System on One Page

THE OPERATOR'S QUESTION

Which of the five parts of the system is weakest in your business right now?

TODAY'S APPLICATION — one action, before noon

Lean engine, convex portfolio, AI leverage, cadence, driver tree. Attack the weakest next quarter.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
- ☐ One structural-hole contact made — a cluster I do not currently reach
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EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

Rules, the Craft of Asking, and the 90-Day Install

THE SHIP LIST

Committed ________ Shipped ________ Hit rate ________ %

What did not ship — and was it capacity, dependency or scoping?

KILLS AND VERDICTS

What I killed this week, and what it taught me:

DEPOSITS

Convex actions ____ / 7 Structural-hole contacts ____ / 5 Reputation assets ____

COVENANT CHECK

Runway ______ months Largest concentration ______ % Open severity-1 ______ Tripwires fired ______

NEXT WEEK

The one play. One sentence, executable, countable:

A rule I saw breached, and its root cause — process, tooling, authority or conduct:

WHAT I LEARNED THAT CHANGES HOW I OPERATE

QUARTERLY STRATEGIC RESET

Quarter 4 — The Only Place You May Change Your Own Rules

THE CONVEXITY AUDIT

Which positions have capped upside and open-ended downside? Those are exits, not fixes.

THE SLATE AND THE THRESHOLD

Structurally unbounded share of the active slate: ______ % (floor 60) Documented wins toward threshold: ______ Inbound share of pipeline: ______ %

WHAT I KILLED

If nothing, I am under-shooting. What died this quarter, and what did it buy in learning?

WHERE THE FREED CASH WENT

Every saving names its convex destination. No destination, no credit for the saving.

THE KEEPER TEST

Top people and top vendors. A second consecutive “no” becomes an execution date within two weeks.

PREDICTION REVIEW

What did I predict last quarter, with a number and a date — and what actually happened?

NEXT QUARTER

One binding constraint. One play. Three pre-registered tests. Named owners, dated gates.

RULES TO AMEND

Standards may be amended here. Covenants wait for the annual offsite.

Day 365 - The Whole System on One Page

Day 365. One year, one page:

Model the distribution. Route by zone. Cap the downside with covenants. Manufacture convexity. Publish one name per lever. Decide at the layer that owns it. Pre-register before you launch. Read the criterion aloud. Kill fast and publicly. Codify or it did not happen. Measure the lead, not the lag. Make it cheap to tell you the truth.

WHY IT HOLDS

Twelve sentences. Everything else in this year is implementation detail.

The test of whether any of it took hold is not whether you can recite it. It is whether, next Monday, there is a room with one scorecard, a list with binary status, a name against every lever, and a criterion someone will read aloud before the result is discussed.

If that room exists, the system is installed. If it does not, none of the other 364 days matter yet.

Start with the room.

Source: Operator's Manual, The System on One Page

THE OPERATOR'S QUESTION

Of the twelve sentences, which one did you actually install this year - and which did you only admire?

TODAY'S APPLICATION — one action, before noon

Name next year's one constraint, its owner and its gate date. Then start the room on Monday.

DAILY OPERATING CHECKLIST

- ☐ Survivorship check — cash, yesterday's demand, tripwires, covenant proximity
- ☐ One high-convexity action selected and time-blocked before the calendar filled
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EVENING — WHAT MOVED?

Bought or earned? ____________________ What I got wrong today:

DECISION JOURNAL

Every Type 1 decision, before signature. Judged later against the prediction, never against reconstructed memory.

Decision, date and single-threaded owner

The three most-cited failure modes from the pre-mortem, and their leading metrics

Base rate — what happened the last ten times a company like ours tried this

Prediction: a number and a date

Review date, and what actually happened

Decision, date and single-threaded owner

The three most-cited failure modes from the pre-mortem, and their leading metrics

Base rate — what happened the last ten times a company like ours tried this

Prediction: a number and a date

Review date, and what actually happened

DECISION JOURNAL (2)

Every Type 1 decision, before signature. Judged later against the prediction, never against reconstructed memory.

Decision, date and single-threaded owner

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Base rate — what happened the last ten times a company like ours tried this

Prediction: a number and a date

Review date, and what actually happened

Decision, date and single-threaded owner

The three most-cited failure modes from the pre-mortem, and their leading metrics

Base rate — what happened the last ten times a company like ours tried this

Prediction: a number and a date

Review date, and what actually happened

DECISION JOURNAL (3)

Every Type 1 decision, before signature. Judged later against the prediction, never against reconstructed memory.

Decision, date and single-threaded owner

The three most-cited failure modes from the pre-mortem, and their leading metrics

Base rate — what happened the last ten times a company like ours tried this

Prediction: a number and a date

Review date, and what actually happened

Decision, date and single-threaded owner

The three most-cited failure modes from the pre-mortem, and their leading metrics

Base rate — what happened the last ten times a company like ours tried this

Prediction: a number and a date

Review date, and what actually happened

DECISION JOURNAL (4)

Every Type 1 decision, before signature. Judged later against the prediction, never against reconstructed memory.

Decision, date and single-threaded owner

The three most-cited failure modes from the pre-mortem, and their leading metrics

Base rate — what happened the last ten times a company like ours tried this

Prediction: a number and a date

Review date, and what actually happened

Decision, date and single-threaded owner

The three most-cited failure modes from the pre-mortem, and their leading metrics

Base rate — what happened the last ten times a company like ours tried this

Prediction: a number and a date

Review date, and what actually happened

DECISION JOURNAL (5)

Every Type 1 decision, before signature. Judged later against the prediction, never against reconstructed memory.

Decision, date and single-threaded owner

The three most-cited failure modes from the pre-mortem, and their leading metrics

Base rate — what happened the last ten times a company like ours tried this

Prediction: a number and a date

Review date, and what actually happened

Decision, date and single-threaded owner

The three most-cited failure modes from the pre-mortem, and their leading metrics

Base rate — what happened the last ten times a company like ours tried this

Prediction: a number and a date

Review date, and what actually happened

DECISION JOURNAL (6)

Every Type 1 decision, before signature. Judged later against the prediction, never against reconstructed memory.

Decision, date and single-threaded owner

The three most-cited failure modes from the pre-mortem, and their leading metrics

Base rate — what happened the last ten times a company like ours tried this

Prediction: a number and a date

Review date, and what actually happened

Decision, date and single-threaded owner

The three most-cited failure modes from the pre-mortem, and their leading metrics

Base rate — what happened the last ten times a company like ours tried this

Prediction: a number and a date

Review date, and what actually happened

THE FAILURE ARCHIVE

Each killed test is purchased information no competitor can see — but only if the filing is specific enough to be reused.

What was killed, and on what date

Which driver-tree node, which cohort, which mechanism

Cost of the test, and the magnitude of the null or negative result

What this rules out for the next operator who proposes it

What was killed, and on what date

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THE FAILURE ARCHIVE (2)

Each killed test is purchased information no competitor can see — but only if the filing is specific enough to be reused.

What was killed, and on what date

Which driver-tree node, which cohort, which mechanism

Cost of the test, and the magnitude of the null or negative result

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THE FAILURE ARCHIVE (4)

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What this rules out for the next operator who proposes it

THE ANNUAL REVIEW — DAY 365

Read this against your Day Zero baseline. Numbers only.

Runway now, against Day Zero

Largest concentration now, against Day Zero

Active initiatives now, against Day Zero

Median decision latency now, against Day Zero

Tests shipped this year, and the kill rate

Revenue per FTE now, against Day Zero

Documented wins added toward the threshold

What I killed this year that I would have carried before

The rule I installed that changed the most

Next year's single binding constraint, its owner and its gate date